

Introduction to Liability Framework

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4.1 Introduction

On 22 November 1995, three buses full of policemen stormed the Munich offices of CompuServe, a prominent American company that operated online discussion newsgroups, in a surprise raid.¹ The unsuspecting employees were soon informed that the raid had to do with CompuServe's online groups that were involved in exchanging child abuse material and games harmful to children.² The police officers left empty-handed,³ but the raid worked wonders. Fearing the looming legal consequences, CompuServe felt compelled to take immediate action and demonstrate their willingness to cooperate. The German prosecutor wasted no time in delivering a stern message. CompuServe must take the necessary steps to avoid liability. He sent a list of 200 groups to block.⁴ CompuServe hurried to comply. But the hastily compiled list included a multitude of groups that bore only a vague connection to illegal content. Among the innocent casualties was a group dedicated to discussing breast cancer.⁵ Three months later, CompuServe introduced a primitive filtering software known as CyberPatrol. This software relied on a human-maintained blacklist of URLs specifically designed to block access to any content associated with child abuse material. It soon became apparent that CompuServe's actions were in vain. The German prosecutor remained unsatisfied.

This was the time when the legal troubles of internet companies started mounting. Only a few weeks before the Munich raid, a bailiff, accompanied by two United States (US) members of the Church of Scientology, raided the Amsterdam offices of a Dutch

¹ Nico Ernst, 'Ex-CompuServe-Chef Felix Somm im Interview' *Computerwoche Tec Workshop* (17 May 2000) <<https://www.tecchannel.de/a/ex-compuserve-chef-felix-somm-im-interview,401170>> accessed 3 August 2023.

² *ibid.* (The index of media deemed unsuitable for young persons by the Federal Department for Media Harmful to Young Persons (BPjM) included some computer games, such as *Wolfenstein*).

³ Michael Kunze, 'The Compuserve Switch-Off of USENET NewsGroups' (6 January 1996) <<http://www.rogeclarke.com/II/Compuserve.html>> accessed 3 August 2023.

⁴ *ibid.*

⁵ Ernst (n 1); Kunze (n 3).

provider, XS4ALL.⁶ As a prelude to a copyright lawsuit for hosting third-party websites, the entourage came to take steps to preserve evidence. Meanwhile, in the US, a District Court held in *Netcom* that a telecommunication company and a bulletin board provider could be liable for users' copyright infringements in yet another case initiated by the Church of Scientology.⁷ In another case, CompuServe's competitor Prodigy was held to be liable for content posted by its users under defamation law because it engaged in content moderation.⁸ The world was already becoming a global village. The cover of *Time* magazine was warning people about 'cyberporn',⁹ and the US Congress was intensely debating the US Communications Decency Act (CDA). This influenced popular opinion in other countries, including Germany.¹⁰

In Munich, despite CompuServe's efforts, the Munich police and prosecutors were not backing down. According to Kunze, a journalist for *Der Spiegel* Magazine, the entire group of German legal professionals had a bigger plan. In his view, the group set out to establish the principle that the providers are responsible for the content of others.¹¹ He later wrote that '[a]ll activities of the Task Force could not have happened if they were not supported by a whole bunch of local prosecutors and judges. Sticking together, chatting, doing favours forms a part of the social life in Munich'.¹²

The results came quickly.

On 26 February 1997, the prosecutor filed a criminal indictment of Mr Felix Somm, the managing director of CompuServe's German branch. To the astonishment of many, in May 1998, a judge of the Munich County Court sentenced Mr Somm to two years of imprisonment on probation and a fine of 100,000 marks,¹³ a sum that, in today's currency, equated to approximately €84,500.¹⁴ Mr Somm was found guilty of complicity in disseminating illegal material and of negligent dissemination of content harmful to minors in the form of then-popular computer games, such as *Doom*, *Heretic*, and *Wolfenstein 3D*. The judge's justification for the harsh judgment was clear—the internet cannot become a lawless space. He wrote:

there is a vital interest of society that technical progress in the teleservices sector *does not lead to the creation of lawless areas* in which such high legal interests as the

⁶ XS4ALL Internet, 'Press Release: Police and Members of Scientology Church Enter Offices of XS4ALL' (5 September 1995) <<https://felipe.home.xs4all.nl/cos/pers.eng.html>> accessed 3 August 2023.

⁷ *Religious Technology Center v Netcom On-Line Communication Services Inc* 907 F Supp 1361 (ND Cal 1995) (*Netcom*).

⁸ *Stratton Oakmont Inc v Prodigy Services Co* 23 Media L Rep 1794 (NY Sup Ct 1995) (*Prodigy*). CompuServe, in contrast, won a similar case in *Cubby Inc v CompuServe Inc* 776 F Supp 135 (SDNY 1991) exactly because it lacked elaborate content moderation policies.

⁹ TIME, 'TIME Magazine Cover: Cyber Porn' (*TIME.com*, 3 July 1995) <<https://content.time.com/time/covers/0,16641,19950703,00.html>> accessed 3 August 2023.

¹⁰ Kunze (n 3).

¹¹ *ibid.*

¹² *ibid.*

¹³ AG München NJW 1998, 2836. See also Brandon Mitchener and Nick Wingfield, 'A Former CompuServe Official Is Convicted in Pornography Case' *Wall Street Journal* (29 May 1998) <<https://www.wsj.com/articles/SB896371751696756000>> accessed 3 August 2023.

¹⁴ Inflation adjusted, using 'German Inflation Calculator to Factor Inflation into Any Calculation' <<https://www.lawyerdb.de/Inflationrate.aspx>> accessed 4 August 2023.

protection of minors and protection against sexually motivated violence are subordinated to purely commercial interests and thus sacrificed ... As managing director, the defendant was responsible for the business division in Germany. It was his responsibility to ensure that German laws were observed. *It was therefore part of his duty of care to ensure that no indexed games were offered to customers in Germany in the proprietary service.* The fulfilment of these duties of care is to be demanded of anyone working in this position in this area ... In view of these at least discernible circumstances, *the defendant should have expected* that indexed games would also be offered in the proprietary game forums as proprietary games of the parent company.¹⁵

Mr Somm's case caused international outrage. The Munich County Court ruling was even more surprising given that in June 1997, after Mr Somm's criminal indictment but before his sentence by the judge, the German legislature adopted a pioneering new law which included two separate liability exemptions—the first of its kind in Europe.¹⁶ Section 5(2) of the 1997 German law (IuKDG) provided that 'service providers are only responsible for third-party content that they make available for use if they are aware of this content and it is technically possible and reasonable for them to prevent its use'.¹⁷ Section 5(3) provided that '[s]ervice providers are not responsible for third-party content to which they merely provide access for use'.¹⁸ The two German liability exemptions entered into effect almost immediately on 1 August 1997.¹⁹ The German government even held a joint European Ministerial Conference with the European Commission in July 1997 in Bonn stressing that 'rules on responsibility should give effect to the principle of freedom of speech, respect public and private interests and not impose disproportionate burdens on actors'.²⁰ The Bavarian judge of the County Court, however, found the federal German legislation to be inapplicable.

While the Munich Regional Court eventually reversed the decision on appeal, it took Mr Somm over two years to clear his name.

Mr Somm's over-reaction to the letter of the prosecutor became one of the first well-known documented cases of what came to be known as 'over-blocking'—the damaging removal of legitimate content caused by providers' cautious response to legal risks. This episode and early US cases provided a strong warning that some explicit legal positioning of digital services might be necessary. XS4ALL, the Dutch provider, noted in its press release following the raid that: 'This whole affair demonstrates the need for clarity concerning the legal position [*sic*] of Internet Providers. ... If we as Internet

¹⁵ AG München NJW 1998, 2836 (emphasis mine).

¹⁶ The US passed its CDA in 1996.

¹⁷ Information and Communication Services Act (Gesetz zur Regelung der Rahmenbedingungen für Informations- und Kommunikationsdienste) v. 22 July 1997 (BGBl. I, 1870) (IuKDG), art 1, § 5(2).

¹⁸ *ibid* art 1, § 5(3).

¹⁹ It took years for the courts to take German liability exemptions seriously. While police and prosecutors backed off from prosecuting access and hosting service providers for offering their services, civil courts, according to one study, either applied the new rules very reluctantly or overlooked them altogether. See Lothar Determann, 'Case Update: German CompuServe Director Acquitted on Appeal' (1999) 23 UC Law SF International Law Review 109, 119.

²⁰ European Ministerial Conference, 'Global Information Networks: Realising the Potential' (6 July 1997) <http://web.mclink.it/MC8216/netmark/attach/bonn_en.htm> accessed 5 August 2023.

providers are held responsible for what our users say, that will undoubtedly [*sic*] kill freedom of speech on the net.²¹

In the US, Congress had adopted the CDA which, among other things, tried to incentivise content moderation by giving providers near-blanket legal immunity from many types of liability for others.²² Section 230 CDA was proposed by two senators to specifically undo the court ruling in *Prodigy*.²³ The Congress would soon also adopt section 512 of the Digital Millennium Copyright Act (DMCA) in reaction to *Netcom* and other copyright cases.²⁴

In Europe, the European Commission published its communication to the European Parliament and Council in October 1996, explaining that providers will need legal assurances to operate in the internal market properly. The communication stated that:

Internet access providers and host service providers play a key role in giving users access to Internet content. It should not however be forgotten that the prime responsibility for content lies with authors and content providers. It is therefore essential to identify accurately the chain of responsibilities in order to place the liability for illegal content on those who create it ... The law may need to be changed or clarified to assist access providers and host service providers, whose primary business is to provide a service to customers, to steer a path between accusations of censorship and exposure to liability.²⁵

Shortly after the US adopted the DMCA, on 18 November 1998, the European Commission tabled a proposal for a Directive on certain legal aspects of electronic commerce in the internal market—commonly known as the E-Commerce Directive (ECD). This Directive included three liability exemptions modelled after the DMCA but also took inspiration from the German horizontal approach to immunities.

When, in November 1999, the appellate court found that the Munich court's interpretation of criminal negligence was overstretched and that Mr Somm lacked any intent, the world looked very different.²⁶ Laws establishing a new global norm were already being written in Europe and the US. By agreeing to the liability exemptions, all parties exercise self-constraint and do their part to facilitate the emergence of an environment from which the society at large can benefit. This is the essence of the digital social contract. According to it, any criminal, administrative or civil wrongdoing is primarily the wrongdoer's responsibility, and only secondarily, a shared responsibility

²¹ XS4ALL internet (n 6).

²² Only days after the German legislature adopted its new act, the US Supreme Court in June 1997 invalidated much of the Communications Decency Act but left the liability exception in s 230 intact. See *Reno v ACLU* 521 US 844 (1997).

²³ See the historical discussion in Jeff Kosseff, *The Twenty-Six Words That Created the Internet* (Cornell UP 2019) 57ff.

²⁴ *Playboy Enterprises Inc v Frena* 839 F Supp 1552 (MD Fla 1993); *Netcom* (n 7). See also Martin Husovec, 'Rising Above Liability: The Digital Services Act As a Blueprint for the Second Generation of Global Internet Rules' [2023] Berkeley Technology Law Journal (forthcoming).

²⁵ Commission, 'Illegal and Harmful Content on the Internet' (Communication) COM(96) 487 final, 12–13.

²⁶ LG München NJW 2000, 1051.

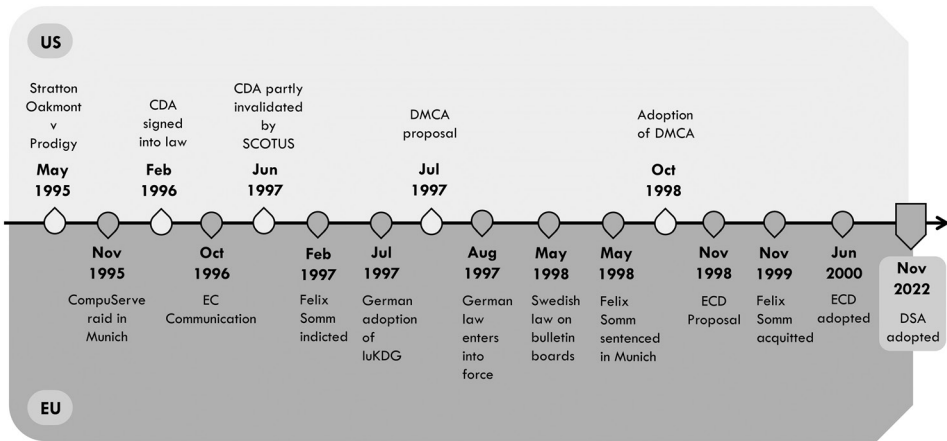


Figure 4.1 Timeline of intermediary liability rules

of other actors, such as providers, civil society, and victims. The shared responsibility means that each one has a role in enforcing the rights.

Even after many years, Mr Somm's story demonstrates the struggles that providers faced during the formative period of 1995–99 and acts as a reminder of the benefits of the existing system. Figure 4.1 shows the historical progression of legal acts.

4.2 History of the ECD

In November 1998, the European Commission tabled a proposal for the ECD. The proposal followed the course outlined in the Commission's 1996 Communication on 'Illegal and Harmful Content on the Internet'.²⁷ While the Jacques Santer Commission prepared the proposal, it was the next Romano Prodi Commission that successfully stewarded it through the legislative process towards its adoption in June 2000. The Member States did not make significant changes to the initial proposal, but they influenced the meaning of the text through additions of various Recitals.

Throughout the legislative process, much effort was expended on resolving the debate on the scope of the country-of-origin principle. In the European Council, several Member States demanded various limitations and clarifications. For the liability exemptions in particular, Sweden wanted a bulletin board exception from the prohibition of general monitoring obligations to be able to keep its newly adopted law on bulletin boards.²⁸ Moreover, several Member States, including Austria, Sweden, and Denmark,

²⁷ Commission, 'Illegal and Harmful Content on the Internet' (Communication) COM (96) 487 final, 12–13.

²⁸ Working Party on Economic Questions (Information Society services), 'Report on Draft European Parliament and Council Directive on Certain Legal Aspects of Electronic Commerce in the Internal Market Dated 11/12 November 1999' (1999) Doc 12667/99 ECO 364 CONSOM 68 CODEC 655, 6 <https://resources.law.cam.ac.uk/cipil/travaux/ecommerce_directive/ecommerce_travaux_complete.pdf#page=316> accessed 5 August 2023; Law on Responsibility for Electronic Bulletin Boards (Lag (1998:112) om ansvar för elektroniska anslagstavlor) (Swedish Bulletin Board Act).

wanted the knowledge test, which only applied to the liability exemption for hosting, to apply to all liability exemptions.²⁹ Denmark also had some competence concerns about the applicability of liability exemptions in the area of criminal liability.³⁰ France argued for mandatory client data retention to accompany the hosting liability exemption.³¹ Ireland proposed to include search engines in the liability exemptions.³²

None of these requests concerning liability exemptions were strong enough to significantly change the European Commission's proposal. However, they led to the introduction of Recitals 42 (passivity), 47 (specific measures), and 48 (duties of care)—all of which greatly influenced the Court of Justice of the European Union's (CJEU) case law on these issues years later.

Article 15(2) and Recitals 42³³ and 48³⁴ were introduced to appease the countries that wanted a knowledge test to underpin all of the liability exemptions. Recital 47 introduced the clarification that 'monitoring obligations in a specific case' are not in any case prohibited.³⁵

An interesting historical aside is that these countries had initially sought to have the knowledge test applied across the board, in part due to 'the potential of future technological developments to permit [non-hosting] intermediaries to monitor the data they transmit' and the resulting effect that 'an exemption from liability might no longer be appropriate'.³⁶ To address these reservations, the revision clause in Article 21(2), which provides for the ability to amend conditions for liability exemptions in light of technical developments, was added.³⁷ The Swedish demand that the bulletin boards should be excluded from the prohibition of general monitoring was mollified by the Commission's argument that the Swedish law does not have to change.³⁸ This is interesting because section 4 of the Bulletin Board Act basically required random checks, although the exact scope was far from clear and the Swedish government itself insisted that it: 'is not intended that the activity of the supplier should be seriously hampered

²⁹ Working Party on Economic Questions (Information Society services) (n 28).

³⁰ *ibid* 8.

³¹ Permanent Representatives Committee, 'Extract of the Summary Record of the 1853rd Meeting of the Permanent Representatives Committee on 17 and 19 November 1999' (1999) Doc 12957/99 Ext 1 CRS/CRP 44 ECO 387 CONSOM 73 CODEC 714, 4 <https://resources.law.cam.ac.uk/cipil/travaux/ecommerce_directive/ecommerce_travaux_complete.pdf#page=325> accessed 5 August 2023.

³² *ibid*.

³³ This was introduced very late in the legislative process in December 1999. Council of the European Union, 'Draft Minutes of the 2233rd Council Meeting (Internal Market) on 7 December 1999' (2000) Doc 13858/99 PV/Cons 83 MI 126, 7 <https://resources.law.cam.ac.uk/cipil/travaux/ecommerce_directive/ecommerce_travaux_complete.pdf#page=370> accessed 5 August 2023.

³⁴ Probably to appease the Swedish delegation, the political agreement was reached in December 1999 to include what has become Rec 48 as a clarification accompanying art 15 ECD, which allows applicability of 'duties of care'. See *ibid* 8.

³⁵ COREPER, 'Outcome of Proceedings Dated 1 December 1999' (1999) Doc 13655/99 ECO 402 CONSOM 76 CODEC 749, 21 <https://resources.law.cam.ac.uk/cipil/travaux/ecommerce_directive/ecommerce_travaux_complete.pdf#page=333> accessed 6 August 2023.

³⁶ COREPER, 'Report on the Draft European Parliament and Council Directive on Certain Legal Aspects of Electronic Commerce in the Internal Market' (1999) Doc 13657/99 ECO 403 CONSOM 77 CODEC 750, 6 <https://resources.law.cam.ac.uk/cipil/travaux/ecommerce_directive/ecommerce_travaux_complete.pdf#page=361> accessed 6 August 2023.

³⁷ *ibid*.

³⁸ *ibid*.

by the act. If the number of messages is so large, that it is too cumbersome to check them all, it can be acceptable to provide an abuse board, to which users can complain of the existence of illegal messages.³⁹ The Swedish request thus probably lead to Recital 48 which vaguely speaks of ‘duties of care’. Denmark’s reservations regarding the legal basis of criminal liability were dismissed by the European Commission’s Legal Service and were not pressed by the other Member States.

The political agreement was reached in February 2000, and the Directive was approved by the European Parliament in June 2000 with a transposition deadline of January 2002. A series of landmark cases on this new system of liability exemptions soon followed—*Promusicae* in 2008,⁴⁰ *Google France* in 2010,⁴¹ *eBay* in 2011⁴² and *YouTube* in 2021⁴³—all decided by the Grand Chamber of the CJEU.

4.3 Two Generations of Rules

The CDA (section 230) and the Digital Millenium Copyright Act (DCMA) (section 512) in the US, the Informations- und Kommunikationsdienste-Gesetz (IuKDG) (section 5) in Germany and the ECD (section 4) in the EU all represent the first generation of digital services regulation. They tackled the crucial question of the time: when is a provider liable for its users’ content? While they offered various responses, ranging from almost ‘never’ to ‘if they acquire knowledge’, they united in the effort to provide assurances to firms about liability risks.

4.3.1 The ECD as the first generation

The first generation of rules regulates the behaviour of platforms by a legal threat of liability for the actions of others; if you do not remove content or behave in such and such way, you might be liable alongside your users. The conditional immunity model⁴⁴ defined roughly two decades of platform regulation in Europe between the

³⁹ The Swedish government provided the quoted text in the proposal to the parliament. Government Bill (1997/98:15) Responsibility for electronic bulletin boards (Ansvar för elektroniska anslagstavlor) <<https://www.regeringen.se/contentassets/25d815028bfc4ba4bcef3234291d6ddb/ansvar-for-elektroniska-anslagstavlor/>> accessed 6 August 2023. S 4 of the Swedish Bulletin Board Act says: ‘The supplier of electronic bulletin board shall, in order to be able to fulfill the obligations according to article 5, supervise the service to an extent which is reasonable considering the extent and objective of the service’. According to Rosen, five years after the law was adopted, it was not once applied by the courts. See Jan Rosén, ‘Server Copyright Liability - Notes on the Swedish Act on Liability for Intermediaries and two Recent Decisions of the Swedish Supreme Court’ [2002] 42 *Scandinavian Studies in Law* 147, 150.

⁴⁰ Case C-275/06 *Productores de Música de España (Promusicae) v Telefónica de España SAU* ECLI:EU:C:2008:54 (*Promusicae*).

⁴¹ Joined Cases C-236/08–C-238/08 *Google France SARL and Google Inc v Louis Vuitton Malletier SA* ECLI:EU:C:2010:159 (*Google France*).

⁴² Case C-324/09 *L’Oréal SA and others v eBay International AG and others* ECLI:EU:C:2011:474 (*eBay*).

⁴³ Joined Cases C-682/18 and C-683/18 *Frank Peterson v Google LLC and others and Elsevier Inc v Cyando AG* ECLI:EU:C:2021:503 (*YouTube and Cyando*).

⁴⁴ The model requiring at least knowledge to trigger liability, Husovec (n 24).

ECD (2000) and the DSA (2022). The legal rules were mostly reduced to coordinating liability for third-party content. During this period, the provider's only legal responsibility was to do everything necessary to avoid liability. Any extra efforts were voluntary and depended mainly on the business environment, public opinion, and political pressures, but very little on additional legal risks.⁴⁵ Thus, the liability system only punished failures of reactive behaviour, and any proactive behaviour was entirely voluntary.

The ultimate value that liability exemptions protect is decentralised speech. The internet's genius is in allowing anyone to speak their minds without seeking approval. The digital ecosystem weakened the power of traditional gatekeepers, such as TV and radio stations, newspapers, and book publishers, over our public sphere. Obviously, this creates challenges because editors were previously deputised to act as filters for the lawfulness, trustworthiness, and quality of information. Now that information is not always edited upfront, providers of digital services are deputised to act as *ex post* quasi-editors by engaging in content moderation. Without editors, the ecosystem shifts from filtering the content's quality upfront to managing its distribution. Even though such expectations towards digital providers reappoint them as gatekeepers, decentralised content is still allowed to flourish unless controls are too tight. And that is exactly why the control cannot be too tight. Imposing incentives that reinstate upfront editorial control automatically takes away the newly gained ability of individuals to speak and read what is not edited.

Without sympathy of the law, there would be no internet as we know it. In a world where technology facilitates decentralisation while the law disincentivises it, no rational actors would have created spaces or tools without editorial control. A liability regime for the actions of others is a key—albeit not the only—incentive to keep the decentralised architecture of the global network afloat.⁴⁶ Unless legislatures want to reinstate editors, some form of conditional immunity (or liability) is necessary. Figure 4.2 depicts the richness of the digital ecosystem and its players.

The ECD provided for three liability exemptions: conduit, caching, and hosting. Each represents a separate type of conditional immunity, that is, legal immunity that requires at least knowledge of providers to allow for liability for others. The conduit immunity is the most generous and applies to infrastructure services like internet access providers. It protects conduits from pressures to block websites or users without court orders. The caching immunity applies to services that facilitate communication flows by temporarily storing the websites of others. It protects caching services from having to act upon illegal content before it is removed from its source. And finally, the most

⁴⁵ Martin Husovec, 'Accountable, Not Liable: Injunctions Against Intermediaries' [2016] TILEC Discussion Paper No 2016-012 <<http://www.ssrn.com/abstract=2773768>> accessed 7 August 2023.

⁴⁶ In the literature, van Schewick argued most convincingly that technical architecture influences innovation and a decentralised environment for speech—Barbara van Schewick, *Internet Architecture and Innovation* (MIT Press 2010). Her work directly relates to the net neutrality debate, which posits that Internet access providers should not engage in discriminatory practices when routing traffic through their networks.

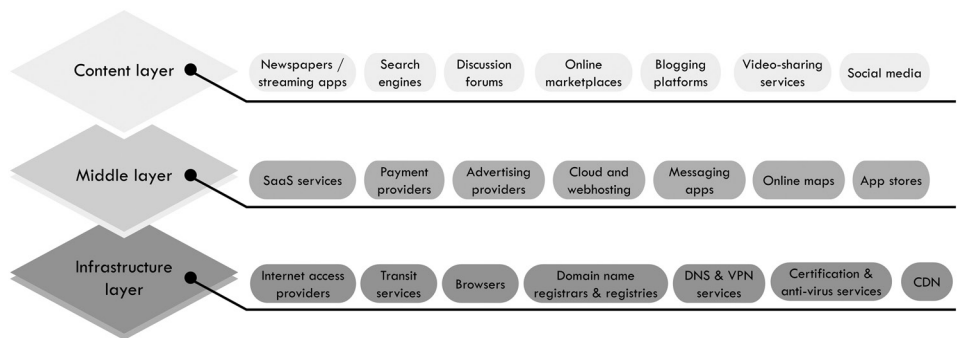


Figure 4.2 The internet tech stack

prevalent is the hosting immunity that protects the application layer of the internet, which stores the content of others. Hosts are protected from liability before they are notified or otherwise learn about illegal content. Given the prevalence of these services, hosting immunity creates the baseline choreography of digital enforcement—that of ‘notice and action’, although more commonly known as ‘notice and takedown’.

4.3.2 The DSA as the second generation

Regulation through liability exemptions has its limits. The horizontal liability exemptions are about creating breathing space for speech and markets while allowing enforceability of the rights of victims, but they do not address specific challenges. The rules of the first generation—sections 230 CDA, 512 DMCA, 4 ECD—all suffer the same insufficiency. They excel at coordinating expectations to encourage investment but fail at offering tools to solve a wide range of societal problems that emerge along with the use of these services. The past years have drawn contours of many societal challenges that require solutions, ranging from the protection of children to problems with hate speech or terrorism and subversive activities that try to attack the basis of our democratic systems.

All these problems are exacerbated by the ‘special features’ of the internet as a medium: its lack of editorial approval, low barriers to entry, including the zero cost of services across the board, the incredible speed and scale of distribution, its broad social and geographical inclusiveness, and resilience of communications. The regulators are thus rightly considering how to address these challenges. As the introduction shows, it is understood at the time of writing that strict liability for someone else’s content is a death sentence for decentralised speech. It means rewinding the clock to the pre-internet area, where editors are responsible for what they make available to readers. Any regulation needed to be more tailored.

To avoid this, the second generation of rules, such as the DSA, does not intend to change the underlying liability for someone else’s content. Instead, they try to create a set of independently enforceable due diligence obligations (Chapter 9.4). Those obligations are of a systemic nature, which means that the prescribed outcomes are owed

to the public.⁴⁷ A violation does not lead to responsibility for the communication of the content of others. It has separate legal consequences. Instead of endlessly trying to redraw the line between editors and mere intermediaries, the DSA spells out the legislature's specific expectations.

The DSA regulates the choreography of digital enforcement, which is guaranteed by liability exceptions. It regulates the process through which content moderation decisions are taken. Actors who have previously earned trust with the quality of their work are asked to be given better treatment. The decision to restrict the content taken by platforms must be explained. Content creators who are affected must be notified and offered reasons for content moderation decisions, which they can appeal to internally and, if necessary, externally. Some providers are asked to think about the risks posed by the design of their services.

This shift in focus from *liability* to *accountability* means the discussion primarily moves to a debate about the right systems and procedures to achieve appropriate aggregate outcomes. The DSA's due diligence obligations treat providers as accountable for operating systems but not liable for the individual harms caused by their users. The liability exemptions make sure that individual harms are not attributed to providers so the debate can move on to how to manage risks. Even the DSA's tool for the largest players, risk mitigation, implies that some failures are inevitable and acceptable. This is in stark contrast with how rules that set the basic legal expectations for liability operate. When liability rules are violated, platforms are exposed to liability, regardless of whether something is an occasional slip-off or a systemic problem.

The DSA's liability exemptions and accountability obligations are mutually compatible as long as they are based on the same principles. One can easily imagine accountability obligations that undermine liability exemptions. For instance, a rule that providers must verify the authenticity of all goods that other people trade on the provider's platform also clashes with the liability arrangements. Firstly, any fine enforcing it is a form of liability imposed for storing third-party information—that is, a liability for failing to verify. Secondly, it imposes a general obligation to monitor the authenticity of the content. Thirdly, it creates an obligation to acquire knowledge, which removes the applicability of the liability exemption for hosts.⁴⁸

Thus, while accountability is inherently proactive because it asks providers to think about potential risks in advance, it must remain targeted. Otherwise, accountability risks turning into strict liability. The DSA's approach is to keep relying on reactive liability exemptions while increasing accountability in ways that avoid general monitoring. This means that accountability is always targeted to duties in specific cases. In the legal design, to assure this is the task of the prohibition of general monitoring, which I discuss next.

⁴⁷ But it can still be privately enforced (ch 19).

⁴⁸ In the European system, the European legislature is the only one that can undermine liability exemptions. The DSA pre-empts any national attempts to impose such due diligence obligations.

Prohibition of General Monitoring Obligations

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5.1 Introduction

The general monitoring obligations prohibition (GMOP) is an important principle of European Union (EU) digital services regulation. It protects *content creators* and *gatekeepers* of user-generated content, similar to how media privileges¹ protect *journalists* and *news organisations* when they publish editorial content. It limits what can be expected from regulatory enforcement by stipulating that relevant providers should not be required to take excessive and indiscriminate actions that could legitimately affect all content creators. The GMOP acts as an ordering principle for national and EU legislation on digital services by distributing responsibility in the digital ecosystem. Over the years, the GMOP has obtained 'quasi-constitutional' status because it started serving as a legislative and human-rights ceiling on digital regulation.

Originally, the GMOP was mainly intended to double down on the policy rationale behind the liability exemptions.² The knowledge-based exemptions cannot logically function if there is a concurrent obligation to obtain knowledge.³ Liability exemptions incorporate the idea that the responsibility for correcting wrongdoing in the digital ecosystem ought to be *shared* between different participants. It should primarily fall on content creators themselves and only secondarily on victims and providers or state authorities and civil society.

¹ See Damian Tambini, 'What is Journalism? The Paradox of Media Privilege' (2021) 5 European Human Rights Law Review 523, 537: 'Journalism is made possible by a variety of privileges and protections for both the activities of public interest newsgathering and the status of journalism.'

² The European law owes its existence to s 512(m) United States (US) Digital Millennium Copyright Act (DMCA). See s 512(m) DMCA: 'Nothing in this section shall be construed to condition the applicability of subsections (a) through (d) on—(1) a service provider monitoring its service or affirmatively seeking facts indicating infringing activity, except to the extent consistent with a standard technical measure complying with the provisions of subsection (i); or (2) a service provider gaining access to, removing, or disabling access to material in cases in which such conduct is prohibited by law.'

³ Case C-18/18 *Eva Glawischnig-Piesczek v Facebook Ireland Limited* ECLI:EU:C:2019:458, Opinion of AG Szpunar, paras 36, 41.

The GMOP forms the central part of the *digital social contract*. Under this digital social contract, victims of illegal content (or someone acting on their behalf) assist in finding and notifying illegal content, and the providers are usually expected to act upon the received notifications or court orders if they wish to be exempted from liability. The underlying logic is the following: imposing an obligation on providers to constantly vet user content would push them to become editorial media, thus reducing the instances where all content is user-generated. Crucially, the GMOP prohibits the Member States from legislating obligations that would significantly reverse the baseline distribution of tasks as outlined in the liability exemptions. For instance, legislation requiring providers to review 10% of the uploaded content manually would violate the GMOP because it reverses the baseline distribution of liability.

Only the EU itself can modify this digital social contract for European citizens. That said, even the EU legislature must consider the fundamental rights constraints discussed in Chapter 3. These constraints do not allow legislatures to make far-reaching changes from the red lines drawn by the Court of Justice of the European Union (CJEU).

Prior to Article 8 Digital Services Act (DSA), its predecessor, Article 15(1) E-Commerce Directive (ECD), provided that:

Member States shall not impose a general obligation on providers, when providing the services covered by [one of the liability exemptions], to monitor the information which they transmit or store, nor a general obligation actively to seek facts or circumstances indicating illegal activity.

Article 15(2) ECD reassured that the previous prohibition did not limit the possibility of Member States imposing notification, communication, or disclosure duties where they might be required from such providers. Recital 47 ECD clarified that Article 15 ECD does not stand in the way of ‘specific’ monitoring.

Back in 2000, when ECD was adopted, the GMOP followed a double objective: on the one hand, it intended to harmonise diverging national rules, and on the other hand, it aimed to protect an incipient industry from burdensome or impossible obligations which would stifle market entry. The ECD explained that: ‘both existing and emerging disparities in Member States’ legislation and case law concerning the liability of service providers acting as intermediaries prevent the smooth functioning of the internal market, in particular by impairing the development of cross-border services and producing distortions of competition ...’⁴ The prohibition of general monitoring obligations was understood as the other side of the coin of liability exemptions. The drafters argued that the liability exemption would have been deprived of any effect if providers could be obliged by the Member States to identify illegal items at the source anyway.⁵ Without the GMOP, for instance, the limitation that liability can be imposed only upon

⁴ European Parliament and Council Directive 2000/31/EC of 8 June 2000 on certain legal aspects of information society services, in particular electronic commerce, in the Internal Market [2000] OJ L178/1 (ECD), Rec 40.

⁵ Emmanuel Crabit, ‘La Directive Sur Le Commerce Électronique. Le Projet “Méditerranée”’ (2000) 4 *Revue du Droit de l’Union Européenne* 749, 815.

actual knowledge could have been circumvented by imposing non-monetary obligations to review everything uploaded to the services indiscriminately and manually. Furthermore, it would have been impossible for providers to avail themselves of the liability exemption dependent on a lack of knowledge if they had a concurrent obligation to know. Without the GMOP, the liability limitations would have a huge blind spot.

While ECD had a strong economic angle, it did not entirely ignore the liability exemptions' role in the context of fundamental rights.⁶ The CJEU quickly linked the GMOP in Article 15 ECD to the fundamental rights protection of users by highlighting the need to protect them from interference by private and public actors. This close link was identified early on,⁷ and it was strengthened in the recent case law of the CJEU, giving this provision a quasi-constitutional position; that is, a position that allows the legislature to slightly move behind its statutory red lines, but also not too far.

While the GMOP remains central to digital regulation, precisely what it entails is disputed. Article 8 DSA is the only provision in the Commission's proposal for the DSA that was not subject to any *substantive* change by the co-legislators—even though the issue was extensively debated. Some stakeholders tried to water down the language used in the ECD; others attempted to strengthen it. The tussle resulted in no material change for the provision. This demonstrates that everyone eventually felt that if they could not bend the provision their way, sticking with the Court's interpretation was the preferable way forward.

5.2 Scope of the GMOP

The last two decades since the adoption of the ECD led to seven CJEU cases dealing with the GMOP provision.⁸ The GMOP in Article 15 ECD often played a very important role in defining the outcomes, sometimes in unexpected ways. Given this central role, it is perhaps a little surprising that the actual contours of the provision remain largely disputed to this day. While the consensus around the wording of the DSA renewed the democratic mandate of the GMOP, the divergence of views on interpreting this provision will continue to exist. Stakeholders mostly agree on it 'in principle', but their exact views differ.

To identify what the GMOP means, it is necessary to clarify what an 'obligation' means, which qualifies as 'monitoring' (or 'fact-finding') and when it is 'general'.

⁶ ECD, Rec 46.

⁷ Case C-324/09 *L'Oréal SA and Others v eBay International AG and Others* ECLI:EU:C:2011:474 (*eBay*), para 139 ('... a general monitoring obligation would be incompatible with Article 3 of Directive 2004/48, which states that the measures referred to by the directive must be fair and proportionate and must not be excessively costly'). It was addressed more explicitly in *SABAM* and *Scarlet Extended*, see Case C-360/10 *SABAM v Netlog NV* ECLI:EU:C:2012:85 (*SABAM*) and Case C-70/10 *Scarlet Extended SA v SABAM* ECLI:EU:C:2011:771 (*Scarlet Extended*). In *Glawischnig*, the AG explicitly highlighted the link, although the court does not mention this, see Case C-18/18 *Eva Glawischnig-Piesczek v Facebook Ireland Limited* ECLI:EU:C:2019:821.

⁸ *eBay* (n 7); *Scarlet Extended* (n 7); *SABAM* (n 7); Case C-314/12 *UPC Telekabel Wien GmbH v Constantin Film Verleih GmbH* ECLI:EU:C:2014:192; Case C-484/14 *Tobias McFadden v Sony Music Entertainment Germany GmbH* ECLI:EU:C:2016:689; *Glawischnig* (n 7); Case C-401/19 *Republic of Poland v European Parliament and Council of the European Union* ECLI:EU:C:2022:297.

5.2.1 What is an ‘obligation’?

The GMOP covers every type of obligation. Thus, it covers any measure of the state, be it of the judiciary, legislature, or executive. The obligation can be a decision in an individual case, such as an order or generally worded legislation. The crucial element is that the Member States and the respective EU bodies give those obligations some authority. In contrast, political demands communicated in the media without a proper legal basis are unlikely to qualify as obligations. Understandably, there is a large grey zone of political coercion when enforcement authorities might ask providers to ‘do more’ by means of ‘voluntary measures.’ The GMOP, in my view, limits any threats by authorities that have some legal credibility, ie those that are at least arguably enforceable. Thus, an authority of a Member State regulating digital content and demanding what amounts to general monitoring would violate Article 8 DSA, but a Member of the European or national parliament demanding the same would not.

Typical obligations imposed by *authorities* are legal orders issued by administrative authorities, criminal courts, or civil courts. The types of measures can range from website blocking, blocking of accounts, payments, freezing user privileges, removing or disabling content, delisting search results, preventing the reappearance of some content or recurrence of some conduct, limiting access to some services, or storing some data about third parties. Typical obligations imposed by *legislatures* are legal mandates to block accounts, remove or disable content, prevent the reappearance of content or recurrence of conduct, store data about third parties, or best efforts types of obligations to perform various checks. Compared to the situation before the DSA, many potential obligations of this kind are now harmonised by the DSA’s due diligence obligations. Pre-emption can also come from other parts of the DSA (Chapter 17).

Given that the change of wording introduces a passive form (‘no general obligation to monitor ... shall be imposed’), one open question is to what extent the principle binds non-state actors or limits public-private arrangements. The CJEU will undoubtedly have to clarify this. Two basic constellations are possible: first, an obligation is *imposed unilaterally* (eg an app store imposes it on its clients, the apps), or second, an obligation is *individually negotiated* (eg providers and interested non-governmental organisations (NGOs) agree on it in their fully negotiated contracts). In my view, given that only *voluntary* general monitoring is permitted, using contractual freedom to negotiate and solidify the same measures individually should be equally possible. Those measures are not subject to Article 8 DSA. On the other hand, Article 8 DSA should prevent any ‘obligations’ that are ‘non-voluntary.’ Recital 26 reminds us that ‘[v]oluntary actions should not be used to circumvent the obligations of providers of intermediary services under this Regulation.’ Thus, for instance, if an app store implements general monitoring in its capacity as a very large online platform (VLOP) trying to satisfy the DSA’s risk management obligations, the resulting obligations imposed on app developers are not voluntary. They originate from the legal mandate the app store internalises in response to Article 34 DSA.

5.2.2 What is ‘monitoring’?

From the reported history behind the ECD, it is evident that Article 15 ECD was intended to cover measures ranging from broad filtering of hosted information to area obligations, such as those adopted to protect minors.⁹ The term covers all kinds of general measures, including those that did not request monitoring by name but have the same effect.¹⁰ For instance, an abstract obligation ‘to protect minors’ can mean the creation of tools for parents but also an obligation to observe and evaluate users to assess their age. Only the latter obligation would qualify as monitoring. In the context of the DSA, this ‘by object or effect’ distinction is now also reflected in the words of ‘de jure or de facto’ in Recital 30 DSA. The European Parliament demanded clarification during the negotiations.

The GMOP has two prongs: a) monitoring the information stored or transmitted, and b) actively seeking facts or circumstances indicating illegal activity. The CJEU case law to date is silent on the difference. Fact-finding seems to imply obligations involving human judgement while monitoring mostly implies using machines.¹¹ Fact-finding implies discovering, acquiring, and establishing facts by someone. Monitoring, in contrast, customarily means an act of observing or recording. It thus implies surveillance over someone or something by either people or machines. Taken together, monitoring practically means surveillance of users and their content on the digital service.

When a measure targets past actions or static targets, such as removing specific illegal content on a URL, there is usually very little concern that this would amount to ‘monitoring’. In such cases, the content can be identified with precision using a URL or an Internet Protocol (IP) address and domain name. To comply, the provider does not usually have to monitor anything. It simply removes specific content, blocks accounts, or deregisters a domain name. In contrast, the greatest difficulty comes with measures that attempt to police *future lawless acts* or *moving targets* on a particular service.¹² In order to fulfil such orders, providers must usually ‘monitor the information which [they] transmit or store’ or ‘actively to seek [new] facts or circumstances indicating illegal activity’. This typically applies to orders asking for the ‘stay-down’ of information, ‘prevention of re-appearance’, or those requiring ‘dynamic updating’.¹³

The liability chapter of the DSA is based on the idea that facts are gathered and evaluated usually by victims, and hosting providers only check their requests for manifest illegality.¹⁴ When orders or statutory obligations ask providers to continue to acquire

⁹ Crabit (n 5) 815.

¹⁰ Arguably, this also means that imposing direct liability for illegal content hosted on its service usually represents a breach of the liability exemption and the general obligation to monitor.

¹¹ This seems to be suggested by the AG in Case C-314/12 *UPC Telekabel Wien GmbH v Constantin Film Verleih GmbH* ECLI:EU:C:2013:781, Opinion of AG Cruz Villalón, para 78.

¹² Martin Husovec, ‘Holey Cap! CJEU Drills (yet) Another Hole in the e-Commerce Directive’s Safe Harbours’ (2017) 12(2) *Journal of Intellectual Property Law & Practice* 115, 119.

¹³ For the practice in the Member States, see EUIPO and CEIPI, *Study on Dynamic Blocking Injunctions in the European Union* (EUIPO 2021) <<https://op.europa.eu/s/yX4r>> accessed 21 August 2023.

¹⁴ See ch 7.

new information, they modify liability exemptions because first, they oblige providers to know, and then punish them for knowing. The problem does not arise, however, if the measure is prospective, but the new information continues to be supplied by victims. This is the case for dynamically updated website blocking injunctions that change their target after they are granted by judges.¹⁵ The key consideration in such cases is the question of oversight.

The DSA does not make all monitoring or fact-finding obligations illegal. However, it allows them only if they are specific, ie if they are properly targeted. One can clearly draw an analogy with data retention. Article 8 DSA prevents indiscriminate surveillance of digital content and people using the internet but permits the legitimate targeted actions of authorities.¹⁶ Surveillance measures imposed on providers to fight illegal content or behaviour online are not entirely prohibited, but they must be administered by authorities, be proportionate and strictly targeted—at least unless the EU legislature says otherwise. Thus, a court order asking providers to preserve or release evidence, or observe a specific user, easily satisfy the requirements of Article 8 DSA. However, once the orders extend to the broader digital public, the difficulties start.

5.2.3 When is it ‘general’?

Based on Recital 47 ECD, pre-DSA case law quickly distinguished specific and general monitoring. While specific monitoring is permitted, general monitoring is prohibited by Article 15 ECD. Where the boundary lies exactly, however, has become a longstanding contention between the CJEU and Member States, and even within the CJEU. Over the years, the EU legislature adopted legislation that reiterates the GMOP in very different sectorial legal instruments to complicate things further. It is, therefore, possible that the GMOP carries different meanings in different contexts.

Early case law interpreted general monitoring as measures that concern large parts of the user base of a particular service. Thus, searching content posted by everyone would be seen as general, even if it was performed to find something particular (eg an image depicting the abuse of a particular child). Thus, knowing what needle you are looking for does not justify searching the entire haystack. The interpretation was devised first by the Grand Chamber of the CJEU in *L’Oréal v eBay* in 2011,¹⁷ and it was then applied by a five-judge chamber in the *SABAM* and *Scarlet Extended* cases in 2012.¹⁸

¹⁵ See, for instance, the decision of the District Court of Hague, Rb Den Haag 22 September 2017, Case C/09/535341, ECLI:NL:RBDHA:2017:10789 (*Stichting Brein/Ziggo & XS4ALL*), para 5.3 (‘orders [an ISP] in the event that TPB starts operating via other/additional IP addresses and/or (sub)domain names... to block and keep blocked the access of their customers to these... within three working days after delivery by Brein’).

¹⁶ A similar opinion is presented by Folkert Wilman, ‘Two Emerging Principles of EU Internet Law: A Comparative Analysis of the Prohibitions of General Data Retention and General Monitoring Obligations’ (2022) 46 CLS Review 105728.

¹⁷ *eBay* (n 7) para 139.

¹⁸ *SABAM* (n 7); *Scarlet Extended* (n 7).

In *eBay*, the CJEU ruled that an injunction imposed on an online marketplace, as a type of measure, ‘cannot have as its object or effect a general and permanent prohibition on the selling, on that marketplace, of goods bearing those trademarks.’¹⁹ The Court applied the standard proposed by AG Jääskinen,²⁰ and it accepted that measures consisting of a suspension of accounts or measures enabling identification of its sellers would be sufficiently specific.²¹ The Court noted that the two mentioned measures are not the only ones possible.²² The German courts took this to mean that the applied standard is not exhaustive,²³ which was arguably wrong because the CJEU clearly referenced²⁴ the following standard properly articulated by AG Jääskinen:

An appropriate limit for the scope of injunctions may be that of a double requirement of identity. This means that the infringing third party should be the same and that the trade mark infringed should be the same in the cases concerned. Hence, an injunction could be given against an intermediary to prevent the continuation or repetition of an infringement of a certain trade mark by a certain user. Such an injunction could be followed by an information society service provider by simply closing the client account of the user in question.²⁵

In *Sabam* and *Scarlet Extended*, a national court considered whether an internet access provider and a social networking platform could be asked to install filtering systems. The CJEU concluded that this would involve the ‘systematic analysis of all content and the collection and identification of users’ IP addresses from which unlawful content on the network is sent.’²⁶ This was viewed as too general. On the other hand, in *UPC Telekabel*, the CJEU accepted website blocking measures as a legitimate and specific type of monitoring when it followed the advice given by the AG:

It would constitute such an inadmissible measure if the court had ordered the ISP actively to seek copies of the infringing page among other domain names or to filter all the data carried in its network in order to ascertain whether they constitute transfers of specific protected film works and to block such transfers. However, such a measure is not in issue in the present case. Rather, the referring court is required to decide on the blocking of a specific website. The measure therefore does not infringe Article 15(1) of Directive 2000/31.²⁷

¹⁹ *eBay* (n 7) para 140.

²⁰ Case C-324/09 *L’Oréal SA and Others v eBay International AG and Others* ECLI:EU:C:2010:757, Opinion of AG Jääskinen, para 182.

²¹ *eBay* (n 7) paras 141–42.

²² *ibid* paras 141–43.

²³ See German Federal Supreme Court cases, BGH v 22 July 2010 – I ZR 139/08 (*Kinderhochstuehle im Internet I*); BGH v 12.07.2012 – I ZR 18/11 (*Alone in the dark*); BGH v 15 August 2013 – I ZR 80/12 (*File-Hosting-Dienst*); BGH v 16 May 2013 – I ZR 216/11 (*Kinderhochstühle im Internet II*).

²⁴ *eBay* (n 7) para 141, pointing to the part with standard.

²⁵ *eBay* (Opinion of AG Jääskinen) (n 20) para 182.

²⁶ *Scarlet Extended* (n 7) para 40; *SABAM* (n 7) para 38.

²⁷ *UPC Telekabel* (Opinion of AG Cruz Villalón) (n 11) para 78, suggests this.

This reasoning was not without problems, in particular, because website blocking is an enforcement goal that can be implemented in a number of ways. Some blocking can take the form of specific monitoring (as defined by *eBay*), such as when a Domain Name System (DNS) entry is blocked. However, Deep Packet Inspection (DPI) based blocking, which scans all data carried in the network as it passes an inspection point, constitutes indiscriminate monitoring. The CJEU did not consider this point and simply approved website blocking as an enforcement goal.

In the *McFadden* case, concerning a wi-fi hotspot, AG Szpunar argued that ‘a measure requiring the owner of an internet connection to examine all communications transmitted through that connection’ would ‘clearly conflict with the prohibition on imposing a general monitoring obligation.’²⁸ In his view, ‘in order to constitute a monitoring obligation “in a specific case”, such as is permitted under Article 15(1), the measure in question must be limited in terms of the *subject* and *duration* of the monitoring, and that would not be the case with a measure that entailed the examination of all communications passing through a network.’²⁹ Thus, Szpunar proposed to use the subject and duration as the limiting principles. The Court accepted the conclusion of the AG’s analysis and ruled that ‘examining all communications passing through an internet connection’ is a violation of the GMOP without explicitly referring to the two conditions.³⁰ It should be recalled that the Court already spoke of ‘general and *permanent*’ obligations as being incompatible in *eBay*. Therefore, AG Szpunar’s view had a firm footing in the case law.

In *Tommy Hilfiger*, a case dealing with the obligation in the offline context (preventive obligations imposed on a flea market operator), the Court restated its case law, weaving in also requirements of the IP Enforcement Directive, as follows:

Lastly, the Court held that injunctions must be equitable and proportionate. They must not therefore be excessively expensive and must not create barriers to legitimate trade. Nor can the intermediary be required to exercise general and permanent oversight over its customers. By contrast, the intermediary may be forced to take measures which contribute to avoiding new infringements of the same nature by the same market-trader from taking place.³¹

The ‘general and *permanent* oversight of customers’ is equivalent to ‘general and permanent monitoring’ known from *eBay*. Similarly, in line with that ruling, the decision seemed to again suggest that the only specific oversight that would be acceptable is one limited to ‘avoiding new infringements of the same nature by the same market trader from taking place.’

²⁸ Case C-484/14 *Tobias McFadden v Sony Music Entertainment Germany GmbH* ECLI:EU:C:2016:170, Opinion of AG Szpunar, para 132.

²⁹ *ibid.*

³⁰ *McFadden* (n 8) para 87.

³¹ Case C-494/15 *Tommy Hilfiger Licensing LLC and Others v Delta Center* ECLI:EU:C:2016:528, para 34.

This case law was largely consistent, although not universally followed, until 2019, when the CJEU decided the *Glawischnig* case.³² Before I explain that ruling, it is crucial to understand the precedential weight of all these decisions. The only Grand Chamber ruling from the cases above is *eBay*. All other rulings, including *Glawischnig*, are ‘only’ five-judge rulings. In *SABAM* and *Scarlet Extended*, the judge rapporteur was one of the leading copyright judges, Malenovský.³³ In the only Grand Chamber judgment, *eBay*, the rapporteur was another leading IP judge, Ilešič. The *Glawischnig* ruling was authored by Malenovský just before he retired from the bench.³⁴

In *Glawischnig*, the CJEU accepted that specific monitoring could also entail automated tools applied to the entire user base to locate and block a specific infringement. If the needle sought was specifically identified (eg a website or a specific piece of content), the haystack could span the entire service. The Court argued that if the *instructions* for the continuous search were specific enough, the analysis of all content on the service would not be against the GMOP. The important caveat was that the case, unlike all earlier IP cases, concerned defamation, and the national measure subject to scrutiny was a judgment spelling out such instructions and identifying which exact expressions were illegal. Thus, the obligations resulted from a judge applying the law to specific facts and instructing the platform on what exact content must be removed and prevented. This was a clear shift from the Court’s previous position. AG Szpunar’s opinion was willing to impose future filtering of content only upon the same user—thus searching only in a related haystack.³⁵

The five-judge chamber explained its new position as follows:

(41) It follows therefore that, in order for an injunction which is intended to bring an end to an illegal act and to prevent it being repeated, in addition to any further impairment of the interests involved, to be capable of achieving those objectives effectively, that injunction must be able to extend to information, the content of which, whilst essentially conveying the same message, is worded slightly differently, because of the words used or their combination, compared with the information whose content was declared to be illegal. Otherwise, as the referring court made clear, the effects of such an injunction could easily be circumvented by the storing of messages which are scarcely different from those which were previously declared to be illegal, which could result in the person concerned having to initiate multiple proceedings in order to bring an end to the conduct of which he is a victim ...

³² *Glawischnig* (n 7).

³³ For the analysis of how the judges start de facto specialising, see Eleonora Rosati, *Copyright and the Court of Justice of the European Union* (2nd edn, OUP 2023).

³⁴ The Court held that a website blocking measure does not have to specify the means as long it targets a specific website. However, this could also mean that the measure is only specific under the old understanding (eg domain name blacklisting) but also includes measures that scan the entire contents of transmitted communications (eg DPI technology to spot the targeted website). This aspect was later criticised by other members of the Court, such as the AG, see *McFadden* (Opinion of AG Szpunar) (n 28).

³⁵ *Glawischnig* (Opinion of AG Szpunar) (n 3) para 75.

(45) In light of the foregoing, it is important that the equivalent information referred to in paragraph 41 above contains specific elements which are properly identified in the injunction, such as the name of the person concerned by the infringement determined previously, the circumstances in which that infringement was determined and equivalent content to that which was declared to be illegal. Differences in the wording of that equivalent content, compared with the content which was declared to be illegal, must not, in any event, be such as to require the host provider concerned to carry out an independent assessment of that content.

(46) In those circumstances, an obligation such as the one described in paragraphs 41 and 45 above, on the one hand—in so far as it also extends to information with equivalent content—appears to be sufficiently effective for ensuring that the person targeted by the defamatory statements is protected. On the other hand, that protection is not provided by means of an excessive obligation being imposed on the host provider, in so far as the monitoring of and search for information which it requires are limited to information containing the elements specified in the injunction, and its defamatory content of an equivalent nature does not require the host provider to carry out an independent assessment, since the latter has recourse to automated search tools and technologies.³⁶

The decision was immediately understood as a departure by other AGs³⁷ and academic commentators.³⁸ According to Angelopoulos and Sentfleben,³⁹ however, its reach should remain confined to defamation and be understood as chipping away from the baseline *eBay* standard only when judges issue specific instructions. Thus, even the new lowered standard, in their view,⁴⁰ does not permit national legislatures to use measures that would operate without judicial authorisation in each case.

The major difficulty with *Glawischnig* is that it does not consider the limits of the potentially continuous order. In the analogous online world, few judges would issue permanent search warrants without oversight. A warrant targeting a company that orchestrates public and private communications would be unthinkable without due consideration given to time and tailoring of the order's scope to avoid overreaching. The Court in *Glawischnig* refused to engage on all these points because it remains silent on what additional safeguards, if any, are required to grant the order.

A few months after *Glawischnig*, the CJEU issued a Grand Chamber decision on a related issue. In *Poland v Council/EP*, the Court reinforced the logic behind the *Glawischnig* ruling.⁴¹ Here, the Court scrutinised an EU legislation that 'required to

³⁶ *Glawischnig* (n 7) paras 41, 45, and 46 (emphasis mine).

³⁷ Case C-401/19 *Republic of Poland v European Parliament and Council of the European Union* ECLI:EU:C:2021:613, Opinion of AG Øe, paras 112–13; Daphne Keller, 'Facebook Filters, Fundamental Rights, and the CJEU's Glawischnig-Piesczek Ruling' (2020) 69(6) *Journal of European and International IP Law* 616.

³⁸ Christina Angelopoulos and Martin Sentfleben, 'An Endless Odyssey? Content Moderation Without General Content Monitoring Obligations' (2021) <<https://ssrn.com/abstract=3871916>> accessed 1 August 2023.

³⁹ *ibid* 18, 22.

⁴⁰ *ibid* 4.

⁴¹ *Poland* (n 8).

use automatic recognition and filtering tools⁴² at the mere request of right holders. According to the Court, although the GMOP was mentioned in the legislation, it was not violated but rather acted as a safeguard. The Court explained it as follows:

Fourthly, by stating, in terms similar to those employed in Article 15(1) of Directive 2000/31 in respect of that directive, that the application of Article 17 of Directive 2019/790 must not lead to any general monitoring obligation, Article 17(8) of that directive provides an *additional safeguard for ensuring that the right to freedom of expression and information of users of online content-sharing services is observed*...⁴³

Thus, the Court accepted that the entire user base of a video-sharing service can be subject to monitoring and that the specific instructions do not have to be issued by a court. On the one hand, the Court confirms that the GMOP is not violated if the specific instructions come from individuals without pre-existing judicial determination. On the other, unlike judicial injunctions, the legal basis was an act of Union law that also included additional safeguards, where a restatement of the GMOP only served as one of such safeguards. In other words, while the principle of general monitoring was invoked by the state, the legislation was not that of the Member State but the Union, and it was accompanied by additional safeguards. In my view, for the Court, this spoke in favour of loosening up the GMOP standard since there was no concern that the Member States would fragment the single market or that the national authorities do not provide some level of supervision.

The main focus of CJEU's judgment in *Poland* is on strict targeting of measures and the level of errors. The Court notes that filtering and blocking upon upload constitutes a prior restraint and thus cannot lead to the blocking of legal content. The technology can be used but must 'distinguish adequately between unlawful content and lawful content'.⁴⁴ This seems non-negotiable for the Court. The Court in *Poland* notes that the technology put in place must also comply with 'an additional safeguard'.⁴⁵ It must achieve such adequacy without 'an independent assessment of the content' of facts or law. In my view, this means that machines must be capable of satisfying the standard without human involvement. Here is how the Court expresses it:

90 ... That clarification means that the providers of those services *cannot be required to prevent the uploading and making available to the public of content which*, in order to be found unlawful, *would require an independent assessment of the content* by them in the light of the information provided by the rightholders and of any exceptions and limitations to copyright (see, by analogy, judgment of 3 October 2019, *Glawischnig-Piesczek*, C-18/18, EU:C:2019:821, paragraphs 41 to 46).⁴⁶

⁴² *ibid* para 54.

⁴³ *ibid* para 90 (emphasis mine).

⁴⁴ *ibid* 86; *Scarlet Extended* (n 7) para 52; *SABAM* (n 7) para 50.

⁴⁵ *Poland* (n 8) para 90.

⁴⁶ *ibid* (emphasis mine).

And this is the referenced text from *Glawischnig*:

46 In those circumstances, an obligation ... appears to be sufficiently effective for ensuring that the person targeted by the defamatory statements is protected. On the other hand, that protection is not provided by means of an excessive obligation being imposed on the host provider, in so far as the monitoring of and search for information which it requires are limited to information containing the elements specified in the injunction, and its defamatory content of an equivalent nature *does not require the host provider to carry out an independent assessment, since the latter has recourse to automated search tools and technologies*.⁴⁷

In my view, this means that the limit of the GMOP is what the technology in question can do *autonomously*.⁴⁸ The Court understands independent assessment as an assessment of facts or law which requires recourse to non-automated tools, which can only mean human judgement. The reason is linguistic but also teleological. If the same need for assessment is triggered by a notification, it would clearly be labelled as an independent assessment. Moreover, *if* an upfront obligation to review uploaded content by humans is illegal, it should not make any difference *how* the sample for manual review is generated. Thus, if it is illegal to mandate humans to do sample checks a priori, the same should be true if such sample checks are mandated to sort out errors generated by machines.

Only the machine-only configuration does not increase the stock of knowledge. Whatever a machine sees does not lead to actual knowledge of the provider and thus cannot lead to liability. The opposite reading, ie that faulty technology can generate many false positives that humans must review even only for obvious errors, would mean that those generated false positives might lead to actual knowledge and thereby strip providers of liability exemptions exactly because they are reviewed by humans—the very point that the GMOP tries to prevent.

Even in the context of Article 17 of the Copyright in the Digital Single Market (CDSM) Directive, the technology used must be precise enough. While the Court does not go into the details, this also has consequences for what can be subject to such user-base-wide orders. If infringements cannot be identified and evaluated with a negligible margin of error, there can be no expectation that machines can meaningfully help in uncovering them. This is why I think that the Court is permitting user-base-wide measures only for ‘automatable infringements’.⁴⁹

⁴⁷ *Glawischnig* (n 7) paras 45–46 (emphasis mine).

⁴⁸ Martin Husovec, ‘Mandatory Filtering Does Not Always Violate Freedom of Expression: Important Lessons from *Poland v Council and European Parliament*’ (2023) 60(1) Common Market Law Review 173.

⁴⁹ I have previously developed this concept to explain when infringements can be spotted by technology with a negligible margin of error: Martin Husovec, ‘The Promises of Algorithmic Copyright Enforcement’ (2018) 42(1) Columbia Journal of Law & the Arts 53.

Thus, if humans must get involved to complement automation to assure the adequacy of error rates, their involvement rightly triggers the GMOP. While this reading is intuitive, it is not followed by some Member State courts.⁵⁰

So—where does this leave us?

It is indisputable that the CJEU gradually broadened its standard for what constitutes permissible monitoring under Article 15 ECD. In my view, the Court is currently moving away from user-specific tailoring to a more flexible test. Arguably, three main factors determine whether monitoring is general and prohibited, or specific and allowed: (a) specificity of instructions, (b) adequate automatability of implementation, and (c) existence of safeguards. The maximisation of these factors leads to strict targeting for speech, privacy and data protection concerns, and proportionality for the right to conduct business.

Specificity of instructions requires that a legal mandate (an order or law) must specify whose rights are protected, which exact rights, and which infringements must be prevented. The type of violation subject to the request must be sufficiently narrow. For instance, the request cannot concern just any violation of personality rights but must be limited to the same or almost identical expressions of already identified offensive comments. While the Court does not require one specific technological implementation, it seems to insist that at least the enforcement goals, such as blocking of a website, removal, and reappearance, are formulated with sufficient precision. This means a request asking ‘any infringement’ to ‘disappear’ from the service would fail.

Whenever specific instructions try to prevent some acts of users, their implementation must be susceptible to adequate automation. It cannot go beyond what machines can implement with adequate precision.⁵¹ In my view, if there is no way for a provider to automate compliance, no proactive action is required to satisfy preventive duties. Providers might bear the burden of proof to justify this, but if proven, the inability to adequately automate should exonerate them from the obligation. If this were not the case, the providers would be forced to employ humans to seek and assess facts, which would violate the GMOP.⁵² Thus, for instance, demanding that platforms use filters that are so imprecise that they must be complemented by humans should violate the GMOP, as would requiring them to check individual pieces of content before such filters are put into place.

The specificity of instructions and their scalability through automation achieves a fair balance because it reduces the effort and resources the providers must put in place. In the spirit of Article 7 DSA, it insulates desirable behaviour—compliance with injunctions—from being a potential source of new liability risks for the provider—knowledge of new violations—to avoid disincentivising it. Because the burden for

⁵⁰ See the German Federal Supreme Court case before the *Glawischnig* ruling, *Alone in the Dark* (n 23), and the Austrian Supreme Court case after the *Glawischnig* ruling, also allowing expansion to laypersons, OGH 30 March 2020, 4 Ob 36/20b SZ 2020/25, para 6.1.

⁵¹ While this is not entirely clear from *Poland* (n 8) para 90, it is clear from *Glawischnig* (n 7) para 46.

⁵² This does not preclude providers from relying on humans in the process, but their involvement cannot be used as an excuse for lowering the standard.

social harms online is shared (see Chapter 21), each party is required to do their part, and providers cannot be asked to conduct ‘a detailed legal examination’⁵³ or seek out new facts as it would represent ‘a burden in excess of what can reasonably be expected.’⁵⁴

The existence of the appropriate legal mandate supervised by authorities is also crucial for the observance of safeguards—an implicit third requirement in case law. In fact, the presence of authorities that oversee the grant is already one such safeguard. The other can take different forms, such as advanced notice to affected parties, their ability to challenge orders or their implementation, time limits for orders, or disclosures and transparency. The CJEU has so far addressed these points in its discussion of proportionality;⁵⁵ however, they are clearly inextricably connected with the legal basis.

Once the instructions are specific, they must still pass the requirement of being prescribed by the law and proportionate, including being subject to sufficient safeguards. In the absence of Union legislation to the contrary, the instructions to trigger monitoring must always be issued by the authorities. This is not because of Article 8 DSA but due to the interpretation of liability exemptions (see Chapter 6). Obligations to perform specific monitoring, subject to penalties of any kind, are a form of liability for information. They are thus caught by liability exemptions but are, in turn, released by injunction clauses to preserve ‘the possibility for a court or administrative authority’ to issue orders. In other words, even specific monitoring obligations compatible with the GMOP can still only be issued by authorities. As a result, specific monitoring cannot be triggered by a request of a private party merely enabled by legislation. Only if an authority is involved in conferring such obligation does the liability exemption not stand in the way. National law giving power to individuals to legally request specific monitoring without any involvement of authorities violates the DSA.⁵⁶

Thus, even under the most favourable interpretation of Article 8 DSA, national non-judicial or non-administrative stay-down obligations (obligations to prevent future recurrence of infringement) are not compatible with Articles 4–6 DSA unless the EU legislature introduced them. For all other cases, only national decisions issued by authorities, if they include specific instructions, can lead to such obligations. The non-judicial or non-administrative stay-down can only be introduced in some form by the EU legislature, as we have seen in the case of Article 17 CDSM Directive.

The CJEU still seems to be in the process of outlining what exactly constitutes an illegal general monitoring obligation.⁵⁷ A lot more case law can be expected on the matter in the coming years. However, given that the DSA is a measure of full harmonisation providing for a complex system of mechanisms to tackle illegal content online,

⁵³ Joined Cases C-682/18 and C-683/18 *Frank Peterson v Google LLC and Others and Elsevier Inc v Cyando AG* ECLI:EU:C:2021:503, para 116.

⁵⁴ Case C-460/20 *TU and RE v Google LLC* ECLI:EU:C:2022:962, para 71.

⁵⁵ *UPC Telekabel* (n 8) para 57.

⁵⁶ To be sure, laws allowing merely request-based specific monitoring can be legislated but are reserved for the EU legislature. The EU legislature can naturally amend the DSA itself. We have witnessed this in *Poland*—a case reviewing the constitutionality of art 17 CDSM Directive.

⁵⁷ Andreas Paulus, ‘Schutz des geistigen Eigentums’ in Josef Isensee and Paul Kirchhof (eds), *Handbuch des Staatsrechts der Bundesrepublik Deutschland* (Band XI, C. H. Beck 2013) § 247, paras 49–51.

it is difficult to find space for national laws imposing other proactive obligations in their legislation anyway (see Chapter 17).⁵⁸ The GMOP will thus serve as an important European backstop against indiscriminate surveillance of people and content.

5.3 Origins of the GMOP: From the ECD to the DSA

Having attempted to demarcate the scope of the GMOP, it is useful to examine its legislative history and developments up to this point. Article 8 DSA essentially serves as a ‘bridge of continuity’⁵⁹ for the GMOP between the ECD and the DSA. However, the provision is slightly reworded to better fit into a regulation. Table 5.1 illustrates the changes.

First, given the change from a directive to a regulation, the prohibition is no longer directed to the Member States (‘Member States shall not’). Instead, a passive form is used to express a general prohibition (‘no ... shall be imposed’). Article 8 DSA thus clearly formulates a substantive principle rather than merely a procedural rule limiting state action. This brings about no change for state actions on the national level, such as orders issued by authorities or legislative acts. It might, however, change or clarify how Article 8 DSA covers state action of EU bodies (eg by the European Commission) and whether it also covers non-state actors. Article 15 ECD did not explicitly cover EU bodies as it only spoke of the Member States. Article 8 DSA widens the scope by turning the language from specific to all-encompassing. Given the powers that the European Commission gains with the DSA, it is only natural that the GMOP also explicitly started applying to the EU bodies.

Second, while the ECD included a cross-reference to a provider ‘when providing the services covered by Articles 12, 13 and 14’ (ie those with the liability exemptions), the

Table 5.1 GMOP in the ECD and DSA

GMOP in Article 15 ECD	GMOP in Article 8 DSA
<i>‘Member States shall not impose a general obligation on providers, when providing the services covered by Articles 12, 13 and 14, to monitor the information which they transmit or store, nor a general obligation actively to seek facts or circumstances indicating illegal activity’.</i>	<i>‘No general obligation to monitor the information which providers of intermediary services transmit or store, nor actively to seek facts or circumstances indicating illegal activity shall be imposed on those providers’.</i>

⁵⁸ If the measure at stake undermines the DSA mechanisms, it can be pre-empted by such DSA provisions without even invoking the GMOP. For instance, art 22 DSA would pre-empt national authorities from issuing injunctions obliging providers to prioritise assessment of notifications even from entities that do not qualify as trusted flaggers; art 23 would pre-empt injunctions requiring that no prior warning be served prior to account blocking.

⁵⁹ Interview with Irene Roche Laguna, Deputy Head of Unit for Coordination and Regulatory Compliance, European Commission (2021–23). The interview was carried out over a number of sessions across the three years.

Table 5.2 Recital 47 ECD vs. Recital 30 DSA

Recital 47 ECD	Recital 30 DSA
‘Member States are prevented from imposing a monitoring obligation on service providers only with respect to obligations of a general nature; this does not concern monitoring obligations in a specific case and, in particular, does not affect orders by national authorities in accordance with national legislation.’	‘Providers of intermediary services should not be, neither de jure, nor de facto, subject to a monitoring obligation with respect to obligations of a general nature. This does not concern monitoring obligations in a specific case and, in particular, does not affect orders by national authorities in accordance with national legislation, in compliance with Union law, as interpreted by the CJEU, and in accordance with the conditions established in this Regulation. Nothing in this Regulation should be construed as an imposition of a general monitoring obligation or a general, active fact-finding obligation, or as a general obligation for providers to take proactive measures to in relation to illegal content.’

DSA refers merely to ‘intermediary services’ along with the technical activities of transmitting or storing. This could be read as a mere simplification of the text, but it could also be read as stipulating that the prohibition of general monitoring *does* apply *when-ever* providers exercise those technical functions, *regardless* of whether they eventually lose a liability exemption because they stop being neutral (see Chapter 6).

Finally, the last cosmetic change is that the second paragraph of Article 15 ECD is dropped entirely. It made sense in a minimum harmonisation instrument like the ECD but not in a full harmonisation instrument. The DSA covers some ways under which the Member States’ actors can obtain information from digital intermediaries regarding the identity of their users. In fact, in the context of the discussions leading to the adoption of the ECD, it was thought that this paragraph was unnecessary from a legal perspective since no provision of the Directive had the potential effect of limiting the possibility of legislation by the Member States.⁶⁰ Article 15(2) ECD was only added to ensure that such national laws could not derogate from the liability exemptions.⁶¹ A similar cosmetic change is the title of the article which shifts from ‘[n]o general obligation to monitor’ to ‘[n]o general monitoring or active fact-finding obligations’.

There has also been a change in the accompanying Recitals. Under the ECD, the most important arguments were found in Recital 47. In DSA, it is Recital 30. The table below shows how they compare. The EU co-legislators wanted to add a ‘dynamic reference’ to the rich case law established by the CJEU. The text clearly states that the DSA must be subjected to the same case law of the CJEU as under the ECD. The co-legislators agreed upon this dynamic reference at the last minute after a long debate regarding a slightly erratic attempt at ‘codifying’ some elements of such case law, as proposed by the Council (see Table 5.2).

⁶⁰ *ibid.*

⁶¹ Crabit (n 5) 816.

Firstly, Recital 30 DSA stipulates that specific monitoring obligations, in particular those imposed by national orders, should be issued in compliance with Union law, including the EU Charter. Already under the ECD, these orders were within the remit of EU law because orders permitted by injunction clauses were technically derogations that had to comply with the GMOP.⁶² This clarification, along with provisions like Article 9 DSA on orders, renders the conclusion inescapable.

Secondly, Recital 30 DSA emphasises that provisions of the DSA itself are equally subject to the GMOP. This is a crucial reminder, given that the DSA has numerous tools that could be interpreted broadly. For instance, the risk-based measures applicable to VLOPs and very large online search engines (VLOSEs), or the ‘best efforts’ obligations imposed on online marketplaces, when interpreted in light of Article 8 DSA, may not de facto or de jure lead to an obligation to generally monitor or fact-find illegal content, including the ‘general obligation [to take] proactive measures.’⁶³ These obligations are legislated next to liability exemptions as special rules that indirectly amend liability exemptions, but under the condition that they remain targeted as required by the GMOP.⁶⁴

5.4 The GMOP as a Balancing Tool

The prohibition of general monitoring is a reflective surface for many freedom of expression, privacy and data protection concerns in the digital environment. It de facto constitutes a tool for constitutional balancing. Looking at its wording, one would easily think that the most important right that the GMOP protects is the right to conduct business (Article 16 EU Charter of the Fundamental Rights (CFR)).⁶⁵ However, as was mentioned in the introduction, the most frequently protected right that the GMOP guarantees is actually the right to freedom of expression and information (Article 11 CFR). So far, it is less understood that the GMOP equally protects personal data and privacy (Articles 7–8 CFR). Table 5.3 lists examples of typical measures and risks in the context of Article 8 DSA.

To date, the typically mentioned policy rationale of the GMOP has been that it protects against blocking lawful content due to limits of technology. Arguably, Recital 26 now reinforces this focus by stating that ‘providers ... should, for example, take reasonable measures to ensure that, where automated tools are used to conduct such activities, the relevant technology is sufficiently reliable to limit to the maximum extent possible the rate of errors’. In this sense, Article 8 DSA acts as a brake on using technological

⁶² On the injunction clauses (arts 14(3), 13(2), and 12(3) ECD), ch 8.

⁶³ DSA, Rec 30.

⁶⁴ In the absence of European harmonisation, enforcing some of the due diligence rules, such as fines for failing to engage in risk mitigation, would fall under the remit of the liability exemptions and be barred by them in the national law. The EU thus opened the regulatory space; however, it only used the tools in the DSA.

⁶⁵ Charter of Fundamental Rights of the European Union [2012] OJ C326/391, art 16.

Table 5.3 Keys risks for general monitoring

	Freedom of expression	Privacy and data protection	Right to conduct business
High risks	Over-blocking of legal information caused by inadequate automation	Preventive indiscriminate surveillance of people's private communications	Preventive obligations that require independent fact-gathering or assessment
Low risks	Reactive measures to remove specific content or block specific users	User-targeted measures	Reactive measures to remove specific content or block specific users

solutions that might be inadequate from the perspective of freedom of expression. As explained by the CJEU:

... A filtering system which might not distinguish adequately between unlawful content and lawful content, with the result that its introduction could lead to the blocking of lawful communications, would be incompatible with the right to freedom of expression and information, guaranteed in Article 11 of the Charter, and would not respect the fair balance between that right and the right to intellectual property. ... The providers of those services cannot be required to prevent the uploading and making available to the public of content which, in order to be found unlawful, would require an independent assessment of the content by them in the light of the information provided...⁶⁶

This reading was suggested by AG Øe, who felt that given the technological improvements, the CJEU had already approved more permissive standards of the GMOP in *Glaswischnig*.⁶⁷ The most compelling description of the GMOP's function can be found in the following passage, where he summarised it as follows:

I am inclined to regard the prohibition laid down in Article 15 of Directive 2000/31 as a general principle of law governing the Internet, in that it gives practical effect, in the digital environment, to the fundamental freedom of communication. I note, moreover, that the Court has already brought together compliance with that freedom and that prohibition in its case-law. One cannot exist without the other. It follows, in my view, that that prohibition goes beyond the scope of Article 15 of Directive 2000/31 and is binding not only on the Member States, but also on the EU legislature.⁶⁸

The AG rightly evoked the case law of the CJEU, which previously dressed up its rejection of the national measures in the EU Charter's cloth.⁶⁹ The CJEU eventually fully

⁶⁶ *Poland* (n 8) paras 86, 90.

⁶⁷ *Poland (Opinion of AG Øe)* (n 37) para 113.

⁶⁸ *ibid* para 106.

⁶⁹ *Scarlet Extended* (n 7) paras 40, 52; *SABAM* (n 7) paras 38, 50.

accepted this reading by AG Øe when it ruled that the GMOP constitutes ‘an additional safeguard for ensuring that the right to freedom of expression and information of users of online content-sharing services is observed.’⁷⁰ As discussed above, in having the speech concerns of content creators in mind, this had led to several important limiting principles: (a) strict targeting of measures, (b) adequacy of error rates, and (c) machine-only implementation of the tools. While these measures protect providers against excessive demands, the right to conduct business, in fact, shapes the measures less than the right to freedom of expression and information. For instance, the adequacy of error rates actually raises costs for providers who could employ cheaper solutions. The Court’s failure to constantly articulate this⁷¹ should not be immediately seen as a failure to recognise this trade-off.

Thus, the GMOP emphasises the precision of enforcement rather than its cost to providers. If delivering adequate quality is more expensive but still proportionate, the GMOP arguably demands that quality be given preference. This never-ending compromise between cost and precision is also evident in the requirement for preventive measures, whereby machines must, in themselves, be able to deliver such adequate quality. In the end, this protects providers from excessive demands to employ human moderators to complement faulty technologies, but it protects speakers exposed to faulty decision-making. Taken together, the GMOP acts as an incentive to improve technological means.

The above argument was brought to a close by the European Commission, who much earlier speculated that: ‘one can imagine that if filtering techniques had become flawless and costless, the need for a prohibition on imposing a general monitoring obligation would have become obsolete.’⁷² But is it true? If automated tools were to become flawless, would this render the GMOP superfluous?

First, it is fairly clear that such a flawless state can never be reached. No technology can avoid making mistakes, more so if applied to contextually sensitive legal assessments. No amount of machine learning and great data sets will change that. More realistically, automated tools may become sufficiently good in some areas so that they can outperform humans in the rate of their errors.⁷³ This would constitute a tremendous improvement. Of course, such tools could hardly ever become costless as they would require access to new data sets. Plus, the laws determining their assessments change as well. The most realistic expectation is that technological tools will become better than humans at some point and thus can be deployed in many more areas than today and at lower costs. This will obviously broaden their deployment.

⁷⁰ *Poland* (n 8) paras 86, 90.

⁷¹ Most obviously in *Glawischnig* (n 7). As argued in ch 3, the Court is often influenced by the framing in its responses, which does not immediately mean that what goes unmentioned is entirely left out of the picture.

⁷² Commission, “Online Services, Including e-Commerce, in the Single Market” (Commission Staff Working Document) Accompanying the Document “A Coherent Framework to Boost Confidence in the Digital Single Market of e-Commerce and Other Online Services” (Communication) SEC(2011) 1641 final, 50.

⁷³ Husovec, ‘The Promises of Algorithmic Copyright Enforcement’ (n 49) 67–69.

However, even perfect tools can still implicate data protection rights and constitutional issues around mass surveillance. One might still worry about the impressive efficiencies of imaginary error-free systems. Such systems could be viewed as autonomously seeing and deciding too much. The automated tools can draw on years of data and assess many aspects of people's lives. They could provide efficiencies that inevitably come at the expense of the privacy and agency of individuals. Thus, it is hard to imagine that even error-free tools would ever make the GMOP entirely redundant. Better technology will only highlight the data protection dimension. At the moment, the freedom of expression dimension seems justifiably more central. As technologies progress, this may change.⁷⁴

It seems less known that the CJEU previously conceptualised the GMOP in light of both Articles 8 and 11 of the EU Charter, thus also covering the right to personal data among its functions.⁷⁵ Automated tools of enforcement, such as filters, sometimes need personal data (eg videos depicting persons). The long-term retention of such data, its processing in reference databases, often through profiling, and the ability to reach automated decisions are all obvious concerns of data protection law. Privacy concerns have been less important in much of today's case law dealing with IP rights because content recognition technologies sometimes avoid processing personal data. However, in other areas, such as face or voice recognition, personal data will have to be used. This is already the case with filtering technologies such as PhotoDNA, which processes highly sensitive photographs of child abuse material.

There is no doubt that many measures that could qualify as general monitoring, even in the absence of Article 8 DSA, would need to be scrutinised under other EU acts in the data protection law⁷⁶ and the CJEU case law on data retention and automated assessment.⁷⁷ During the legislative process, the European Parliament suggested including explicit safeguards against various cases of abuse of personal data in Article 8 DSA. However, that proposal was not adopted.

To conclude, the GMOP, at its core, protects individuals against indiscriminate surveillance of their behaviour and expressions.⁷⁸ It also protects providers from

⁷⁴ This was precisely the argument raised by the European Parliament when proposing modifications to art 8 that would prohibit the imposition of automated tools for content moderation, the provision of end-to-end encrypted services or the anonymous use of the services. European Parliament, 'Amendments adopted by the European Parliament on 20 January 2022 on the proposal for a regulation of the European Parliament and of the Council on a Single Market For Digital Services (DSA) and amending Directive 2000/31/EC ((COM(2020)0825 — C9-0418/2020 — 2020/0361(COD)))' [2022] OJ C336/48, 138.

⁷⁵ *Scarlet Extended* (n 7) para 50: '... as the contested filtering system may also infringe the fundamental rights of that ISP's customers, namely their right to protection of their personal data and their freedom to receive or impart information, which are rights safeguarded by Articles 8 and 11 of the Charter respectively'. However, the Court did not invoke art 15 ECD specifically in this context.

⁷⁶ Council Regulation (EC) 2016/679 of 27 April 2016 on the protection of natural persons concerning the processing of personal data and on the free movement of such data, and repealing Directive 95/46/EC [2016] OJ L119/1 (GDPR); European Parliament and Council Directive (EU) 2016/680 on the protection of natural persons with regard to the processing of personal data by competent authorities for the prevention, investigation, detection or prosecution of criminal offences or the execution of criminal penalties [2016] OJ L119/89 (Law Enforcement Directive).

⁷⁷ Case C-817/19 *Ligue des droits humains ASBL v Conseil des ministres* [2022] ECLI:EU:C:2022:491.

⁷⁸ For a similar point, Wilman (n 16).

unreasonable costs. The principle can be articulated as follows: *the state is only allowed to pursue digital enforcement in a targeted fashion; individuals shall not be placed under general suspicion that their behaviour or expressions are unlawful.*

5.5 The GMOP as a Harmonisation Tool

As a full harmonisation instrument, the DSA already leaves a small margin for national rules to impose due diligence obligations onto intermediaries to tackle illegal content online (see Chapter 17). But, even within that narrow space, the GMOP acts as a co-ordination mechanism for the Member States. Article 8 DSA stops the Member States from introducing various national experiments. Thus, for the digital single market, the robustness of the rule is crucial. It offers a general framework that limits national efforts to increase the responsibility of certain providers in their national law at the expense of harmonisation. It pre-empts uncontrolled national experimentation with policies that could undermine harmonised norms.

The GMOP is sometimes criticised by content industries for its inconsistency since providers are allowed to voluntarily do what the authorities cannot tell them to do. However, this criticism misses the point about the GMOP's legislative purpose. The GMOP, similar to liability exemptions, is a coordination mechanism. It constrains the Member States' ability to regulate. The GMOP limits the national legislatures directly. It does not limit providers who have the freedom to contract. The GMOP is instead a tool that dictates what type of monitoring behaviour, if requested by the state, shall be illegal. This explains why some types of monitoring cannot be requested by the Member States but can be adopted voluntarily by the providers or why some types of specific monitoring can be deployed by the EU legislation but not by the Member States.

This coordination role might have been overshadowed by the fact that the GMOP began to embody much more than just a framework for coordinating who can legislate in the zone of shared competencies between the Member States and the EU. The CJEU's interpretation of the concept, in conjunction with the EU Charter, means that some parts of the GMOP have obtained quasi-constitutional status—they cannot be legislated away even by the EU legislature.⁷⁹ As a result, some of the measures that are not allowed for the Member States to legislate on, cannot be introduced by the EU legislature either. Doing so would violate the EU Charter that protects the GMOP's core as a tool for balancing.⁸⁰

⁷⁹ This is a part of the petrification effect that can also be observed in other parts of the EU law. Martin Husovec, 'Intellectual Property Rights and Integration by Conflict: The Past, Present and Future' (2016) 18 Cambridge Yearbook of European Legal Studies 239.

⁸⁰ *Poland* (n 8); *Scarlet Extended* (n 7).

From this perspective, there are two possible ways how to look at the GMOP:

- GMOP is a unitary *statutory provision* that always has the same meaning, regardless of whether it constrains the EU legislature and authorities or national legislatures and authorities.
- GMOP is a *principle* that has its core and *statutory versions*; while the EU legislature is bound only by the core guaranteed by the EU Charter, the Member States are bound by its statutory versions, which are left to the CJEU to interpret.

Under the second interpretation, only a core of the GMOP is guaranteed by the EU Charter and cannot be legislated away even by the EU legislature. The GMOP's statutory version in Article 8 DSA guarantees more protection than the core. It limits the Member States (and the EU) when introducing their measures in the area and the authorities interpreting them. The statutory scope is decisive when the CJEU reviews the actions of the Member States, particularly the orders of their courts or authorities (eg in cases of injunctions against intermediaries). The core, on the other hand, comes to its application when the EU legislature tries to undermine the GMOP itself. The EU legislature can fashion several versions of the GMOP as long as they comply with the core that is guaranteed by the EU Charter.

The gap between the core and statutory versions of the GMOP determines to what extent the EU can implement something that its Member States cannot.⁸¹ This sounds odd, but it would be consistent with the harmonisation logic behind the provision. It explains why the EU's legislative instruments, such as the CDSM Directive, can adopt different approaches regarding liability while still reiterating that they follow the principle.⁸² In such areas with specific laws, the EU legislature complies with the core of the principle, but not necessarily with a specific statutory version (eg Article 8 DSA) that is binding upon the Member States.

Under the first interpretation, on the other hand, the GMOP has a single meaning, which is the same for the Member States' legislatures and the EU legislature. Measures imposed by the Member States are constrained identically to those imposed by the EU

⁸¹ AG Øe argued the opposite that there is no gap. He states that 'the concept of 'general monitoring obligation' must be interpreted in the same way, irrespective of the origin of such an obligation'—ie whether it is a national or an EU measure: *Poland (Opinion of AG Øe)* (n 37) fn 124.

⁸² Some emphasise that even art 17 CDSM Directive remained under art 15 ECD, and thus, the meaning should remain the same. In my view, if the context changes, the meaning can too, and while technically correct, I do not necessarily think that the concepts used in two different contexts retain the same meaning.

legislature. It also means that even where Article 8 DSA does not apply, the GMOP still follows any EU legislation as a shadow.⁸³

Case law to date does not give a satisfactory answer to this very consequential question. The only case to date that could have clarified the issue, *Poland*, failed to do so. When discussing two different directives that mention the GMOP, the Court noted that they express the GMOP in ‘similar terms’, thus suggesting that they could express it in principle. When the Court applied the concept, it spoke about it as ‘an additional safeguard’, then interpreted as limiting the use of automation.⁸⁴ This latter remark would suggest that the GMOP can mean different things in different legal acts, and its content might be influenced by other safeguards in each specific legal act.

In my view, it is too early to tell. Given the legislative history and purpose, the second interpretation appears to me to be more plausible. The GMOP was initially only mentioned in Article 15 ECD. However, the references to it in the meantime have been added to many other acts, such as the General Data Protection Regulation (GDPR), Audiovisual Media Services Directive, CDSM Directive, and the Terrorist Content Regulation.⁸⁵ The GMOP has indeed become a key principle of internet regulation, whether directly or by cross-reference to Article 15 ECD. In the coming years, the GMOP as a constitutional and statutory concept (in Article 8 DSA or other acts of EU law) will likely gain even more importance.

In my view, given the rising number of EU legislative acts, the CJEU will have to clarify at some point that the use of the concept means different things in different contexts, for instance, in the constitutional context (as a brake on legislature) and the statutory context (as a feature of diverse legislative solutions). It is plausible that soon the Court might recognise several legislative designs of the GMOP, with Article 8 DSA offering the baseline meaning from which other acts can deviate if they offer more extensive complementary safeguards.

For instance, one could argue that when Article 17 CDSM Directive imposes a stay-down obligation that entails filtering, *its* GMOP is informed by the effectiveness of other legislated safeguards mitigating the same risks. This means asking: what did the EU legislature additionally do to contain these risks in this specific setting? If the legislature took the risks into account, then arguably, the specific version of the GMOP standard in a separate legal instrument could be more permissive, as in *Poland*. The reason is that the relevant concerns are now partly addressed by more specific safeguards in the statutory design (eg prior risk assessment).

⁸³ The best example to date is the CJEU’s transplantation of the GMOP into the IP Enforcement Directive, including in the offline context: see *Tommy Hilfiger* (n 31) para 34. For more on the debate, Husovec, ‘Holey Cap! CJEU Drills (yet) Another Hole in the e-Commerce Directive’s Safe Harbours’ (n 12) 118ff.

⁸⁴ *Poland* (n 8) para 90.

⁸⁵ Audiovisual Media Services Directive, Rec 48 and arts 28a(5), 29b(1), and 29b(6); CDSM Directive, Rec 66 and art 17(8); Terrorist Content Regulation, Rec 25 and art 5(8). For its precursors, see the General Data Protection Regulation, Consumer Protection Cooperation Regulation, European Electronic Communications Code Directive, Market Surveillance Regulation, General Product Safety Regulation and Payment Services (PSD2) Directive.

If the Court admits such split reading, the guiding principle should be the risk of abuse of such monitoring. When the European legislature departs from the DSA, it must still calibrate its interventions well to address the core concerns of indiscriminate monitoring. With this reading in mind, the Court's reference to the GMOP as an 'additional safeguard' in *Poland* paints it as a sort of a backstop safeguard—the internet's ultimate safety net.⁸⁶ Put differently, Article 8 DSA is a default rule of the legal system that only the EU legislature can redesign, but never suspend entirely. It is a pillar of the DSA as a digital rights charter (see Chapter 18).

5.6 The GMOP vs the Member States

Liability exemptions require that specific monitoring must be administered by authorities or courts on the national level (see Chapter 8). In the absence of EU legislation dispensing with this requirement, specific monitoring based on mere requests of individuals violates the DSA. But the problem is that assurance of the proper scope of such orders often requires more procedural safeguards, such as rights to affected parties to challenge implementations (*UPC Telekabel*),⁸⁷ or the need for oversight of the implementation (*Glawischnig*).⁸⁸ However, the doctrine of procedural autonomy of the Member States somewhat limits the ability of the CJEU to demand specific procedural safeguards. According to the settled case law:

in the absence of EU rules on the matter, it is for the national legal order of each Member State to establish procedural rules for actions intended to safeguard the rights of individuals, in accordance with the principle of procedural autonomy, on condition, however, that those rules are not less favourable than those governing similar domestic situations (principle of equivalence) and that they do not make it excessively difficult or impossible in practice to exercise the rights conferred by EU law (principle of effectiveness)⁸⁹

Given that most EU law does not introduce such safeguards, it is unsurprising that the national situation is far from ideal. For instance, Austrian and German courts narrowed down the procedural safeguards following *UPC Telekabel's* ruling to a theoretical ability to sue in a separate lawsuit.⁹⁰ German and Austrian courts

⁸⁶ Graham Smith makes a similar point, Graham Smith, 'Time to Speak up for Article 15' (*Cyberleagle*, 21 May 2017) <<https://www.cyberleagle.com/2017/05/time-to-speak-up-for-article-15.html>> accessed 1 August 2023.

⁸⁷ *UPC Telekabel* (n 8) para 57.

⁸⁸ *Glawischnig* (n 7).

⁸⁹ Case C-3/16 *Lucio Cesare Aquino v Belgische Staat* ECLI:EU:C:2017:209, para 48.

⁹⁰ Austrian Supreme Court case OGH 24.06.2014, 4 Ob71/14s, para 5.1; the Hamburg District Court case, LG Hamburg v 12 May 2021 – 310 O 99/21. <https://www.quad9.net/uploads/20210618_Sony_Quad9_Injunction_GERMAN_redact_ccaba9768b.pdf> accessed 1 August 2023.

have also interpreted the GMOP as permitting obligations to filter that involve humans.⁹¹

Without further specification of the safeguards, the effectiveness of Article 8 DSA is heavily limited by the consequences of the doctrine of procedural autonomy. This comes at the expense of the rights of some individuals. In this context, Kaleda, a judge of the General Court, argues⁹² that '[i]n the absence of harmonisation, the application of Article 47 of the Charter could therefore lead to the establishment of a minimum procedural standard, which can be invoked in order to achieve a certain degree of uniformity'. This is particularly important for some injunctions where the two litigating parties neglect the position of the affected third party—the so-called 'Three-Body Problem'.⁹³

Apart from Article 47 EU Charter, another solution is to strengthen the quality of the law analysis. The CJEU could require that safeguards be adopted explicitly *by legislation*. After all, the EU Charter and Court's case law dictate that the interference and safeguards must be 'prescribed by the law'.⁹⁴ Since Article 8 DSA already acts as a coordination tool by giving the Member States permission to intervene by imposing specific monitoring, it only makes sense to require that permitted measures are safeguarded against abuse *explicitly* within national legislation. Thus, any acceptance of website blocking, for instance, would only be possible if national law also spells out the safeguards that the Court prescribes.

The English courts have demonstrated the most elaborate thinking about safeguards in European case law. They require discharge clauses in cases of a material change, and for the benefit of targeted websites and affected providers, transparency notices to the public and explicit sunset clauses.⁹⁵ This is in stark contrast with some other jurisdictions that sometimes do not foresee any safeguards at all.⁹⁶

⁹¹ *Alone in the Dark* case (n 23), where this was first accepted by the German Federal Supreme Court; Austrian Supreme Court case, OGH 4 Ob 36/20b (n 49) para 6.1.

⁹² Saulius Lukas Kalėda, 'The Role of the Principle of Effective Judicial Protection in Relation to Website Blocking Injunctions' (2017) 8(3) *Journal of Intellectual Property, Information Technology and Electronic Commerce Law* 216; also discussion of the procedural side in Martin Husovec, 'Injunctions against Innocent Third Parties: The Case of Website Blocking' (2013) 4(2) *Journal of Intellectual Property, Information Technology and Electronic Commerce Law* 116.

⁹³ Daphne Keller, 'The Three-Body Problem: Platform Litigation and Absent Parties' (*Lawfare*, 4 May 2023) <<https://www.lawfaremedia.org/article/the-three-body-problem-platform-litigation-and-absent-parties>> accessed 10 August 2023.

⁹⁴ *Poland* (n 8) para 67; also Case C-311/18 *Data Protection Commissioner v Facebook Ireland Limited and Maximilian Schrems* ECLI:EU:C:2020:559, para 176; *Opinion 1/15 of the Court (Grand Chamber)* ECLI:EU:C:2017:592, paras 140–41.

⁹⁵ *Cartier International AG & Ors v British Sky Broadcasting Ltd & Ors* [2014] EWHC 3354 (Ch) [262].

⁹⁶ To illustrate the state of fragmentation, the website blocking injunctions are subject to many different national practices regarding the following issues: (a) who is considered to be an infringing third party, (b) the form of the orders, (c) their specificity, (d) scope of preventive duties, (e) types of used technologies, (f) possibility of ex post submission upgrade, (g) use of a subsidiarity principle, (h) assessment of effectiveness, (i) cost allocation, (j) post grant supervision, (k) locus standi for users and website operators, and (l) the enforcement of court orders. See Martin Husovec and Lisa van Dongen, 'Website Blocking, Injunctions and Beyond: View on the Harmonization from the Netherlands' (2017) 12(8) *Journal of Intellectual Property Law & Practice* 695.

In my view, expecting civil judges to introduce such safeguards in their orders is unrealistic. Post-DSA, the advantage is that many horizontal safeguards will already be introduced; however, not all of them will apply to compliance with national orders. Ideally, the Member State (or the EU) should adopt more detailed national legislation about how injunctions against intermediaries are to be handled by courts, what safeguards can be imposed by courts or supervised by other authorities, and who should carry what costs. The Member States that rely on administrative enforcement of orders already do it to some extent. However, more horizontal laws of this type are generally missing.

Liability Exemptions: General Requirements

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6.1 Introduction

In October 1996, the European Commission published its Communication to the Council and European Parliament under the title 'Illegal and Harmful Content on the Internet'.¹ This laid the basic principles for the E-Commerce Directive (ECD) proposal unveiled in 1998. The communication stated that:

Internet access providers and host service providers play a key role in giving users access to Internet content. It should not however be forgotten that the prime responsibility for content lies with authors and content providers. It is therefore essential to identify accurately the chain of responsibilities in order to place the liability for illegal content on those who create it ... The law may need to be changed or clarified to assist access providers and host service providers, whose primary business is to provide a service to customers, to steer a path between accusations of censorship and exposure to liability.²

The ECD was adopted in June 2000.³ The main purpose of its liability exemptions is to *structure* the regulation of digital services in the world's largest single market. By clarifying legal expectations, the exemptions incentivise investment in novel services. Businesses in the Member States suddenly did not have to worry about how various national laws would regulate their businesses. By aligning expectations, the ECD created

¹ Commission, 'Illegal and Harmful Content on the Internet' (Communication) COM (96) 487 final.

² *ibid* 12–13.

³ University of Cambridge maintains a fantastic resource concerning the legislative history of the e-Commerce Directive, see Centre for Intellectual Property and Information Law, 'E-Commerce Directive' (*University of Cambridge*) <<https://www.cipil.law.cam.ac.uk/resources/european-travaux/e-commerce-directive>> accessed 1 August 2023.

a baseline that allowed companies to expand and scale across the European Union (EU) borders.

Two decades later, the Commission concluded in its impact assessment for the Digital Services Act (DSA) that the ECD largely succeeded in achieving this goal.⁴ Similarly, the 2020 evaluation report prepared for the European Parliament's Committee on Internal Market and Consumer Protection (IMCO), which I had co-authored, concluded that:

The common liability exemption rules allow the firms to more easily scale up on the digital single market. Although far from constituting uniform rules, they give companies basic reassurances concerning the operation of their business in dealing with third-party content, and to stakeholders in enforcement of their rights. They also provide a common vocabulary for European judicial discourse. The benefits in terms of approximating the liability framework can be best seen when compared with largely the non-harmonised preventive measures.⁵

The original objective continues to remain valid today. This is now emphasised by Recital 16 of the DSA.⁶ Through the DSA, the liability exemptions received a 'renewed democratic mandate'⁷ from the legislatures in the EU. In 2010–20, the liability exemptions were often subject to criticism from some stakeholders that the rules were no longer 'up-to-date' or 'fit for purpose'. The oft-used argument was that most of our current digital services did not exist in 2000. While the argument was factually wrong because virtually most digital services predate the liability exemptions, it expressed a sentiment that 'many things have changed' since 2000. And obviously, many are different.

In two decades, the internet grew from a toy for experts to an essential tool used by everyone on a daily basis. Facebook (2003), YouTube (2005), and Twitter (2006) did not exist in 2000. Nor did Google's advertising system AdWords launched in the same year. With the arrival of mobile phones and IoT, digital services became much more embedded in people's lives. Thus, it is true what we understand as 'the Internet' started substantially changing *after* the ECD was enacted.

The fact that 22 years later, the co-legislators decided to only *build upon* the liability exemptions of the ECD is the greatest testimony to how future-proof the framework is. The framework arguably owes part of its success to its focus on omnipresent technical

⁴ Commission, "Impact Assessment" (Commission Staff Working Document) Accompanying the Document "Proposal for a Regulation of the European Parliament and of the Council on a Single Market For Digital Services (DSA) and Amending Directive 2000/31/EC" SWD(2020) 348 final, para 32.

⁵ Alexandre de Streel and Martin Husovec, 'The E-Commerce Directive as the Cornerstone of the Internal Market – Assessment and Options for Reform' (Study Requested by the IMCO committee, PE 648.797, EU Parliament 2020) 35 <[https://www.europarl.europa.eu/RegData/etudes/STUD/2020/648797/IPOL_STU\(2020\)648797_EN.pdf](https://www.europarl.europa.eu/RegData/etudes/STUD/2020/648797/IPOL_STU(2020)648797_EN.pdf)> accessed 1 August 2023.

⁶ DSA, Rec 16: 'The legal certainty provided by the horizontal framework of conditional exemptions from liability for providers of intermediary services ... has allowed many novel services to emerge and scale up across the internal market. That framework should therefore be preserved.'

⁷ Interview with Irene Roche Laguna, Deputy Head of Unit for Coordination And Regulatory Compliance, European Commission (2021–23).

activities, such as storage or access, instead of chasing ever-evolving types of products and business models. However, given the ECD's early adoption, the law could say little about the regulation of various problems that might arise within digital services. The DSA tries to fill this regulatory gap.

Despite the topic's political sensitivity, the co-legislators—the European Parliament and the Council—changed the Commission's proposal only to a limited extent, having largely confirmed and even expanded it. The DSA repeals Articles 12–15 ECD and incorporates them as Articles 4–8 into the DSA. Articles 4–6 DSA—introducing liability exemptions—have largely been untouched. However, there are some minor wording changes in the context of all three exemptions. They usually extend their applicability to novel types of services.

Legally speaking, the result of Articles 4–6 DSA is that no national law can modify rules concerning hosting, caching, and mere conduit *activities*. Being a Directive, the ECD gave rise to many different transpositions and interpretations at the national level. Incorporating such rules in a directly applicable regulation is hoped to provide greater uniformity and certainty for cross-border services. The liability exemptions depict a measure of full harmonisation from which the Member States cannot deviate. Any conflicting national provisions modifying their content, even if indirectly, are automatically pre-empted by the DSA and must be set aside by a national court.⁸ The pre-emptive effect of the liability exemptions is much broader (Chapter 17).

6.2 General Requirements

In this subchapter, I explore various general conditions that apply to liability exemptions. Over the years of the existence of the ECD, these conditions have been subject to growing case law and numerous controversies. The DSA has made some changes to the pre-existing case law; however, the role of the Court of Justice of the European Union (CJEU) remains key.

The EU legislature intervenes to regulate various digital services to establish and advance the Digital Single Market (DSM). The internal market rationale is not just the legal basis of the law in this area⁹ but also its primary objective. The prominence of the internal market rationale is evident in the initial recitals of the instrument as well. Article 1 DSA demonstrates that the law pursues not only the goal of completing the DSM but also other goals, such as protecting the fundamental rights of victims, content creators, and other users. Because the Union legislation is based on the internal market clause, it can only regulate activities that are inherently economic.

⁸ Regulation is directly applicable and takes precedence; see Case 106/77 *Amministrazione delle Finanze dello Stato v Simmenthal SpA* ECLI:EU:C:1978:49. For other types of technical activities which fall outside the ambit of liability exemptions (or of the DSA), the Member States can continue to maintain or introduce their national rules, including national liability exemptions.

⁹ European Parliament and Council Directive 2000/31/EC of 8 June 2000 on certain legal aspects of information society services, in particular electronic commerce, in the Internal Market [2000] OJ L178/1 (ECD), Rec 1; DSA, Recs 2 and 4. They share the same legal basis, art 114 TFEU (previously art 95 TEC).

6.2.1 Relevant technical activities

Liability exemptions apply to services based on the *technical activities* they perform. The qualification criteria do not consider business models or types of final products that incorporate them; they only consider the underlying technical functioning. Rules only look at whether the description of technical activities performed matches that of liability exemptions (see Figure 6.1).

This remains counter-intuitive for many. Often, it is believed that liability exemptions were designed for some types of services or even companies. This is not the case. Unlike due diligence obligations, liability exemptions are generally blind to business dimensions. Storage of third-party information can be embedded in infrastructure services (eg cloud computing) or application-layer services (eg video-sharing apps). Such services can be deployed by providers of mostly user-generated content (eg social media) or editorial content (eg newspapers, regarding readers’ comments). It can be provided for a fee, free of charge, or for a different consideration (eg for a subscription or tokens). Most of the questions about how and by whom are irrelevant for the purposes of delineating the scope of technical activities.

Hosting concerns every activity that can be described as ‘storage’; mere conduit any activity that can be defined as ‘transmission in a communication network’ or ‘provision of access’ to it; caching any activity described as ‘transmission in a communication network’ performed for the sole purpose of making its onward transmission more efficient or secure. All technical activities outside the three are outside the scope of the liability exemptions, and because of the definitional set-up of the regulation, they are also not within the ambit of the DSA (Chapter 9).

The DSA stresses that all possible future digital services should be considered under the regulatory umbrella. Recital 29 attempts to stretch the imagination of those

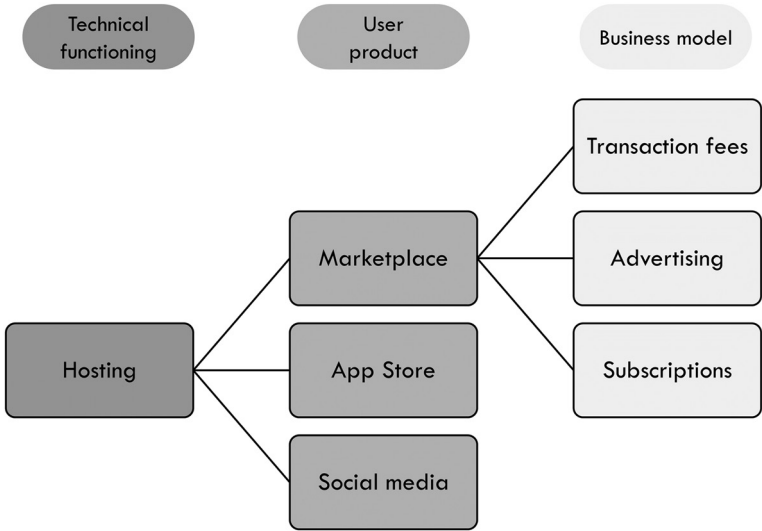


Figure 6.1 Functionality and its primacy

interpreting the law because digital services ‘develop continually’ and the law’s reading should keep in touch with times. Therefore, Recital 29 emphasises that:

Intermediary services may be provided in isolation, as a part of another type of intermediary service, or simultaneously with other intermediary services. Whether a specific service constitutes a ‘mere conduit’, ‘caching’ or ‘hosting’ service depends solely on its technical functionalities, which *might evolve in time, and should be assessed on a case-by-case basis*.¹⁰

Thus, although the DSA maintains the triad of existing regulated technical activities, it attempts to broaden some of them. Each regulated technical activity covers a wide range of digital services processing user-generated content that is subject to a plethora of business models. For instance, hosting, defined as the storage of third-party information, can form the core of discussion fora, video-sharing platforms, social networks, app stores, webhosting, and cloud computing services. The technical activity embedded in such services does not have to be the only activity of the service. For instance, providing access to a communication network under the mere conduit exemption can be part of hospitality services provided by hotels or be offered as a standalone service provided by telecommunication firms. In the case of composite services (Chapter 9.2), several entities might be able to invoke the liability exemption for the activity they perform together. For instance, owners of social media pages and companies might both qualify as hosting providers vis-à-vis third-party comments posted on such pages.¹¹

As long as exempted technical activities can be said to constitute ‘an information society service’—ie they are provided ‘at a distance, by electronic means and at the individual request of a recipient of services’—in the context of what can be regarded as an economic activity, they are covered by the DSA (section 6.2.6).¹² However, the *manner* in which the technical activities are embedded in the service can influence the interpretation of conditions under which liability exemptions continue to apply. For instance, when a provider tries to present someone else’s content as its own, it might disqualify itself from otherwise available liability exemptions (section 6.2.4).

6.2.2 Information ‘provided by recipients’

All relevant technical activities must process ‘information provided by a recipient of the service’. Thus, storage of the *provider’s* information, such as when newspapers upload their own articles onto their own website, is by definition *not* covered.¹³ But comments

¹⁰ DSA, Rec 29 (emphasis mine).

¹¹ The Austrian Supreme Court held in 2016 that an owner of a page can qualify as a hosting provider (Case No 6Ob244/16z).

¹² See Rec 5 relying on the definition from a recast European Parliament and Council Directive (EU) 2015/1535 laying down a procedure for the provision of information in the field of technical regulations and of rules on Information Society services [2015] OJ L241/1.

¹³ Case C-291/13 *Sotiris Papasavvas v O Fileleftheros Dimosia Etaireia Ltd and others* EU:C:2014:2209.

that their users upload in response to their articles are covered. The legal framework is meant to cover responsibility for content generated by users.

But which information exactly is said to be users' and which is said to be providers'?

Our current interpretation emphasises user-generated content services that rely on the user's *push*—an act of uploading or accessing. When users push their information onto digital services, we consider it user-generated, even if such a push requires little effort from the user's side. In contrast, when providers *pull* information from the outside world to re-organise it, we consider such services to fall outside the remit of the liability exemptions. Search engines, for instance, struggle with the current framework because they process information that presumes the website owners' consent in the absence of opt-outs. Thus, unless they have a more curated relationship with website owners, they pull user-generated content (Chapter 8).

But even among 'pushed content', it is not easy to draw the line. Most lawyers would say that Spotify is streaming its own editorial collection of music, and YouTube is providing music uploaded by its users. However, this distinction seems to rest on very small differences. Streaming services usually make available music provided by distributors—musicians' agents—who upload music.¹⁴ The service's checks of uploaded music are not extensive. This type of content quality control is not too dissimilar from the practices of an app store which is considered a user-generated content service. Both services distribute other people's content—music or apps—for remuneration. If the streaming services cut out the distributors and allow music to be uploaded directly by authors, the difference will vanish entirely. The key to analysing these types of scenarios, therefore, seems rather how providers satisfy the condition of being provided with information discussed below.¹⁵

More frequently, the only kind of selection being carried out takes the form of automated sorting of information, which involves no choice. For instance, streaming services also carry podcasts. They have a much looser relationship with content creators of podcasts than those of music. As a result, for podcasts, streaming services might be regarded as hosting services of non-editorial 'provided' content while they remain distributors with regard to music. However, neutrality can be lost if the streaming service concludes an exclusive deal with one of the podcasters and their content becomes featured by the service.

As technology develops over time, it is inevitable that the struggle to define when information is still 'provided by' the recipient of the service not only remains but, in fact, gets worse. Going forward, the notion of pull and push might blur further. Which opt-outs from industry practices are a sign of push, and which are pull? Moreover, digital services will invent new ways of sorting through the available information.

¹⁴ For more about the streaming ecosystem, Competition and Markets Authority, 'Music and Streaming Final Report' (2022) <https://assets.publishing.service.gov.uk/government/uploads/system/uploads/attachment_data/file/1120610/Music_and_streaming_final_report.pdf> accessed 1 August 2023.

¹⁵ As explained below, this has important consequences for whether such services can become VLOPs. In my view, even non-neutral services can become VLOPs.

The emergence of generative chatbots on social media shows that automated ‘user-generated’ content services can entirely obscure users’ genuine contributions. When users are nowhere to be seen, is the content still user-generated? In my view, the DSA has the tools to resolve these challenges. However, they need to be applied carefully. This debate is inextricably linked with the legal concept used by the CJEU to limit the applicability of liability exemptions—that of the *neutrality of a provider*. I discuss this in a separate section on the neutrality of providers below (see section 6.2.4).

Generally, any liability exemption only limits ‘liability for information.’ Furthermore, it limits only liability for information ‘provided by the recipient of the service.’ Although the DSA relies on the broad meaning of ‘recipient of the service,’ in the liability exemptions context, the ‘recipients of the service’ still mostly refers to content creators who use the service to store or send information. This is logical since readers are rarely held liable for information they decide to access.¹⁶

Under the ECD, the recipient was usually interpreted to mean only an individual *requesting* the service, eg the end-user uploading the information or accessing a website. However, under the DSA, it is clear that anyone who ‘uses the service’ can fall under the term’s scope.¹⁷ This means that both those who impart information online and those who consult the information are considered recipients. Some liability exemptions, such as those applicable to mere conduit services, can thus gain broader scope because relevant recipients now do not have to send any information. It is enough that they receive it through the service. This opens the applicability of liability exemptions to situations when users of digital services consume third-party information rather than produce it.

6.2.3 Scope of exempted ‘liability’

The scope of exempted ‘liability’ is as broad as it gets. The broad scope is the design choice of the drafters of the ECD who wished to coordinate all possible forms of liability that could hinder the internal market. The notion thus covers all forms of criminal, administrative, and civil liability, regardless of whether imposed on providers as accessories or directly liable actors.¹⁸ The wide scope of the term is also needed due to the horizontal nature of the liability exemptions. The intention to preserve this approach is confirmed by the DSA’s broad definition of illegal content, which indicates that the liability exemptions must be ‘prepared’ for all kinds of illegality scenarios,

¹⁶ One example is laws banning the possession and reading of child abuse material. See, for instance, possession of images criminalised by s 1(1)(c) of the UK Protection of Children Act 1978.

¹⁷ Art 3(b) DSA defines ‘recipient of the service’ as ‘any natural or legal person who uses an intermediary service, in particular, to seek information or make it accessible.’

¹⁸ Joined Cases C-682/18 and C-683/18 *Frank Peterson v Google LLC and others and Elsevier Inc v Cyando AG* ECLI:EU:C:2020:586, Opinion of AG Øe, para 226. The same in the US context, see s 512(c) DMCA that ‘limits the liability of qualifying service providers for claims of direct, vicarious and contributory infringement for storage at the direction of a user of material that resides on a system or network controlled or operated by or for the service provider’, cited from ‘HR Rep No 105-551 Part 2 (1998)’ at 53 (Committee on Commerce Report) <<https://www.congress.gov/congressional-report/105th-congress/house-report/551/2>> accessed 1 August 2023.

ranging from criminal sanctions for child abuse, orders imposed in civil litigation, to demands of administrative authorities in consumer or medical law.

As explained by AG Szpunar, according to the preparatory works relating to the ECD,¹⁹ ‘the limitation of liability in question extends, horizontally, to all forms of liability for unlawful acts of any kind, and thus to liability under criminal law, administrative law, and civil law, and also to direct liability and secondary liability for acts committed by third parties.’²⁰ Under the DSA, ‘illegality’ is defined with reference to the national and EU legal orders. In utilising the term ‘liability’, the DSA encompasses any legal consequences that national law imposes on providers if such consequences are in any way triggered by their users’ behaviour when using their services. While the users’ behaviour is abstracted into the notion of ‘information’, since every move in the digital world produces information, the scope effectively covers any traces left by interactions between users and relevant providers of digital services.

The only form of liability specifically singled out for a different treatment is targeted injunctions. As noted by AG Szpunar, the ECD ‘makes a distinction between actions for damages and injunctions which must be taken into account when it comes to identifying the delimitation of liability prescribed in that provision.’²¹ The CJEU confirms the special status of the injunctions.²² This means that the exempted liability in Articles 4–6 DSA covers injunctions; however, *some* of them are, in turn, permitted by so-called injunction clauses (Articles 4(3), 5(2), and 6(4) DSA). According to the CJEU:

[a liability exemption] of the directive does not preclude the person harmed by that infringement from *seeking before a national authority or court* to have the service provider prevented from allowing that infringement to continue.²³

As explained in Chapters 5 and 8, this means that only orders of *authorities* are permitted to impose specific obligations on the providers subject to liability exemptions. Thus, for instance, a national law allowing non-state actors to formulate a binding request would be trying to impose liability that is exempted; such national rules must be set aside as violating Articles 4–6 DSA.

A special case of liability is pre-trial compensation and trial costs. The CJEU clearly held in *McFadden* that such compensation, as an ancillary claim connected with enforcing the main pecuniary claims such as damages, is limited by liability exemptions. As explained by the CJEU,²⁴ ‘to be well founded, such an ancillary claim requires that the principal claim is also well founded.’

¹⁹ Commission, ‘Proposal for a European Parliament and Council Directive on Certain Legal Aspects of Electronic Commerce in the Internal Market’ COM(1998) 586 final 27.

²⁰ Case C-484/14 *Tobias McFadden v Sony Music Entertainment Germany GmbH* ECLI:EU:C:2016:170, Opinion of AG Szpunar, para 64; also Case C-401/19 *Republic of Poland v European Parliament and Council of the European Union* ECLI:EU:C:2021:613, Opinion of AG Øe.

²¹ *McFadden* (Opinion of AG Szpunar) (n 20) para 70.

²² Case C-484/14 *Tobias McFadden v Sony Music Entertainment Germany GmbH* ECLI:EU:C:2016:689, para 77.

²³ *McFadden* (Opinion of AG Szpunar) (n 20) paras 68–69.

²⁴ *McFadden* (n 22), para 75 (in the context of mere conduit exemption).

However, the CJEU held the opposite to be the case for injunctions. AG Szpunar argued that the liability exemptions should also cover ‘any other pecuniary claim that entails a finding of liability for copyright infringement with respect to the information transmitted, such as a claim for the reimbursement of pre-litigation costs or court costs.’²⁵ The Court, probably driven by deference to national procedural rules, ruled the opposite—namely that pre-trial compensation and trial costs associated with permitted injunctions are not precluded by the provision. It held that the mere conduit liability exemption ‘does not prevent that same person from claiming the reimbursement of the costs of giving formal notice and court costs incurred in a claim [before a national authority or court to have the service provider prevented from allowing that infringement to continue].’²⁶ It remains unclear how broadly this allowance for pre-trial and trial costs of seeking permitted injunctions is to be interpreted. Does it only apply to the situation when authorities get involved? Or does it apply to any substantive claim for injunctive relief regardless of whether authorities have reviewed the claim?²⁷ In my view, and in line with injunction clauses, such a reading should be limited to cases whereby injunctions were sought before the authorities. Otherwise, the argument about protecting procedural autonomy holds barely any water.

6.2.4 The neutrality condition

The goal of liability exemptions is to limit the liability for non-editorial content originating from users and not limit the liability for the platform’s own editorial content. Thus, as explained above, a newspaper’s liability might be limited for comments, but not for its journalism. While in theory, the line between the two seems clear, in practice, it is becoming a heavily contested one with the growing integration of user-generated content into services. In addition, if users are acting on the instruction of the providers themselves, such content is not non-editorial either. For instance, a comment posted by an employee or contractor in the discussion forum remains editorial. The liability exemption system, thus, must be able to define the criteria for when users’ content is not users anymore.

In its first Grand Chamber judgment, *Google France*, the CJEU developed a doctrine of neutrality limiting the applicability of all three liability exemptions in situations when the providers act beyond their role as ‘intermediaries.’²⁸ Invoking a recital, it held that the hosting safe harbour only applies to a provider whose position is ‘neutral’

²⁵ *McFadden (Opinion of AG Szpunar)* (n 20) para 74.

²⁶ *McFadden* (n 22) paras 77–78.

²⁷ On the risks of this interpretation Martin Husovec, ‘Holey Cap! CJEU Drills (yet) Another Hole in the e-Commerce Directive’s Safe Harbours’ (2017) 12(2) *Journal of Intellectual Property, Information Technology and Electronic Commerce Law* 115.

²⁸ Cases such as Joined Cases C-236/08–C-238/08 *Google France SARL and Google Inc v Louis Vuitton Malletier SA* ECLI:EU:C:2010:159 (*Google France*); Case C-324/09 *L’Oréal SA and others v eBay International AG and others* ECLI:EU:C:2011:474; Case C-521/17 *Coöperatieve Vereniging SNB-REACT UA v Deepak Mehta* ECLI:EU:C:2018:639; Joined Cases C-682/18 and C-683/18 *Frank Peterson v Google LLC and others and Elsevier Inc v Cyando AG* ECLI:EU:C:2021:503.

in relation to user-uploaded content.²⁹ The test is whether the provider's 'conduct is purely technical, automatic and passive, which implies that that provider does not know or control the data which it stores.'³⁰ Any disqualifying active intervention gives the provider 'knowledge of and control over the content.'³¹ However, the disqualification applies only to specific content with respect to which the provider did not behave neutrally, and not all the remaining content on the service.³²

Subsequent case law tried to determine what constitutes a disqualifying level of 'knowledge or control'—most of the time, without much success in clarifying the issue. In the two Grand Chamber cases, *L'Oréal v eBay* (2011) and *YouTube and Cyando* (2021), the Court hardly advanced a unified test of neutrality.

The test used by the Court is capable of solving easy cases, such as whether newspapers are exempt from their liability for their own articles.³³ In *Papasavvas*, the CJEU applied the test³⁴ and held that 'since a newspaper publishing company which posts an online version of a newspaper on its website has, in principle, knowledge about the information which it posts and exercises control over that information, it cannot be considered to be an "intermediary service provider" within the meaning of Articles 12 to 14 of Directive 2000/31'.³⁵ The Court, however, never explained why this is the case.

This distinction was primarily important for hosting services, even though it applies equally to mere conduits and caching services. The nebulous case law of the CJEU led to numerous disputes about the concept of passivity. It led to cases before the European Court of Human Rights, such as *Delfi v Estonia* and *Sanchez v France*, that arguably should never have ended up there on a proper reading of the EU law.³⁶ The *eBay* ruling was particularly unhelpful in bringing clarity to the issue.³⁷ It led to widespread speculation as to whether 'presentation optimisation' is sufficient to lead to a loss of neutrality.

The CJEU case law led some Member States courts to conclude that many providers lost their neutrality and gave ammunition to some industries that viewed the relevant case law as suggesting that mere *technical control* of information already disqualifies them from EU protections. This expansive interpretation of passivity greatly influenced

²⁹ See extensively on the history of this: Martin Husovec, *Injunctions against Intermediaries in the European Union: Accountable but Not Liable?* (Cambridge University Press 2017); Folkert Wilman, *The Responsibility of Online Intermediaries for Illegal User Content in the EU and the US* (Edward Elgar Publishing 2020).

³⁰ *Google France* (n 28) para 114; *eBay* (n 28).

³¹ *YouTube and Cyando* (n 28) para 109.

³² *Google France* (n 28) paras 109, 120 ('those data'); *eBay* (n 28) para 113 ('those data').

³³ *Papasavvas* (n 13) para 45.

³⁴ *ibid* 44.

³⁵ *ibid* 45. The Austrian Supreme Court held in 2016 that an owner of a page can qualify as a hosting provider (Case No 6Ob244/16z).

³⁶ In *Delfi AS v Estonia* App no 64569/09 (ECtHR, 16 June 2015), the Estonian courts erroneously ruled that a newspaper hosting comments of others is not a passive host. In *Sanchez v France* App no 45581/15 (ECtHR [GC], 15 May 2023), the French courts did not even consider that the administrator of a page on social media could be a hosting provider vis-à-vis comments posted by users and thus shielded from liability for them.

³⁷ *eBay* (n 28) para 116. What seemed to have been overlooked by some national courts was the fact that in the *eBay* case, *eBay* itself actively promoted some advertisements outside of its services on websites such as Google or MSN and assisted with optimisation within its website. *eBay* chose the relevant keywords to advertise and paid for the advertising. Thus, optimisation expressed active contribution by employees of *eBay*: see *eBay* (n 28) para 31; *L'Oréal SA v eBay International AG* [2009] EWHC 1094 (Ch) [26], [52] (High Court of England and Wales, Chancery Division).

the 2016–19 EU copyright debate. The European Commission's copyright unit even used the terms from the case law to justify its expansion of the 'communication to the public' right in 2016.³⁸ The neutrality test was thus bound to influence the DSA debate.

In December 2019, the newspapers reported that, according to the Commission, 'concepts such as 'active' or 'passive' hosts, linked by the Court to the notion of 'optimising content', appear outdated in light of today's services.'³⁹ Public consultation,⁴⁰ targeted interviews with judges,⁴¹ and studies outsourced by the Commission⁴² in preparation for the DSA concluded that the 'active/passive dichotomy' was unclear and needed further clarifications. In the Impact Assessment, the Commission stated that:

The fact that there is no such thing as an 'active host', but that a provider might play an active role regarding some listings, but not others (for instance because it presents it or recommends it in a special manner) does not lead to the necessary legal certainty to provide legal intermediation services without risking claims for damages or even criminal liability. Many automatic activities, such as tagging, indexing, providing search functionalities, or selecting content are today's necessary features to provide user-friendly services with the desired look-and-feel, and are absolutely necessary to navigate among an endless amount of content, and should not be considered as 'smoking gun' for such an 'active role'.⁴³

Eventually, however, in its 2020 proposal for the DSA, the Commission did not explicitly touch the concept. It only reworded the relevant ECD recitals that originally gave birth to the doctrine. The text of Recital 42 ECD was modified into Recital 18 DSA, which states the following:

The exemptions from liability established in this Regulation should not apply where, instead of confining itself to providing the services neutrally by a merely technical and automatic processing of the information provided by the recipient of the service, the provider of intermediary services plays an active role of such a kind as to give it knowledge of, or control over, that information. Those exemptions should accordingly not be available in respect of liability relating to information provided not by the recipient of the service but by the provider of the intermediary service itself, including where the information has been developed under the editorial responsibility of that provider.

³⁸ Commission, 'Proposal for a Directive of the European Parliament and of the Council on Copyright in the Digital Single Market (CDSM Directive)' COM/2016/0593 final, Rec 38 ('In respect of Article 14, it is necessary to verify whether the service provider plays an active role, including by optimising the presentation of the uploaded works or subject-matter or promoting them, irrespective of the nature of the means used therefor').

³⁹ Alexander Fanta and Rudl Tomas, 'Leaked Document: EU Commission Mulls New Law to Regulate Online Platforms' (*Netzpolitik*, 16 July 2019) <<https://netzpolitik.org/2019/leaked-document-eu-commission-mulls-new-law-to-regulate-online-platforms/>> accessed 1 August 2023.

⁴⁰ Commission, 'SWD(2020) 348 Final' (n 4) annex 2.

⁴¹ *ibid.*

⁴² Sebastian Schwemer, Tobias Mahler, and Håkon Styri, *Legal Analysis of the Intermediary Service Providers of Non-Hosting Nature: Final Report* (EU Publications Office 2020) 32.

⁴³ Commission, 'SWD(2020) 348 Final' (n 4) annex 9.

Recital 18 thus consolidated the test—though still not clarified it. It repeats the criteria from the case law of the CJEU, such as knowledge or control, but it also links them to ‘editorial responsibility’—a term that previously was not used by the ECD.⁴⁴ The European Commission was probably modest because AG Øe’s Opinion in *YouTube and Cyando* dispelled some of the biggest misunderstandings about the concept.⁴⁵ It was only during the legislative process that the Court arguably tried to address the confusion introduced in its previous Grand Chamber ruling in *eBay*. However, although it did solve some issues, the Court still hardly clarified the concept. The *YouTube and Cyando* decision de facto held that the most common activities of modern digital services—algorithmic categorisation, personalisation, ranking or provision of search—do not disqualify providers from neutrality and do not rob them of protections.

Indeed, the *YouTube and Cyando* decision of the Grand Chamber provides the most elaborate application of the neutrality condition in the pre-DSA context. However, the judgment itself is not among the clearest because it interchangeably shifts between three different issues: a) the neutrality of hosting providers, b) the criteria for communication to the public, and c) the standard of specific knowledge required to strip hosting providers of their exemption. The Court’s reasoning is construed by arguing first that no hosting provider that fulfils the criteria for communication to the public can be neutral.⁴⁶ Thus, whatever qualifies someone as communicating their users’ content to the public must also disqualify him from neutrality. Second, the Court explains what activities do not constitute ‘specific knowledge’, and thus knowledge that can strip hosting providers from the liability exemption. Since, as I have argued above, the standard for neutrality must be stricter, logically, whatever is not sufficient to confer specific knowledge can neither confer ‘specific knowledge of’ for neutrality purposes.

With this caveat, the ruling confirms several important issues. The Court held that algorithmic categorisation, personalisation, ranking or provision of search do not confer specific knowledge.⁴⁷ It is not sufficient that the provider has abstract knowledge (meaning general awareness) that his service carries some infringing content.⁴⁸ However, if it is true that neutrality’s ‘knowledge of’ must be more stringent, then this clearly also means that these same activities cannot disqualify from neutrality. It also clarified that the installation of content monitoring tools that help to uncover infringing content does not constitute an active intervention which disqualifies them from neutrality.⁴⁹ In the DSA, these findings are now incorporated into Recital 22

⁴⁴ In DMCA legislative history, the editorial decisions of providers were being discussed already: ‘HR Rep No 105–551 Part 2 (1998)’ (n 18) at 51 (‘The term “selection of the material” ... means the editorial function of determining what material to send, or the specific sources of material to place on-line [eg, a radio station], rather than “an automatic technical process” of responding to a command or request, such as one from a user, an Internet location tool, or another network’).

⁴⁵ *YouTube and Cyando* (Opinion of AG Øe) (n 18) paras 158, 161: ‘eBay sometimes promotes some offers on the Internet itself outside its business’.

⁴⁶ *YouTube and Cyando* (n 28) paras 107–08.

⁴⁷ *ibid* para 114.

⁴⁸ *ibid* para 111.

⁴⁹ *ibid* para 109.

as clarifications of when ‘specific knowledge’ required by the hosting exemption is missing and Article 7 DSA concerning voluntary own-initiative investigations and legal compliance.

The CJEU in its discussion builds on AG Øe’s Opinion which defined the neutrality test as follows:

I understand the Court’s case-law to mean that a provider plays an ‘active role’ of such a kind as to give it ‘knowledge of, or control over’, the data which it stores at the request of users of its service where it does not simply engage in the processing of that information, which is neutral vis-à-vis its content, but where, by the nature of its activity, it is deemed to acquire intellectual control of that content. That is the case if the provider selects the stored information, if it is actively involved in the content of that information in some other way or if it presents that information to the public in such a way that it appears to be its own. In those circumstances, the provider goes outside of the role of an intermediary for information provided by users of its service: it appropriates that information.⁵⁰

In AG Øe’s view, the ‘involvement’ must concern ‘intellectual control’, which results in the ‘appropriation’ of information. This, in my view, maps well to the language of the DSA and my conceptualisation below. In fact, the above paragraph is followed by AG’s citation to my prior work⁵¹ that discussed the German doctrines of adopted content and why the neutrality test partly serves to demarcate what is still third parties’ and already providers’ content.

In sum, the *YouTube and Cyando* judgment, informed by AG Øe’s Opinion, improves our understanding of neutrality. It makes it clear that neutrality cannot be lost by the omnipresent technical functionalities of the interactive web but only by interventions that get the providers ‘too involved’ in the content of their users. The judgment also clarifies the underlying policy rationale, which is to draw the line when providers either instruct the production of content or appropriate it so much that they must gain editorial responsibility. Despite all these new insights, the judicial test for neutrality remains underdeveloped.

Even the DSA’s new text introduces new hints but cannot deliver a test. According to Folkert Wilman of the Commission’s Legal Service:

... there seems to be a subtle development. In particular, there is no reference to a requirement of passivity on the part of the service provider – its role may therefore be active to a certain extent, as long as it does not lead to knowledge or control in the sense just mentioned. In this manner the DSA deviates somewhat from the E-Commerce Directive, which contained such a reference to passivity.⁵²

⁵⁰ *YouTube and Cyando* (Opinion of AG Øe) (n 18) para 152.

⁵¹ *ibid* fnn 52 and 142, citing Husovec (n 29) 55–57.

⁵² Folkert Wilman, ‘The Digital Services Act (DSA) – An Overview’ (2022) 6 <<https://www.ssrn.com/abstract=4304586>> accessed 1 August 2023.

Recital 22 concerning conduits and caching speaks of not ‘alter[ing] the integrity of the information’ as opposed to ‘manipulations of a technical nature’. The conduit exemption in Article 4 speaks of *not* initiating the transmission, selecting its receivers, and selecting or modifying the information contained. Caching exemption in Article 5 speaks of *not* modifying information and complying with some industry standards. Hosting exemptions in Article 6 speaks of *not* acting under the authority or the control of the provider and *not* creating the impression that the online platform provides information.

Recital 18 consolidates the test to ‘play[ing] an active role of such a kind as to give it knowledge of, or control over, that information’. Knowledge and control are thus two different mutually non-exclusive criteria. Newspapers publishing articles by freelance journalists have both ‘knowledge of’ their articles and ‘control over’ them. Since editors can influence the content of those articles, and they might have instructed their authors, the conclusion seems inescapable. However, how about an app store that publishes its guidance for app developers and screens apps before their distribution? Does quality control confer on the app store ‘knowledge of’ or ‘control over’ the apps?

In my view, different active interventions could be depicted on a spectrum like the one below. Sprinkled around the DSA are numerous references to neutrality. Looking at the universe of possibilities, two elements of the test can be translated as ‘control over meaning’ and ‘knowledge by participation’. Logically, the standard for ‘knowledge of’, triggering loss of neutrality, must be more stringent than the standard of actual knowledge triggering loss of hosting exemption. Otherwise, the former would be superfluous, and there would be no difference between the various exemptions.⁵³ On the contrary, the opposite is visible in that each liability exemption has its own set of qualifiers that further flesh out what constitutes active interventions (eg mere conduit cannot modify transmitted information but hosting services can to some extent). I will argue that these specific active interventions reveal what type of control Recital 18 is about. In my view, the DSA and case law are converging on the notion that ‘control over’ means control over the *meaning* of information, ie control over *who* says *what* (see Figure 6.2).

6.2.4.1 Editorial control

Newspapers control the meaning of information. By editorial control, they influence what journalists write. Hence, they are not neutral with respect to journalistic articles. Blogs, in contrast, do not influence what bloggers publish. Even if they pre-approve content, they do not edit submitted blogs. However, if a newspaper running a blog section edits a blog article and republishes it with its other journalistic articles, its relationship to that specific article is no longer neutral. It does not matter that the article was

⁵³ The ruling in *McFadden* rejected the knowledge requirement for all liability exemptions.

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not originally developed under editorial responsibility. The same conclusion should apply if the newspaper did not edit the article but would simply present it to readers as its own newspaper content. This hypothetical shows that control over the meaning of information covers situations when providers influence *what* is being published by users, as well as when they change *who* is publishing it.

Conduit and caching exemptions have specific language in the exemptions themselves supporting such reading of what constitutes neutrality of control over information (eg Articles 4(1)(c), 5(1)(a), etc). As noted by Recital 21, '[neutrality] should not be understood to cover manipulations of a technical nature which take place in the course of the transmission or access, as long as those manipulations do not alter the integrity of the information transmitted or to which access is provided'. Thus, 'control over meaning' does not extend to *mechanical manipulations* that do not influence the information's integrity. However, who expresses the information plays a part in determining integrity if such information is published. The hosting exemption now clarifies this with a new paragraph specifically addressing the situation when users' content is presented as providers' own (Article 6(3)). In such cases, providers do not change what is said, they only change who says it. If reasonable readers read information as originating from the provider, one can question providers' neutrality, too. If providers hide the origins of information to create the impression that it is of their own provenance, they accept editorial responsibility. Therefore, the bots that rely on user-generated content without properly attributing it cannot be treated as neutral providers even if they meet other criteria.

‘Knowledge of’, in contrast, covers situations where a user acts as a proxy. In these cases, the provider usually instructs a user to do something. A typical example of this

is the CJEU case of *'The Pirate Bay'*.⁵⁴ The provider here intentionally instructed by inducing its users to violate the law by uploading some material. As noted by Recital 23, such a user 'is acting under the authority or the control of the provider'. The provider instructing thus clearly cannot be neutral as he wishes the outcome to materialise. The hosting exemption specifically reflects this in its liability exemptions (Article 6(2)).

Both the ECD and the DSA anticipate this sort of accessorial liability: the ECD excluded from the liability exemption those cases where the provider exercises authority or control over the content provider (Article 14(2) ECD, for hosting services) or '*deliberately* collaborates with one of the recipients of his service to undertake illegal acts' (Recital 44 ECD, initially for mere conduits and caching services). The DSA's Recital 20 reiterates and reinforces the language previously used by ECD as follows:

Where a provider of intermediary services deliberately collaborates with a recipient of the services in order to undertake illegal activities, the services should not be deemed to have been provided neutrally and the provider should therefore not be able to benefit from the exemptions from liability provided for in this Regulation. This should be the case, for instance, where the provider offers its service with the main purpose of facilitating illegal activities, for example by making explicit that its purpose is to facilitate illegal activities or that its services are suited for that purpose. The fact alone that a service offers encrypted transmissions or any other system that makes the identification of the user impossible should not in itself qualify as facilitating illegal activities.

The difficult question is to decide what level of knowledge of the illegal acts of the user is necessary. As explained above, logically, the standard for 'knowledge of' triggering loss of neutrality must be more stringent than the standard of actual knowledge triggering loss of hosting exemption. Thus, the mental element of the provider must go beyond simply *knowing* that a user will commit specific illegal actions. The provider must be somehow implicated in the users' actions. One of the obvious ways would be to conceptualise 'knowledge of' as 'knowledge of participation', borrowed from criminal law. In most legal systems, providers could become accessors when they *intentionally* participate in the acts of others.⁵⁵ Arguably, this is what the word 'deliberately' suggests.

6.2.4.2 A possible test for neutrality

Thus, the neutrality test could be formulated as follows: *did the platform exercise control over the meaning of the user's content, or does it have knowledge of its own deliberate participation in the acts of users?*

Two parts of the test are not mutually exclusive (eg newspapers deliberately participate in publishing stories of their freelance journalists and have control over the

⁵⁴ Case C-610/15 *Stichting Brein v Ziggo BV and XS4All Internet BV* ECLI:EU:C:2017:456 (*The Pirate Bay* [CJEU]).

⁵⁵ For a comparative overview of secondary liability, Christina Angelopoulos, *European Intermediary Liability in Copyright: A Tort-Based Analysis* (Wolters Kluwer 2017). For an overview of the English situation, Pey Woan Lee, 'Accessory Liability in Tort and Equity' (2015) 27 *Singapore Academy of Law Journal* 851.

substance of published articles). However, many situations would fall under one of the two subparts of the test. Let me offer some examples:

- App stores controlling the quality of submitted apps that undoubtedly obtain knowledge of the apps they distribute (though not necessarily of illegality of those apps) would remain neutral unless they deliberately participate in the app owners' specific wrongs, such as consumer fraud.
- A newspaper routinely pre-approving comments by users caught by its hate speech detection tool would preserve neutrality even when they sometimes obtain knowledge of circumstances. They could fail to act upon such knowledge by failing to investigate them but that would strip them of the liability exemption for a different reason.
- A hotel that specifically advertises its wi-fi connectivity as a good means to 'not get caught by law enforcement' could be viewed as losing neutrality for deliberately participating in the wrongs of its clients found to use the connection to commit some crimes.
- A price-comparison site that compiled product descriptions from various submissions of sellers by algorithmically evaluating their quality and then collaging various high-quality pieces into one text would lose neutrality because it produces new content with new meaning.
- An online marketplace that hides the identity of its sellers so that users cannot distinguish if they are buying from the provider or someone else would disqualify from neutrality because it gains control over the substance of the content by substituting itself as the expected producer of information.
- A video-sharing platform that automatically blurs potential depictions of violence would not be disqualified from neutrality because its interventions are merely mechanical and do not alter the meaning.
- A social network that attaches warning to posts of their users would not lose neutrality because the additional information does not alter the meaning of the commented information.
- A video-sharing service that ranks and recommends the content of its users via an algorithm would not lose neutrality because such recommendation does not change the meaning of the information ranked or recommended.

The difference between the price-comparison website and the video-sharing platform is that while both are involved in the substance of content, the video-sharing platform does not alter what is said. In contrast, the price-comparison website only uses users' information to produce new content with new meanings. The online marketplace does not change what is being said, as it preserves the originally submitted content, but alters who is saying it in the readers' perception.

Intervening in the meaning of the users' content thus has two dimensions: *who* says *what*. If the platform influences *what* is said by meaningfully intervening in drafting the provided information, algorithmically or not, it exercises intellectual control. Similarly,

if the platform changes *who* says something by presenting the provided content as its own and concealing its true authorship, it alters the meaning of the underlying information. The content now reads like a statement from the platform, not that of a third party. This last situation of ‘adopted content’ is now explicitly recognised by Article 6(3) DSA.⁵⁶

In the assessment of ‘adopted content’, it is less important to consider what *tools* are used rather than what the *outcome* is for the reader. If a platform appropriates third-party content by presenting it as its own, it does not matter if this integration results from algorithms or human actions. In both cases, the meaning of the information changes.⁵⁷ Similarly, while a platform employee’s suggestion as to what to include would qualify as an active intervention, the same can be said of automated tools that force the choice of the original author of the content. For instance, if an app provides the choices of background music to users of video-sharing platforms, it is unlikely to be able to claim a liability exemption for the inclusion of such music. At the same time, if the elements that are not the result of pre-selection can be separated, the liability exemption could continue to apply. Thus, a defamatory video that carries a piece of pre-approved music does not disqualify the provider from protection vis-à-vis the defamatory message. The video could be said to contain two different pieces of information despite being presented together as sound and image.

The ‘control of the meaning’, or as put by AG Øe, ‘intellectual control’, must be distinguished from purely *mechanical contributions*. When a platform changes the content’s font or format, there is no intervention on who says what—only the presentation of the information changes. This also follows from the recitals, which stress that modification for mere conduits and caching ‘should not be understood to cover manipulations of a technical nature which take place in the course of the transmission, as such manipulations do not alter the integrity of the information transmitted’.⁵⁸ The same is true for hosting, for instance, when the platform provides an automated translation of the text. However, if such translation mistakenly alters the meaning, the platform itself arguably changes what is said and thus exposes itself to liability.⁵⁹ The extent of acceptable mechanical contribution may differ based on the proximity of providers to their content. This is already implied in the different requirements found across the liability exemptions.

The above distinctions explain why categorisation, personalisation or ranking in the search results do not constitute disqualifying active interventions. They do not alter who says what; they only influence the delivery of the information. They assist the reader when receiving the information provided by the original author, but they do

⁵⁶ See also *YouTube and Cyando (Opinion of AG Øe)* (n 18) para 152.

⁵⁷ Consider a situation of a news portal that integrates parts of user comments into the content of articles without the author being obvious to the reader. In that case, the content would change, as the originator of the information would change from the reader’s point of view. The reader would consider this information is voiced by a news portal.

⁵⁸ DSA, Rec 21; ECD, Rec 43.

⁵⁹ This must be distinguished from when users utilise plug-ins. In these cases, translation is done by readers or users and not by platforms.

Table 6.1 Situations leading to the loss of neutrality

‘Control over’ meaning	‘Knowledge of’ own deliberate participation
A provider co-determining user’s content	A provider instructs the user’s wrongs
A provider presenting user’s content as the provider’s own	A user acting under a provider’s control or jointly collaborating

not interfere with what the author communicates. This is also true when an algorithm selects and subsequently displays only some of the content initially provided, so long as the author of such content is clearly designated to the reader.

This reading of neutrality thus presents the providers with a clear choice. If providers wish to integrate content heavily in their offering by instructing their users, redesigning their content, or concealing its origin, they can do so, but at the expense of losing the liability exemptions. Policy-wise, the resulting content shall then be regarded as editorial regardless of the means used to produce it or the fact that the finished product’s ingredients come from user-generated content.

Table 6.1 summarises the typical examples of active interventions.

6.2.5 Provider’s own investigations

The DSA’s liability chapter has introduced a new provision meant to provide interpretive guidance. Article 7 does not introduce a new liability exemption; however, it informs how to interpret various components of liability exemptions, and the prohibition of general monitoring obligations.

According to Article 7 DSA, entitled ‘[v]oluntary own-initiative investigations and legal compliance’, the following conduct must be encouraged:

Providers of intermediary services shall not be deemed ineligible for the exemptions from liability referred to in Articles 4, 5 and 6 solely because they, in good faith and in a diligent manner, carry out voluntary own-initiative investigations into, or take other measures aimed at detecting, identifying and removing, or disabling access to, illegal content, or take the necessary measures to comply with the requirements of Union law and national law in compliance with Union law, including the requirements set out in this Regulation.

The provision addresses the common concern that the voluntary actions of providers can cost them liability exemptions either because they lose the status of neutrality or gain knowledge as hosting providers. The CJEU has in *YouTube and Cyando* before the DSA’s adoption that the same followed already from the previous framework: ‘the fact ... that the operator of a video-sharing platform, such as YouTube, implements technological measures aimed at detecting ... content which may infringe copyright,

does not mean that, by doing so, that operator plays an active role giving it knowledge of and control over the content of those videos.⁶⁰ Article 7 introduces some more explicit language.

At this point, the added value of the provision is uncertain. On the one hand, it clearly can inform other provisions and their interpretation by articulating that desirable enforcement efforts should not be punished, and thus disincentivised, by increased uncertainty about providers' liability. In this sense, the provision draws inspiration from section 230(c) Communications Decency Act⁶¹ that tried to give comfort to 'good Samaritans' who, following the *Prodigy* ruling,⁶² were suddenly exposed to a worse legal situation if they did more to moderate the content of their users. However, Article 7 is a very different animal in a very different zoo. The DSA does not grant any legal immunity from liability for good faith content moderation actions. It only makes sure that existing liability exemptions are preserved. Thus, potential disincentives in the form of any liability to affected users remain unaddressed.

Some scholars like Kuczerawy worry that Article 7 might incentivise only more enforcement and thus more content removals because it does not provide well-rounded immunity.⁶³ I am less sure. Because the crucial counter-incentive—potential legal consequences for over-removal vis-à-vis a user—is not included in the immunity, the situation would appear the same as pre-DSA. However, given that the DSA increases incentives against over-removal elsewhere (see Chapters 10–11), I do not see deterioration of the incentive situation. However, I am equally unsure whether Article 7 will substantially change the case law on any related points: neutrality or knowledge.

Firstly, after *YouTube and Cyando*, neutrality clearly cannot be lost by simply doing more than notice and takedown. Post-DSA, many online platforms will have to do substantially more; thus, using the DSA-imposed measures on them to strip them of liability exemptions would be internally inconsistent. For very large online platforms (VLOPs), due to their big risk mitigation obligation under Article 35, there is hardly any space to say that some measures are still truly 'voluntary'. Second, post *YouTube and Cyando*, the case law is now also clear that the diligence expected of providers is limited to assessment 'without a detailed legal examination, that that communication is illegal and that removing that content is compatible with freedom of expression.'⁶⁴ Thus, even where circumstances arise during the carrying out of voluntary measures that show some indications of illegal behaviour, the indications must be very strong—basically limited to obviousness—that some behaviour is illegal. In my view, the likelihood of randomly bumping into specific knowledge about illegality without realising it is, very low.

⁶⁰ *YouTube and Cyando* (n 28) para 109.

⁶¹ 47 US Code § 230(c).

⁶² *Stratton Oakmont Inc v Prodigy Services Co* 23 Media L Rep 1794 (NY Sup Ct 1995).

⁶³ Aleksandra Kuczerawy, 'The Good Samaritan That Wasn't: Voluntary Monitoring Under the (draft) Digital Services Act' (*Verfassungsblog*, 12 January 2021) <<https://verfassungsblog.de/good-samaritan-dsa/>> accessed 1 August 2023.

⁶⁴ *YouTube and Cyando* (n 28) para 116.

6.2.6 Economic nature of services

The ‘Digital Services Act’ does not refer to ‘digital services’ in its articles. Instead, the DSA speaks about ‘intermediary services’—services that store or give access to people’s communications. The DSA does not regulate editorial services, such as newspapers or streaming. Looking at the digital ecosystem, ‘intermediary services’ are the most important types of digital services. Among the top 50 visited websites on the internet globally, the majority rely on users—ie other people, like you and I—to generate the content.⁶⁵ Thus, while the DSA is mostly about user-generated content, or user-to-user communication tools, because of the nature of such content the DSA is crafted broadly enough to capture most of the digital ecosystem (see Chapter 1).

But one limitation of the DSA is perhaps more consequential—ie a limitation to services of an economic nature.

Article 2 limits its scope to ‘intermediary services offered to recipients of the service that have their place of establishment or are located in the Union, irrespective of where the providers of those intermediary services have their place of establishment’. Article 3(f) defines ‘intermediary service’ as one of the following information society services: (i) a ‘mere conduit’ service; (ii) a ‘caching’ service, or (iii) a ‘hosting’ service. Finally, Article 3(a) defines ‘information society services’ as a ‘service’ as defined in Article 1(1), point (b), EU Directive 2015/1535. According to Article 1(2) of EU Directive 2015/1535, an ‘information society service covers any service normally provided for remuneration, by electronic means and at the individual request of a recipient of services.’⁶⁶

So, in a nutshell, to be in the scope of the DSA, a firm needs to provide an intermediary service, which in turn needs to be an information society service, which in turn needs to be a service. And what is a service? Article 57 TFEU establishes a very open definition: ‘Services shall be considered to be “services” within the meaning of the Treaties where they are normally provided for remuneration, in so far as they are not governed by the provisions relating to freedom of movement for goods, capital and persons.’ Therefore, the main characteristic of a service is to be ‘normally provided for remuneration’—a tricky condition in the context of ubiquitous and freely available online tools that might not always be at first ‘normally provided for remuneration’.

In 2000, the ECD already had to confront this question. Recital 18 ECD clarifies that ‘information society services are not solely restricted to services giving rise to online contracting but also, in so far as they represent an economic activity, extend to services which are not remunerated by those who receive them, such as those offering online

⁶⁵ The list at ‘List of Most Visited Websites’, *Wikipedia* (2023) <https://en.wikipedia.org/w/index.php?title=List_of_most_visited_websites&oldid=1168840226> accessed 8 August 2023.

⁶⁶ European Parliament and Council Directive (EU) 2015/1535 of 9 September 2015 laying down a procedure for the provision of information in the field of technical regulations and rules on Information Society services (2015) OJ L241/1, codifying: European Parliament and of the Council Directive 98/48/EC of 20 July 1998 amending Directive 98/34/EC laying down a procedure for the provision of information in the field of technical standards and regulations (1998) OJ L217/18.

information or commercial communications, or those providing tools allowing for search, access and retrieval of data.’ The CJEU has clarified that the concept of ‘normally provided for remuneration’ does not have to entail reliance on fees in the provider’s business model. According to the CJEU, ‘[t]he remuneration of a service supplied by a service provider within the course of its economic activity does not require the service to be paid for by those for whom it is performed.’⁶⁷ Even free-of-charge services whose business models are based on advertising or other business models,⁶⁸ such as the resale of data or analytics, can qualify as ‘normally provided for remuneration.’

In the context of multi-sided platforms, for instance, the fact that the user receives the service for free does not exclude it from constituting an economic activity, as other recipients of the service (such as advertisers or traders) will remunerate the service. In any event, it requires exercising an economic activity or being provided in the context of economic activity. In *Papasavvas*, the Court linked the concept to primary law when it held that ‘interpretation corresponds to that of the concept of ‘services’ within the meaning of Article 57 TFEU, which also does not require the service to be paid for by those for whom it is performed.’⁶⁹ The Court then argued that advertising undoubtedly turns the activity into services.⁷⁰ In *McFadden*, the CJEU established that offering access to a WiFi hotspot for free constituted a service, ‘where the activity is performed by the service provider in question for the purposes of advertising the goods sold, or services supplied by that service provider.’⁷¹ In other words, if the provider has some business motive, there is no doubt that it will qualify under the condition.⁷²

However, if it does not, and thus an economic motive is missing in their case, it depends on what interpretation is given to the term. The case law to date did not fully clarify whether the test is ‘objective’—ie a service is capable of being provided for remuneration, or is usually provided in such way by others—or ‘subjective’—ie a service is being provided for remuneration in this specific case.

I think that the objective test is more appropriate. With the subjective test, two persons in the same position can be treated differently only because they rely on different motives when doing the same thing. It would mean that non-profit entities or public services do not enjoy protections afforded to large corporations and limit the availability of enforcement tools in the DSA against such entities. Adopting the subjective interpretation would mean that national law can decide whether it wishes to extend the application of liability exemptions per analogy to such ‘non-economic’ services. This, in my view, would seriously compromise the harmonising effect and the effectiveness of the DSA. Digital offerings could escape DSA obligations by framing their activities as merely charitable or non-profit projects.

⁶⁷ *McFadden* (n 22) para 41.

⁶⁸ *McFadden* (n 22) para 42 (‘where the performance of a service free of charge is provided by a service provider for the purposes of advertising the goods sold and services provided by that service provider, since the cost of that activity is incorporated into the price of those goods or services’).

⁶⁹ *Papasavvas* (n 13) para 29.

⁷⁰ *ibid* para 30.

⁷¹ *McFadden* (n 22) para 41.

⁷² For a CJEU case supporting this reading, see Case C-339/15 *Vanderborght* ECLI:EU:C:2017:335.

The danger is real. The Slovak Supreme Court, applying the *McFadden* ruling,⁷³ recently opined that when a non-profit organisation operating a local news website hosts comments, it does not engage in economic activity.⁷⁴ As a result, the organisation does not benefit from the liability exemptions, and going forward, equally would not be subject to the due diligence rules of the DSA. The Member States can decide to align such situations with the DSA as they see fit. However, for liability exemptions, the human rights law can de facto impose an obligation to extend comparable regimes to non-profit actors.⁷⁵

While so far, we only have very few cases where providers would try to escape the definition of services, this might change under the DSA. Providers themselves have favoured and profited from wide interpretation. Under the pre-DSA legal landscape, ‘being a service’ meant benefitting from the treaty-based free movement of services; being an information society service means benefitting from the country-of-origin principle under the ECD; being an intermediary service means benefitting from a liability exemption. There were many benefits and few obligations. These changes under the post-DSA landscape create incentives to treat economic character as a loophole.

To close such a loophole, if a service can be turned into a business, regardless of whether it has already been, it should be viewed as a ‘service’. Thus, a non-profit service like Wikipedia, supported by donations, can always decide to sell insights,⁷⁶ should equally profit from liability exemptions, and be bound by DSA obligations. Its legal regime should not be dependent on the funding model of the service. This is in line with the traditional interpretation of the concept of ‘service’, which has been very broad.⁷⁷ Only such an objective reading assures that some players do not try to game the system by carefully timing their for-profit operations to avoid due diligence obligations.

This reading finds support in *European Commission v Hungary*, where the CJEU held that:

The decisive factor which brings an activity within the ambit of the FEU Treaty provisions on the freedom to provide services and, accordingly, of those relating to the freedom of establishment, is its economic character, that is to say, *the activity must not be provided for nothing*. By contrast, contrary to what is maintained by the Hungarian Government, *there is no need in that regard for the person providing the service to be seeking to make a profit ...*⁷⁸

⁷³ *McFadden* (n 22).

⁷⁴ The Slovak Supreme Court (2022) Case No 9Cdo/78/2021, paras 34–37.

⁷⁵ Ch 3.

⁷⁶ Sarah Perez, ‘Google and the Internet Archive Are the First Customers to Gain Commercial Access to Wikipedia Content’ (*TechCrunch*, 29 June 2022) <<https://techcrunch.com/2022/06/29/google-and-the-internet-archive-are-the-first-customers-to-pay-for-commercial-access-to-wikipedia-content/>> accessed 1 August 2023.

⁷⁷ Lilian Edwards (ed), *The New Legal Framework for E-Commerce in Europe* (Hart 2005) 95.

⁷⁸ Case C-179/14 *European Commission v Hungary* ECLI:EU:C:2016:108, para 154.

Thus, whether an entity is seeking immediate profit is irrelevant. If it builds a digital service which generates value for others, it is not provided for nothing, irrespective of whether that value is converted into money.

A separate question concerns state-run services, such as domain name authorities for top-level domain names ('.fi' for Finland), run by the state in some countries. One can borrow from the CJEU's competition case law to consider whether these services qualify as a service. Here, the CJEU held that 'an undertaking is any entity engaged in an economic activity, irrespective of its legal status and the way in which it is financed'.⁷⁹ Any activity 'consisting in offering goods and services on a given market is an economic activity'.⁸⁰ Thus, the state may act as an undertaking, unless its activities 'fall within the exercise of public powers are not of an economic nature'.⁸¹ As long as economic activity can be separated, even if only in part, from the exercise of public powers, it is caught by competition law.⁸²

According to the case law,⁸³ the situation might depend on the underlying legislation. If the authority directly operates the service and charges fees on a statutory basis, its activities, such as domain name registration, are unlikely to qualify as an economic activity and, thus, a service. It would fall outside of the DSA. On the other hand, if the state only maintains legal supervision of the domain name authority but the operations are entirely outsourced to a third party and fees charges at its discretion, they should qualify as an economic activity. Again, from my perspective, it is irrelevant whether such service is then run for-profit (eg Slovak SK-NIC) or as a non-profit activity (eg Czech CZ.NIC or EU's EURid).⁸⁴ Obviously, the inapplicability of the DSA's rules does not preclude the states from adopting their own liability exemptions, or due diligence obligations, to such activities. Due to the inapplicability of the DSA, such exemptions are not pre-empted either. Thus, if a Member State operates one or more of such digital services, it can simply extend or even modify due diligence obligations in its national legislation.

6.3 Emerging Difficult General Issues

Before turning attention to specific liability exemptions, I wish to further discuss some of the difficult points that I see on the horizon as potentially important for the effectiveness of the DSA.

⁷⁹ Case C-138/11 *Compass-Datenbank GmbH v Republik Österreich* ECLI:EU:C:2012:449, para 35.

⁸⁰ *ibid* para 35.

⁸¹ *ibid* para 36.

⁸² *ibid* paras 37–38.

⁸³ *ibid* paras 42–48.

⁸⁴ European Parliament and Council Regulation (EU) 2019/517 of 19 March 2019 on the implementation and functioning of the.eu top-level domain name and amending and repealing Reg (EC) No 733/2002 and repealing Commission Regulation (EC) No 874/2004, art 9(2) on fees.

6.3.1 Impact of liability-excluding norms on liability-establishing norms

Liability exemptions function as liability exclusion provisions. They prevent European and national law, or their interpretation, from holding providers of such services liable. In other words, they only curtail the imposition of liability. The concept of ‘liability for third party information’ has an autonomous meaning, and it covers numerous areas of law, including civil, administrative, and criminal law, as long as the ultimate aim is to regulate the behaviour of content creators and hosts of such third-party information.⁸⁵ Similarly to the ECD, when the liability exemptions are no longer applicable because conditions are not fulfilled, it is up to other laws to establish any liability.⁸⁶

The Directive’s (the ECD), and now Regulation’s (the DSA), rules merely harmonise the exemption of liability, not the liability itself—it does not provide a positive basis for establishing when a provider can be held liable, which will depend on other legal instruments at the European or national level. Thus, in theory, there can be a gap.⁸⁷ On the other hand, this also means that the unavailability of the exemption does not automatically lead to liability; such a provider can, from the European perspective, also be declared ‘not liable’.

However, the relationship between liability exemptions and liability-establishing norms is further complicated by several factors.

First, the CJEU and national courts occasionally tend to establish liability at exactly the point where the exemption conditions are no longer satisfied (eg after a notice is not properly acted upon). Thus, the CJEU in *YouTube and Cyando* suggests that copyright liability for communication to the public will often coincide with a failure to satisfy the hosting liability exemption.⁸⁸ The judges applying liability-establishing rules alongside liability exemptions tend to be exposed to the anchoring effect of the exemptions. The two sets of rules thus can converge, although there is no legal requirement they do, and convergence can sometimes be counterproductive. This anchoring effect is not specific to EU law. Seeing liability exemptions as liability switches can be problematic because the policy reasons behind exempting liability can differ from those behind imposing it. The temptation to see what is exempted as the *only* appropriate course of conduct for a provider should be resisted. While for many services, such synchronisation of

⁸⁵ This issue was crucial in the pending Czech preliminary reference on unfair competition which was ultimately settled. Case C-470/22: *Request for a preliminary ruling from the Vrchní soud v Praze (Czech Republic) lodged on 14 July 2022—Česká národní skupina Mezinárodní federace hudebního průmyslu v I&Q GROUP, spol s r.o., Hellspy SE* [2022] OJ C418/12.

⁸⁶ The DSA does not impose the order in which the Member States apply the liability exemptions. They can, in theory, first apply liability provisions and then apply liability exemptions. However, this might sometimes risk misapplying the exemptions or applying them under the influence of national provisions. It might be more economical first to apply the liability exemptions and then liability provisions in national law, as the latter might have been devised long before these exemptions existed; thus, those liability provisions were not designed to avoid conflict.

⁸⁷ A good example is offered by the UK’s Defamation Act 2013 in s 5. See also *McFadden* (n 22). However, the DSA offers a number of accountability obligations imposed on providers while they act within the liability exemptions.

⁸⁸ *YouTube and Cyando* (n 28) paras 79–84.

exemptions and liability norms might not create problems, for some types of services,⁸⁹ or some types of liability,⁹⁰ it could have draconian effects. Thus, the fact that establishing liability is still a job of another set of legal norms should be always remembered. Switching off the immunity shield does not automatically mean switching on liability for others.

Second, liability-establishing norms that have their basis in EU law can sometimes complement or modify the DSA safe harbours. Only very rarely, as with Article 17 of the Copyright in the Digital Single Market (CDSM) Directive,⁹¹ do other EU rules specifically modify a liability exemption itself. Article 17 of the CDSM Directive introduces a special treatment for a subset of providers who are thereby explicitly excluded from the hosting exemption.⁹² A different example is the General Data Protection Regulation (GDPR), which has a less explicit relationship with liability exemptions. For instance, the GDPR's understanding of some hosting services differs substantially from the logic underlying the liability exemption regimes. However, the conflict between these special rules and the liability exemptions is not always real because two areas of law often regulate related aspects of the same business (eg data protection law regulates data collection designed around the collection and distribution of users' content). In fact, the complementary relationship between liability exemptions and other EU instruments is a much more frequent occurrence (see Chapter 17). The EU acts, such as the Terrorist Content Regulation or Audiovisual Media Services Directive, are excellent examples. These rules are perfectly compatible with the liability exemptions and other rules of the DSA but might contain further specifications of what is expected in certain sectors.

6.3.2 Neutrality and reliance on factual presumptions

One of the interesting and unresolved problems related to liability exemptions is to what extent the exemptions limit the use of factual presumptions or other evidentiary heuristics by national courts.

In *Bastei Lübbe*,⁹³ the CJEU addressed the question of whether an owner of an internet connection can be 'presumed' to be the wrongdoer in some circumstances.⁹⁴ German courts have developed a doctrine according to which if the connection were *prima facie* solely used by its owner, he would be subject to a rebuttable presumption

⁸⁹ An example of this is applying the same standard to cloud computing providers involved in hosting on the infrastructure level.

⁹⁰ An example of this is applying the same standard to criminal liability for terrorist crimes or civil liability for defamation.

⁹¹ CDSM Directive, art 17.

⁹² CDSM Directive, art 17(3) ('the limitation of liability established in Article 14(1) of Directive 2000/31/EC shall not apply to the situations covered by this Article') and the DSA, art 89(2) ('References to Articles 12 to 15 of Directive 2000/31/EC shall be construed as references to Articles 4, 5, 6 and 8 of this Regulation, respectively'), and specifically also supported by the DSA, art 2(4)(b).

⁹³ Case C-149/17 *Bastei Lübbe GmbH & Co KG v Michael Strotzer* ECLI:EU:C:2018:841.

⁹⁴ *ibid* para 20 (summarising the case law). See also German Federal Supreme Court case, BGH v 27 July 2017 – Case I ZR 68/16.

that he acted illegally. This requires the owner to explain and provide evidence of the opposite; otherwise, he is liable for transmitted information.

While the owner could be said to have acted as a mere conduit if other parties were involved, such as his family members, the presumption forces him to substantiate that he is a mere conduit, eg by naming persons who could have used his service. The CJEU did not consider the liability exemption dimension of the dispute. It ruled that such rebuttable presumption is not only acceptable but arguably partly required for the effective enforcement of intellectual property rights.⁹⁵ This poses an important question for the mere conduit liability exemption, as well as other liability exemptions. Are such presumptions a form of ‘liability for information transmitted’? If they are not rebutted, then this clearly manifests a liability for mere conduit service providers who may arguably be neutral (eg unaware co-tenants).

The difficulty with this rule is that the situation is akin to a national law that would condition the mere conduit exemption on disclosing some information. This would be incompatible with the DSA. However, if the rule is interpreted as a probability-based assessment of whether the mere conduit provider remained neutral, it could be more easily reconciled with Article 4 DSA. After all, the national courts must always make decisions in the context of factual uncertainty while relying on various heuristics.

This poses the question of *how far* the Member States and their courts can presume certain facts when the available evidence is limited. Undoubtedly, this question will come up before the CJEU. In *YouTube and Cyando*, the CJEU itself might be outlining an evidentiary standard concerning some of the infringements in copyright law that involves reliance on rebuttable presumptions.⁹⁶ Such presumptions were previously explicitly used by CJEU,⁹⁷ and thus, it is expected that the question of the limits of these presumptions will be tested sooner or later.

In its *YouTube and Cyando* judgment, the CJEU says that the following situations would fall outside the liability exemption and equally qualify as copyright infringement by the platform itself:⁹⁸

- the provider ‘participates in selecting’ infringing content;
- the provider ‘provides tools on its platform specifically intended for the illegal sharing of such content or that it knowingly promotes such sharing, which may be attested by the fact that that operator has adopted a financial model that encourages users of its platform illegally to communicate protected content to the public via that platform’;
- the provider, ‘despite the fact that it knows or ought to know, in a general sense, that users of its platform are making protected content available to the public illegally via its platform, refrains from putting in place the appropriate technological

⁹⁵ *ibid* paras 52–54.

⁹⁶ *YouTube and Cyando* (n 28) para 84.

⁹⁷ Case C-160/15 *GS Media BV v Sanoma Media Netherlands BV and others* ECLI:EU:C:2016:644.

⁹⁸ *YouTube and Cyando* (n 28) para 84; The case of Poland reiterates it as well, see *Republic of Poland v European Parliament and Council of the European Union* ECLI:EU:C:2022:297, para 27.

measures that can be expected from a reasonably diligent operator in its situation in order to counter credibly and effectively copyright infringements on that platform.

The first two scenarios are easily understood as situations where the intention is present. To participate, one must possess a will to join the action deliberately. To *induce* by providing tools, one has to envisage their use for such a purpose. The CJEU cross-referred to its case law on *The Pirate Bay*,⁹⁹ a provider whose intentions were evident to anyone. When it comes to hosting, such users would be likely understood to act under the authority or control of the service provider.¹⁰⁰

The last scenario is the most interesting. It seems to present an instance where the Court would be willing to *infer* the deliberate intent to participate in someone's wrong in the absence of other evidence of an initial common plan. In other words, it seems to envisage a scenario where deliberate collusion emerges from the interactions and mutual convenience of outcomes. In such a case, the Court appears to require evidence that the provider, once realising this, tries to counter this situation credibly and effectively. This does not mean it must do everything possible, but it must do more than pay lip service so that the Court may be convinced that it is not acting implicitly in concert. The Court's description of such a scenario suggests its *evidentiary nature*: when evidence of large-scale infringement is known to the provider, it must credibly dispel the suspicion that it is not acting in concert.

Basically, the burden of proof showing neutrality and lack of participation is shifted, following the establishment of some circumstances, to the provider who must dispel doubts about his neutrality and deliberate participation in the wrongs of others.

With this conceptualisation in mind, the standard is about a provider being a rogue player rather than failing once or twice. As a result, the evidence should be systemic, and the countermeasures neglected should be the low-hanging fruit that every reasonable actor would adopt in such a situation rather than the highest state of the art. After all, the test is used to *infer deliberate participation* in someone else's wrong—usually a high threshold. The intuition is that even if basic reasonable measures were withheld, and not applied, then the intentions of the hosting provider were not all that innocent and could have been aligned with those lawless users. In such a case, users do not misuse the service but use it as generally intended by the platform itself.

The CJEU will have to navigate the question of these presumptions delicately to maintain the balance the legislature tried to create. While, as in *McFadden*, it is understandable that the Court does not want to squeeze the procedural autonomy of the Member States, the lack of a common approach risks undermining the framework. The Court's passage from *McFadden* acts as a useful reminder of the conundrum:

⁹⁹ *The Pirate Bay* (CJEU) (n 54).

¹⁰⁰ DSA, art 6(2).

It is not for the Court to take the place of the EU legislature by subjecting the application of that provision to conditions which the legislature has not laid down ... To subject the exemption laid down in Article 12(1) of Directive 2000/31 to compliance with conditions that the EU legislature has not expressly envisaged could call that balance into question.¹⁰¹

6.3.3 The place of the neutrality test

Under the ECD, it was of no consequence whether the requirement of neutrality was understood as a test for ‘provided information’ or as a self-standing test derived from the recitals. Under the DSA, however, this changes. If the ‘provided information’ is stored by a provider, the DSA’s due diligence obligations apply even if the provider is not neutral. In contrast, if the information is interpreted as not ‘provided by recipients’, even though a provider stores it, the DSA’s due diligence obligations do *not* apply.

Recital 29 stresses that:

Whether a specific service constitutes a ‘mere conduit’, ‘caching’ or ‘hosting’ service depends solely on its technical functionalities, which might evolve in time, and should be assessed on a case-by-case basis.

Thus, the Recital makes clear that no other criteria, including neutrality, should be applied to the question of whether a service is regulated by the DSA. A contrario, this is also confirmed by Recital 18, which only says that ‘[t]he *exemptions from liability* established in this Regulation should not apply where, instead of confining itself to providing the services neutrally by a merely technical and automatic processing of the information provided by the recipient of the service, the provider of intermediary services plays an active role of such a kind as to give it knowledge of, or control over, that information’. Thus, the rest of the Regulations can continue to apply to them. This reading is reinforced by Recital 41 stating that ‘[t]he due diligence obligations are independent from the question of liability of providers of intermediary services which need therefore to be assessed separately.’

Finally, a similar point can be derived from Article 7. While the ECD included a cross-reference to a provider ‘when providing the services covered by Articles 12, 13 and 14’, the DSA refers merely to ‘intermediary services’ and the technical activities of transmitting or storing. This could be read as a mere simplification of the text. However, considering the above discussion, it stipulates that the prohibition of general monitoring *does* apply *whenever* providers exercise those technical functions, *regardless* of whether they eventually lose a liability exemption because they stop being neutral (see Chapter 5).

¹⁰¹ *McFadden* (n 22), paras 69–70.

Table 6.2 Legal concepts and their consequences

Legal concept	Legal consequences
Service as an ‘economic activity’	» determines whether the DSA applies at all.
Activity as ‘hosting’, ‘mere conduit’, ‘caching’	» determines whether the DSA applies at all.
Information is ‘provided by’ recipients of the services at their ‘request’	» determines whether the DSA applies at all;
The ‘neutrality’ of the provider vis-à-vis provided information	» determines whether the liability exemptions apply but not whether the due diligence obligations still apply; thus, services that adopt or instruct users’ content do not benefit from exemptions but might become VLOPs.

In my view, the DSA tries to make it clear that apart from the neutral intermediaries who benefit from Article 8, the provision also applies *whenever* due diligence obligations are imposed, including on non-neutral intermediaries.¹⁰² This is because the DSA, per Recital 30, explicitly submits its entire Regulation, and thus also the due diligence framework, to Article 8 scrutiny.¹⁰³ Thus, for instance, a provider of generative artificial intelligence (AI) that draws from submitted user-generated content is likely to be non-neutral vis-à-vis its input is unlikely to be covered by liability exemptions. However, such a provider remains subject to the DSA due diligence obligations and the Prohibition on General Monitoring (GMOP) and can become a very large online platform (VLOP).

This is not to say that Court should not delimit the scope of the DSA by interpreting the notion of ‘provided information’. Such test remains crucial to distinguish between user-generated-content services, and those without such a component. The courts and authorities have all the incentives to frame the test for ‘provided information’ very broadly if they wish to keep the scope of the applicability of due diligence obligations broader than the concept of neutrality. As far as liability exemptions are concerned, any over-broadness can still be mitigated through an independent narrower test of the neutrality of services. To illustrate this, consider the difference between two types generative AI systems: a) services built on top of content of users submitted them, and b) services built by pulling the content from the web. The former, as mentioned above, can qualify as hosts, but can still sometimes lack neutrality vis-à-vis their outputs. However, the latter cannot qualify as hosts because they are not provided with such user-generated content at all. The outcome then appears as shown in Table 6.2.

¹⁰² This is not that unconventional. The CJEU already held that the GMOP can still apply, eg in areas not covered by liability exemption, even in the offline context. For more on the debate, Husovec (n 27) 118.

¹⁰³ DSA, Rec 30 states that ‘[n]othing in this Regulation should be construed as an imposition of a general monitoring obligation or a general active fact-finding obligation, or as a general obligation for providers to take proactive measures in relation to illegal content’ (emphasis added).

Liability Exemptions: Specific Services

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7.1 Introduction

The three Digital Services Act (DSA) liability exemptions discussed in the previous chapter are built around different expectations. First, conduit immunity mostly expects providers to cooperate with the state authorities by following their orders. Second, the caching immunity expects speedy catch-up with those whose infringements they mirror. And finally, the hosting immunity imposes choreography of non-judicial notice and takedown upon providers. Each liability exemption has its own rules and specifics, which I will try to explain in this chapter. Some composite services, such as messaging apps or search engines, can see their different components fall under more than one liability exemption depending on how they operate (Chapters 7.6 and 9.2).

7.2 Mere Conduits

Article 3(g)(i) DSA defines the mere conduit services as ‘consisting of the transmission in a communication network of information provided by a recipient of the service, or the provision of access to a communication network.’ Article 4 DSA then details the liability exemption as follows:

Where an information society service is provided that consists of the transmission in a communication network of information provided by a recipient of the service, or the provision of access to a communication network, the service provider shall not be liable for the information transmitted or accessed, on condition that the provider: ...

The logic behind the legal intervention remains the same as in 2000. The lowest parts of the technical infrastructure ‘stack’ are not expected to control the content that flows

through the ‘pipelines’ (Chapter 1). As much as postal services are not liable for the content of the letters and packages exchanged, internet infrastructure needs to have the same legal certainty that by facilitating, transmitting, and giving access to content which might be illegal, they are not, nor do they want to be, assuming any legal risk. The mere conduit exemption does this important job.

The provision covers services that provide ‘transmission’ or ‘access to’ any communication network. Unlike Article 12 E-Commerce Directive (ECD), the DSA’s text now explicitly covers liability for ‘transmission’ *and* giving ‘access to’ such provided information. The new wording extends the functionality of the provision. For instance, a pub owner who electronically and at a distance only provides codes to an open wi-fi operated by another company previously could not claim the liability exemption for the misuse of connectivity. Although such a pub owner gave access to a network, since liability was only exempted as regards the ‘transmission’, which he never carried out, there was no protection. Now, a pub owner can equally invoke the mere conduit provision because it is not liable for giving ‘access’.

The new wording was a long overdue demand by technical intermediaries who felt that the original liability exemption was too narrowly worded to cover only typical internet access providers. For years, various online intermediaries, such as content delivery networks or domain name registrars and registries, were unsure of whether they could invoke any exemptions. While many courts in the Member States often gave them some liability assurances,¹ the status quo did not help the internal market and caused fragmentation.

Recital 29 of the DSA now provides a long list of examples that intend to extend the application of the exemption to ‘generic categories of services, such as internet exchange points, wireless access points, virtual private networks, DNS services and resolvers, top-level domain name registries, registrars, certificate authorities that issue digital certificates, voice over Internet Protocol (IP) and other interpersonal communication services.’² It suggests the interpretation that providers of domain name services, such as domain name authorities (eg EURid), or domain name resolvers, are covered as mere conduits.³ These services can be said to provide *access* to the communication network, the internet, by offering a particular type of access service, being a translation

¹ In the German case of *ambiente.de*, the German Federal Supreme Court rejected the imposition of obligations on a domain name authority, citing the public interest in the cheap DNS infrastructure (BGH v 17 May 2001—I ZR 251/99). The Slovak Supreme Court reached a similar outcome on 12 July 2007, 3 Obo 197/06, *rover.sk*. See also the US case of *Lockheed Martin Corp v Network Solutions Inc* 141 F Supp 2d 648 (ND Tex 2001).

² Description of technical functioning, examples of services covered by art 12 ECD as well as ‘grey areas’ are provided by Sebastian Schwemer, Tobias Mahler, and Håkon Styri, *Legal Analysis of the Intermediary Service Providers of Non-Hosting Nature: Final Report* (EU Publications Office 2020).

³ The only relevant case to date was Case C-521/17 *Coöperatieve Vereniging SNB-REACT UA v Deepak Mehta* ECLI:EU:C:2018:639. However, the case did not clarify the issue. In the literature, Schwemer and colleagues expressed some doubts, but they did not seem to consider access-only mere conduits (probably influenced by the ECD’s original language). Their argument about domain name authorities providing ‘pointers’ is very much in line with the argument that such services provide access to the network, see Sebastian Felix Schwemer, Tobias Mahler, and Håkon Styri, ‘Liability Exemptions of Non-Hosting Intermediaries: Sideshow in the Digital Services Act?’ (2021) 8(1) Oslo Law Review 4, 14.

of an IP address to a domain name.⁴ The same applies to other services not mentioned in Recital 29, such as browsers, operators of nodes that help to re-route the internet traffic (eg Tor), and providers of video-communication tools (eg Zoom) or potentially even some operating systems.

This new wording should thus encourage national courts to apply the provision to less traditional infrastructure services⁵ and keep an open mind to new technological developments. Recital 29 acts as a sort of non-exhaustive, open list, referring to ‘a wide range of economic activities which take place online and that develop continually to provide for transmission of information that is swift, safe and secure, and to ensure convenience of all participants of the online ecosystem’.

A typical example of a service introduced to consumers only in the early 2000s is wi-fi hotspots. Today, wi-fi hotspots are ubiquitous—every hotel, public space, and restaurant offers a connection. Individuals share their internet connection with visitors. Wi-fi connection is promoted by states, including the European Union (EU).⁶ Only in 2016, however, did the Court of Justice of the European Union (CJEU) clarify that the providers of wi-fi hotspots benefit from the mere conduit liability exemption.⁷

For Article 4 DSA to apply, the relevant network does *not* have to be *public*. This means that transmission or access can relate to closed or private networks. Thus, even providers of some messaging apps can also be seen as providing transmission within and access to a communication network—the infrastructure allowing the connection between different phones. They also transmit the information. However, the problem that these messaging apps face is the issue of the duration of storage. According to Article 4(2) DSA:

The acts of transmission and of provision of access referred to in paragraph 1 include the automatic, intermediate and transient storage of the information transmitted in so far as this takes place for the sole purpose of carrying out the transmission in the communication network, and provided that the information is not stored for any period longer than is reasonably necessary for the transmission.

The word ‘transmission’ suggests that the storage of information must only be transient. Although Article 4(2) DSA specifies that this ‘includes’ some forms of transient

⁴ DNS resolvers offer a technical translation service between a numerical IP address and an alphabet-based domain name (eg 2001:4860:4860::8888 for Google.com). Since such a translation service does not transmit the data (website’s content), it only provides simplified access to the communication network. The question remains how the CJEU will apply art 4(2) DSA, ie whether the IP address in the registry is seen as a tool of access or rather information to be stored only temporarily to enable transmission by someone else.

⁵ See, for instance, the Hamburg Regional Court ruling regarding DNS providers such as Quad9, LG Hamburg v 12 May 2021—310 O 99/21.

⁶ European Parliament and Council Regulation (EU) 2017/1953 amending Regulations (EU) No 1316/2013 and (EU) No 283/2014 as regards the promotion of internet connectivity in local communities [2017] OJ L286/1. The Commission proposal mentioned the intermediary liability question related to the provision of wi-fi hotspots (Wifi4EU), see Commission, ‘Proposal for a Regulation of the European Parliament and of the Council amending Regulations (EU) No 1316/2013 and (EU) No 283/2014 as regards the promotion of Internet connectivity in local communities’ COM(2016) 589 final.

⁷ Case C-484/14 *Tobias Mc Fadden v Sony Music Entertainment Germany GmbH* ECLI:EU:C:2016:689.

storage, the word ‘transmission’ would still limit the storage. Messaging apps can operate in different ways. They can involve ‘permanent’ or only transient storage. The former would seem to exclude the application of the mere conduit exemption. In such cases, messaging apps relying on cloud-based storage might qualify as hosting providers instead (see section 7.6). On the other hand, if messaging apps only allow users to store the messages locally and only transmit the information, they can continue to qualify as mere conduits because they provide ‘access’ to the communication network.⁸ The likely test for ‘transmission’ is whether the period of storage is ‘longer than is reasonably necessary for the transmission’, according to Article 4(2) DSA.

Apart from the overarching neutrality requirement (Chapter 6.2.4), the conditions for mere conduit liability exemption are that the provider: (a) does not initiate the transmission; (b) does not select the receiver of the transmission; and (c) does not select or modify the information contained in the transmission. Once these conditions are fulfilled, Article 4 DSA confers near-absolute immunity that cannot be retracted even by obtaining knowledge. Thus, an access provider notified about the illegal activity of a website on the internet has no general legal obligation to step in and block it for its customers. While authorities might be able to require the blocking, such orders or legislation must target specific websites (Chapters 5 and 8).

These three conditions are meant to prevent rogue actors from misusing the exemption to shield their illegal operations from liability. For instance, if a hotel owner providing open wi-fi were to instruct her employees or clients to engage in some illegal actions, the exemption would not apply. She could be said to have initiated the transmission or influenced what was transmitted. In such a case, the service provider ‘deliberately collaborates with a recipient of the services in order to undertake illegal activities.’⁹ The DSA and the ECD conceptualised such situations as active interventions that disqualify the mere conduit from the passive provision of the service. The same logic underlies the explicit requirements in Article 4(1) DSA against the initiation of *who* receives *what* transmission from *whom* on the network. The provider selecting any of these components is no longer a mere conduit.

If all the conditions are met, mere conduits cannot be held liable for the third-party information they have transmitted or given access to. Once the mere conduit liability exemption is inapplicable, the national law is free to impose liability.

7.3 Caching

Article 3(g)(ii) defines the caching services as ‘consisting of the transmission in a communication network of information provided by a recipient of the service, involving the automatic, intermediate and temporary storage of that information, performed for

⁸ But not as online platforms, as those exclude pre-approval (see DSA, Rec 14).

⁹ ECD, Rec 44; DSA, Rec 20.

the sole purpose of making more efficient the information's onward transmission to other recipients upon their request.' According to Article 5 DSA, its regime is defined as follows:

Where an information society service is provided that consists of the transmission in a communication network of information provided by a recipient of the service, the service provider shall not be liable for the automatic, intermediate and temporary storage of that information, performed for the sole purpose of making more efficient or secure the information's onward transmission to other recipients of the service upon their request, on condition that the provider: ...

Again, this provision is based on Article 13 ECD, which is the least litigated liability exemption of the three. The only change in the wording brought about by the DSA is the addition of the words 'or secure' when discussing the purpose of transmission. This alteration was motivated by the desire to capture the changing face of content delivery networks that increasingly not only, or not primarily, facilitate better and faster access to the network by providing geographically closer servers with copies of websites but also help to resolve and protect from various cybersecurity incidents, such as Distributed Denial-of-Service (DDOS) attacks. This regulatory change was already identified by the Commission in its Impact Assessment.¹⁰

Apart from the neutrality requirements, the specific operational requirements include: a) not modifying the underlying information, b) complying with the conditions on access to it, c) the industry rules regarding the temporal aspects of caching, and d) not interfering with the lawful use of technology to obtain data on the use of the information.¹¹ Finally, it is expected that the:¹²

Provider acts expeditiously to remove or to disable access to the information it has stored upon obtaining actual knowledge of the fact that the information at the initial source of the transmission has been removed from the network, or access to it has been disabled, or that a court or an administrative authority has ordered such removal or disablement.

The caching exemption thus presents an immunity model close to hosting but with some additional protections. Caching services are not required to act upon notification if the targeted content was not removed from the original servers. They are generally only asked to *assess* whether the notified content was removed or disabled on the source website. If it was, an expectation to remove it is triggered; or the provider might expose

¹⁰ Commission, "Impact Assessment" (Commission Staff Working Document) Accompanying the Document "Proposal for a Regulation of the European Parliament and of the Council on a Single Market for Digital Services (Digital Services Act) and Amending Directive 2000/31/EC" SWD(2020) 348 final, annex 9. This change was also favoured by Schwemer and colleagues, see Schwemer, Mahler, and Styri (n 2) 36.

¹¹ DSA, arts 5(1)(a)–(e).

¹² DSA, art 5(1)(e).

itself to liability. However, as long as it is still on the source website, actual knowledge of the illegality of information does not create any expectation to act. The only exception is if there is an order from an authority demanding the removal of such information. That order can also target the source website, which only refuses to implement it. An order targeting the caching provider must also comply (Chapter 8). Although compliance with the latter order is not presented as one of the conditions in Article 5(1)(e), it should equally lead to the loss of an exemption (argument *a minore ad maius*).

Examples of caching include stand-alone caching services and, increasingly, Content Delivery Networks (CDN), which incorporate caching services. The CDNs can be seen to incorporate various types of technical activities. Some of them can qualify as caching (temporary mirroring of content to a geographically closer location), hosting (for longer web hosting) or even mere conduit (a proxy reverse function that acts as an access point).¹³ This variety has also been identified and discussed in increasingly rich case law, particularly in Italy and Germany, where courts have struggled to determine whether the CDN services belong to a particular liability exemption and, if so, to which one.¹⁴ It remains to be seen whether the wording change and the clarification in Recital 29 mentioning the CDNs, together with reverse proxies or content adaptation proxies, will be sufficient to provide greater legal certainty.

In European case law, two other types of services are sometimes discussed in connection to caching. The first type of service is search engines that index the internet and create a 'cache' memory of its content to offer search results. Their potential status as caching services was fiercely debated in the negotiations of the DSA, as explained below. The second service is live streaming services, which is not mentioned in the DSA despite its increasing popularity. Livestreaming is often provided by dedicated services (such as Periscope), social media (such as Facebook), and video-sharing platforms (such as YouTube). Given the immediacy of the provision of content, these services fall in between traditional broadcasting, on-demand audio-visual services and digital user-generated services. The Commission detailed the potential qualification of livestreaming services in its Impact Assessment.¹⁵ However, those considerations led to little changes in the DSA's text. This silence, however, should not, in my view, be interpreted as an exclusion but rather as calling for a 'case by case' assessment of the service at hand.

7.4 Hosting

Unlike the mere conduit services, which mainly cover the modern infrastructure behind the communication networks, hosting services often apply to the application

¹³ For the description and debate under the ECD framework, Schwemer, Mahler, and Styri (n 3).

¹⁴ See the Rome Commercial Court case, *Mediaset (RTI) vs Cloudflare* (2019) Case No 1932/2019 which was subsequently confirmed in Rome Commercial Court, *Mediaset (RTI) v Cloudflare* (2019) Case No 26942/2019; Cologne District Court case, LG Köln v 05.12.2019—Case 14 O 171/19 (*Universal Music GmbH v Cloudflare*).

¹⁵ Commission, 'SWD(2020) 348 final' (n 10) annex 9.

layer of the internet's technology stack. They cover services ranging from social media, discussion fora, online marketplaces, review websites, video-sharing services, and more. At the same time, the same exemption also applies to some infrastructure services, such as web-hosting services. Recital 29 DSA includes, eg 'categories of services such as cloud computing, web hosting, paid referencing services or services enabling sharing information and content online, including file storage and sharing'.

Admittedly, the presence of infrastructure-like services among mostly application-layer services is exceptional and requires careful distinguishing. As noted below, the DSA creates a new category of hosting services—online platforms—that better describes the application layer because they store and distribute information to the public as one of its main goals. All other hosting services that are not only excluded from the term due to their small size usually cover 'mere hosting' services that tend to cover the infrastructure, such as web hosting.

Article 6 DSA provides that:

Where an information society service is provided that consists of the storage of information provided by a recipient of the service the service provider shall not be liable for the information stored at the request of a recipient of the service on condition that the provider: ...

This wording mirrors that of Article 14 ECD, hence validating the legal approach supported by the ECD for 20 years and interpreted extensively by the CJEU. The scope of services remained unchanged. The CJEU so far has accepted the following services as covered by the hosting safe harbour: social media,¹⁶ online marketplaces,¹⁷ video-sharing platforms,¹⁸ cyber-lockers,¹⁹ and keyword-based advertising on search engines.²⁰ Other services that consist of 'storage of information' provided by others include storage of comments on blogs,²¹ or on social media by page administrators,²² services of app stores, cloud services and web hosting, distribution of Really Simple Syndication (RSS) feeds,²³ storage of user reviews,²⁴ and user offers of accommodation on sharing economy platforms.

The hosting safe harbour is subject to two main conditions. They apply if the provider:

¹⁶ Case C-360/10 *SABAM v Netlog NV* ECLI:EU:C:2012:85; Case C-70/10 *Scarlet Extended SA v SABAM* ECLI:EU:C:2011:771; Case C-18/18 *Eva Glawischnig-Piesczek v Facebook Ireland Limited* ECLI:EU:C:2019:821.

¹⁷ Case C-324/09 *L'Oréal SA and others v eBay International AG and others* ECLI:EU:C:2011:474.

¹⁸ Joined Cases C-682/18 and C-683/18 *Frank Peterson v Google LLC and others and Elsevier Inc v Cyando AG* ECLI:EU:C:2021:503 (*YouTube and Cyando*); Case C-401/19 *Republic of Poland v European Parliament and Council of the European Union* ECLI:EU:C:2022:297.

¹⁹ *YouTube and Cyando* (n 18).

²⁰ Joined Cases C-236/08 to C-238/08 *Google France SARL and Google Inc v Louis Vuitton Malletier SA* ECLI:EU:C:2010:159.

²¹ See, for instance, German Federal Supreme Court, BGH v 25 October 2011—Case No VI ZR 93/10; *Payam Tamiz v Google Inc* [2013] EWCA Civ 68.

²² The administrators of pages are hosting providers along with social networks.

²³ German Federal Supreme Court, BGH v 27 March 2012—VI ZR 144/11.

²⁴ German Federal Supreme Court, BGH v 23 June 2009—VI ZR 196/08 (*Spichmich.de*).

(a) does not have actual knowledge of illegal activity or illegal content and, as regards claims for damages, is not aware of facts or circumstances from which the illegal activity or illegal content is apparent; and (b) upon obtaining such knowledge or awareness, acts expeditiously to remove or to disable access to the illegal content.²⁵

This wording again mirrors Article 14 ECD. Thus, all the pre-existing case law of the CJEU can apply to these requirements without any changes. According to CJEU in *Poland*, ‘for such an operator to be excluded, under Article 14(1)(a) of that directive, from the exemption from liability provided for in Article 14(1), it must have knowledge of or awareness of specific illegal acts committed by its users relating to protected content that was uploaded to its platform’.

The Court thus confirmed its earlier Grand Chamber ruling in *L’Oreal v eBay*, which held that knowledge under (b) can be obtained only by sufficiently precise and adequately substantiated notice.²⁶ In *YouTube and Cyando* and *Poland*, the Court also confirms that awareness itself must concern specific illegal acts. Typically, one can imagine that headline news about a case in the mainstream media can lead to awareness. The DSA, however, reiterates the original language of Article 14 of the ECD, which limited this standard of knowledge to only liability for damages. This means that on the national level, in situations where ‘awareness’ exists but ‘actual knowledge’ is absent, liability can be imposed only in the form of damages.²⁷ This has important consequences for various forms of criminal liability, which would always need to clear the hurdle of actual knowledge. In most cases, awareness and actual knowledge coincide as types of knowledge, but only the former can be derived from a broader set of circumstances.

In contrast, mere general awareness (abstract knowledge) of illegal activity is in itself insufficient. The DSA now dispels some of the doubts previously left open by the ECD. First, Recital 22 clearly says that relevant ‘actual knowledge or awareness cannot be considered to be obtained solely on the ground that that provider is aware, in a general sense, of the fact that its service is also used to store illegal content’. Second, for the first time, the law specifies the common Union requirements for notification in Article 16 DSA, which are based on previous case law. These requirements act as statutory clarifications of what type of notifications can lead to the hosting providers opening up to liability. The book extensively describes these requirements in Chapter 11.

In short, according to the *eBay* decision, the CJEU does not limit the acquisition of knowledge to notification only. In *eBay*, the Court held that:

Moreover, if the rules set out in Article 14(1)(a) of Directive 2000/31 are not to be rendered redundant, they must be interpreted as covering every situation in which the provider concerned becomes aware, in one way or another, of such facts or circumstances. The situations thus covered include, in particular, that in which the operator

²⁵ DSA, arts 6(1)(a)–(b).

²⁶ *eBay* (n 17).

²⁷ Miquel Peguera, ‘The DMCA Safe Harbors and Their European Counterparts: A Comparative Analysis of Some Common Problems’ (2009) 32 *Columbia Journal of Law & the Arts* 481.

of an online marketplace uncovers, as the result of an investigation undertaken on its own initiative, an illegal activity or illegal information, as well as a situation in which the operator is notified of the existence of such an activity or such information. In the second case, although such a notification admittedly cannot automatically preclude the exemption from liability provided for in Article 14 of Directive 2000/31, given that notifications of allegedly illegal activities or information may turn out to be *insufficiently precise or inadequately substantiated*, the fact remains that such notification represents, as a general rule, a factor of which the national court must take account when determining, in the light of the information so transmitted to the operator, whether the latter was actually aware of facts or circumstances on the basis of which a diligent economic operator should have identified the illegality.²⁸

The standard of ‘sufficiently precise’ and ‘adequately substantiated’ notifications is now cemented in the DSA through various provisions—Recitals 22 and 53 and Articles 16(2) and 20(3). The key summary is provided by Recital 53, which also incorporates *YouTube and Cyando’s*²⁹ recent clarification of the underlying standard of assessment of facts:

Where a notice contains sufficient information to enable a diligent provider of hosting services to identify, without a detailed legal examination, that it is clear that the content is illegal, the notice should be considered to give rise to actual knowledge or awareness of illegality.

A diligent economic operator serves as a benchmark for care with which providers must assess any sources of information. This is also the reading given to the provision by the national courts.³⁰ The CJEU is slowly developing the standard across various legal instruments. For instance, in data protection law, the delisting requests concerning factual inaccuracies in search engines must meet the threshold of the ‘manifest’ or ‘obvious inaccuracy’ that must be corroborated by evidence that ‘can reasonably be required’ in the circumstances.³¹ In *TU and RE v Google*, the Court explained the underlying rationale most vividly:

... when assessing the conditions for application laid down in Article 17(3)(a) of the GDPR, that operator cannot be required to *play an active role in trying to find facts* which are not substantiated by the request for de-referencing, for the purposes of determining whether that request is well founded ... the operator of the search engine

²⁸ *eBay* (n 17) paras 121–22 (emphasis mine).

²⁹ *YouTube and Cyando* (n 18).

³⁰ In *CG v Facebook Ireland Limited and McCloskey (Joseph)* [2016] NICA 54 [69]–[72], the Northern Irish Court of Appeal found that omission of the correct form of legal characterisation of the claim ought not to be determinative of the knowledge of facts and circumstances; rather, the perspective should be one of the diligent economic operators.

³¹ Case C-460/20 *TU and RE v Google LLC* ECLI:EU:C:2022:962, paras 68 and 72 (using the word ‘obvious’).

concerned *cannot be required to investigate the facts and, to that end, to organise an adversarial debate with the content provider seeking to obtain missing information concerning the accuracy of the referenced content ... such an obligation would impose on that operator a burden in excess of what can reasonably be expected of it in the light of its responsibilities, powers and capabilities ...* would thereby entail a serious risk that content meeting the public's legitimate and compelling need for information would be de-referenced and would thereby become difficult to find on the internet. In that regard, there would be *a real risk of a deterrent effect on the exercise of freedom of expression and of information if the operator of the search engine undertook such a de-referencing exercise quasi-systematically*, in order to avoid having to bear the burden of investigating the relevant facts for the purpose of establishing whether or not the referenced content was accurate.³²

The Court's reasoning thus makes clear that the knowledge standard prevents the providers from being subject to a post-notification obligation 'to play an active role in trying to find facts.' As was argued in Chapter 5, this is entirely in line with the overarching principle of a shared burden for social harms.

The DSA, however, puts more pressure on the notification process through due diligence obligations. Post-DSA, it will be much harder for hosting providers to disregard notifications. The DSA specifies *who* and in *what form* shall receive them. However, the broad scale of possibilities might be limited by the availability of evidence in practice. If a hosting provider acts on its own initiative (Article 7 DSA) and uncovers unlawful content that it disregards, the outside world might not have sufficient evidence to prove that this omission happened unless they get access to non-public information held by such providers. Therefore, notifications remain the most important and documentable vehicle for imparting knowledge about certain illegal acts.

In *YouTube and Cyando*, the Court clarifies that in determining whether the provider intervened, the relevant factors to consider include even circumstances where the provider who 'despite the fact that it knows or ought to know, in a general sense, that users of its platform are making protected content available to the public illegally via its platform, refrains from putting in place the appropriate technological measures that can be expected from a reasonably diligent operator in its situation in order to counter credibly and effectively copyright infringements on that platform.'³³ As explained in Chapter 6, I see this requirement as pertaining to the neutrality of the hosting provider, and not as a separate knowledge standard. It speaks to the issue of whether the hosting provider collaborates with its infringers. The CJEU's re-statement of the *YouTube and Cyando* ruling in *Poland* seems to confirm this.³⁴ As a result, general awareness is never sufficient to trigger knowledge. However, a failure to keep up with the threats on one's

³² *ibid* paras 70–71 (emphasis mine).

³³ *YouTube and Cyando* (n 18) para 84.

³⁴ *Poland* (n 18) para 28; *YouTube and Cyando* (n 18) paras 117–18.

own platform, to the extent that the provider is unwilling to counteract them by any credible means, can allow the courts to *infer* that platforms deliberately and intentionally collaborate with their lawless users. The evidence bolstering such inference should be serious (Chapter 6.2.4).

Since a good part of the DSA concerns hosting providers, a great deal of attention will be dedicated to them in the following chapters. Hosting exemption is, without a doubt, the heart of the DSA Regulation. Its preservation was never questioned by the Commission in its proposal or by co-legislators during negotiations.³⁵ The category of online platforms, including very large online platforms, is only its subset of hosting services. The DSA disentangles the due diligence obligations that apply to all hosting service providers by dividing them into several categories: ‘just’ hosting (eg cloud and web hosting) and online platforms, including very large online platforms (VLOPs). This is clearly explained in Recital 13, where co-legislators reinforced the need to exclude infrastructure services from the category of platforms:

... For the purposes of this Regulation, cloud computing or web-hosting services should not be considered to be an online platform where dissemination of specific information to the public constitutes a minor and ancillary feature or a minor functionality of such services. Moreover, cloud computing services and web-hosting services, when serving as infrastructure, such as the underlying infrastructural storage and computing services of an internet-based application, website or online platform, should not in themselves be considered as disseminating to the public information stored or processed at the request of a recipient of the application, website or online platform which they host.

However, the DSA drafting also shows that some types of services are under separate regulatory scrutiny, even among online platforms. The most vivid example is online marketplaces, which I will discuss next.

7.4.1 Specifics of online marketplaces as hosts

During the legislative debate, the biggest pressure to deviate from horizontal rules concerned online marketplaces and their situation in consumer law.³⁶ In Chapter 6.2.4, I explained why providers that fail to disclose the source of content could lose their neutrality. This was a key concern for the consumer interest groups. Online platforms that act as marketplaces and sellers in those marketplaces can cause a risk of confusion for average consumers.³⁷ In the legislative process, the

³⁵ Folkert Wilman, ‘The EU’s System of Knowledge-Based Liability for Hosting Service Providers in Respect of Illegal User Content—Between the e-Commerce Directive and the Digital Services Act’ (2021) 12(3) *Journal of Intellectual Property, Information Technology and Electronic Commerce Law* 317, 318.

³⁶ Interview with Irene Roche Laguna, Deputy Head of Unit for Coordination and Regulatory Compliance, European Commission (2021–23).

³⁷ While the Commission proposal referred to an ‘average and reasonably well-informed consumer’, the co-legislators, particularly the EP, limited the reference to an ‘average consumer’. However, this should not have any

questions around the specific liability of online marketplaces for product safety were considered to be ‘too sector-specific’ and better suited for the concurrent discussions around the review of the General Product Safety Directive³⁸ and the Product Liability Directive.³⁹ These negotiations ran in parallel and were equally informed by the existing and upcoming CJEU case law.

Article 6(3) of the DSA eventually states the following:

Paragraph 1 shall not apply with respect to the liability under consumer protection law of online platforms that allow consumers to conclude distance contracts with traders, where such an online platform presents the specific item of information or otherwise enables the specific transaction at issue in a way that would lead an average consumer to believe that the information, or the product or service that is the object of the transaction, is provided either by the online platform itself or by a recipient of the service who is acting under its authority or control.

Based on the definition of online marketplaces under the consumer acquis,⁴⁰ the provision seems limited to ‘B2C’ relationships and thus excludes consumer-to-consumer exchanges. However, as explained in Chapter 6.2.4, in my view, this provision only represents a broader rule grounded in the condition of neutrality of providers. The standard is clearly inspired by pre-existing CJEU case law in EU consumer protection law⁴¹ and the general neutrality requirement.⁴² Moreover, as shown below, it was recently further validated by certain developments in EU trademark law.

Following an Opinion of AG Szpunar,⁴³ the CJEU recently held in *Louboutin v Amazon* that the operator of a marketplace could itself directly violate the trademark law when it sells products of others:

practical effects; as for the CJEU, the two are in a relationship of a concept and a benchmark in many areas, including consumer and trademark law; see Council Directive 93/13/EEC of 5 April 1993 on unfair terms in consumer contracts [1993] OJ L095/29, Rec 18; and Case C-470/93 *Verein gegen Unwesen in Handel und Gewerbe Köln eV v Mars GmbH* ECLI:EU:C:1995:224.

³⁸ European Parliament and Council Regulation (EU) 2023/988 on general product safety, amending Regulation (EU) No 1025/2012 and Directive (EU) 2020/1828, and repealing General Product Safety Directive 2001/95/EC and Directive 87/357/EEC [2023] OJ L 135/1 (General Product Safety Regulation).

³⁹ Commission, ‘Proposal for a directive of the European Parliament and of the Council on liability for defective products’ COM(2022) 495 final (still in the legislative process at the time of writing).

⁴⁰ Art 2(n) of Directive 2005/29/EC as amended by Directive (EU) 2019/2161: “‘online marketplace’ means a service using software, including a website, part of a website or an application, operated by or on behalf of a trader which allows consumers to conclude distance contracts with other traders or consumers”; European Parliament and Council Directive 2005/29/EC concerning unfair business-to-consumer commercial practices in the internal market [2005] OJ L149/22, as amended by Directive (EU) 2019/2161 (Unfair Commercial Practices Directive).

⁴¹ Case C-149/15, *Sabrina Wathelet v Garage Bietheres & Fils SPRL* ECLI:EU:C:2016:840, para 41.

⁴² *Frank Peterson v Google LLC and others and Elsevier Inc v Cyando AG* ECLI:EU:C:2020:586, Opinion of AG Øe, para 152.

⁴³ Joined Cases C-148/21 and C-184/21 *Christian Louboutin v Amazon and others* ECLI:EU:C:2022:422, Opinion of AG Szpunar, paras 67, 71, and 73.

... where, in view of all the circumstances of the situation in question, such a user may have the impression that that operator itself is marketing, in its own name and on its own account, the goods bearing that sign. In that regard, the following are relevant: the fact that that operator uses a uniform method of presenting the offers published on its website, displaying both the advertisements relating to the goods which it sells in its own name and on its own behalf and those relating to goods offered by third-party sellers on that marketplace; the fact that it places its own logo as a renowned distributor on all those advertisements; and the fact that it offers third-party sellers, in connection with the marketing of goods bearing the sign at issue, additional services consisting inter alia in the storing and shipping of those goods.⁴⁴

The proposed reading of the neutrality test in Chapter 6 would produce the same outcomes as the *Louboutin* case and Article 6(3) DSA.

The Commission's proposal of the text of Article 6(3) was subject to strong discussions, in particular in the European Parliament (EP) Committee on the Internal Market and Consumer Protection (IMCO). The IMCO Committee favoured a much more radical approach. It proposed a new provision entitled 'liability of online platforms allowing consumers to conclude distance contracts with traders'.⁴⁵ The provision would (a) make the liability exemption conditional to the compliance with due diligence obligations or information requirements under consumer law;⁴⁶ (b) exclude the exemption of liability to online marketplaces for traders from third countries when there is no economic operator inside the EU, or the product is non-compliant; and (c) exclude the liability exemption where the online marketplace exercises 'decisive influence'. The concept of 'decisive influence' was proposed by some academics,⁴⁷ and consumer protection organisations have adopted it as their recommendations.⁴⁸ The concept was a combination of the neutrality test, further expanded by the criteria extracted by the CJEU in the *Uber* case to conclude that UberPop was not an information society service, but rather a transport service.⁴⁹

⁴⁴ Joined Cases C-148/21 and C-184/21 *Christian Louboutin v Amazon and others* ECLI:EU:C:2022:1016, para 54.

⁴⁵ Committee on the Internal Market and Consumer Protection, 'Draft Report on the proposal for a regulation of the European Parliament and of the Council on a Single Market For Digital Services (DSA) and amending Directive 2000/31/EC (COM(2020) 0825) (2021) 66.

⁴⁶ Adding such a link would, for instance, mean that (a) online marketplaces can be held liable for any infringement to the due diligence obligations, for instance, not to appoint a legal representative, which could be seen as disproportionate; and (b) compliance with such due diligence obligations would happen to be almost voluntary, as it would merely be an incentive to be covered from liability.

⁴⁷ Christoph Busch, Gerhard Dannemann, Hans Schulte-Nölke, Aneta Wiewiorowska-Domagalska, and Fryderyk Zoll, 'The ELI Model Rules on Online Platforms' (2020) 9 *Journal of European Consumer and Market Law* 61.

⁴⁸ The European Consumer Organisation (BEUC), 'Making the Digital Services Act Work for Consumers—BEUC's Recommendations' (BEUC 2020) 6.

⁴⁹ Case C-434/15 *Asociación Profesional Elite Taxi v Uber Systems Spain* ECLI:EU:C:2017:9811.

The proposal was rejected by the EP plenary, and it was not included in the EP's mandate. However, some elements were adopted in the recitals as potential guidance to interpret two important elements of the liability exemption for marketplaces. Recital 23 states that where the provider of an online platform allows consumers to conclude distance contracts with traders and it determines the price of the goods or services offered by the trader, it 'could' act under the control or authority of the provider of hosting services for Article 6(2) of the DSA. Article 6(3) of the DSA is further explained by Recital 24, which states some of the examples that 'could' be subsumed here, such as a failure to display clearly the identity of the trader pursuant to the DSA, withholding the identity or contact details of the trader until after the conclusion of the contract, or where an online platform markets the product or service in its own name rather than in the name of the trader who will supply that product or service.

The legislature's rejection of the concept of 'decisive influence' clearly rejected three specific criteria. Firstly, whether contracts were concluded in a 'closed environment', as it was felt that this could worsen the consumer experience and safety. Secondly, where the platform operator helps to prepare the terms of the trader-consumer contract, such as the form of consent, deadlines for withdrawal of consent, or delivery, feared to discourage uniformity and, once again, user safety. Finally, the idea of using the provision to discourage specific payment systems was also rejected because such systems are seen as great enhancers of trust rather than aggressive control techniques by providers. This was previously also recognised by the CJEU in *Airbnb*.⁵⁰

In conclusion, Article 6(3) is merely a further statutory manifestation of the underlying neutrality test that underlines the entire framework (Chapter 6.2.4).

7.5 Search Engines

It seems that European regulation of digital services has been, for more than two decades, unable to decide how to explicitly deal with at least one set of services—search engines. These services help to organise information for users. Specialised price-comparison search engines help consumers to select service providers and producers of their liking. Search engines, like Google Search or Bing, build an index of information and market offerings from all around the world, helping users to navigate the Web by crawling the Web and creating an index, often without seeking permission. While these services already existed at the time of the ECD's drafting, they were not explicitly addressed in the liability exemptions. The DSA largely repeats this course of action.

⁵⁰ Case C-390/18 *Airbnb Ireland* ECLI:EU:C:2019:1112, paras 62, 64.

The US Digital Millennium Copyright Act (DMCA), the ECD's counterpart and direct inspiration, included search engines as a separate category of exempted services.⁵¹ Recital 18 of the ECD mentions search engines only in a recital as an example of information society services. The legislative history seems unclear, but from the historical documents, it appears that the revision clause in Article 21 of the ECD could have been added as a response to the Irish insistence to create a separate rule for search engines.⁵² In its first implementation report (2003) on the ECD, the Commission reported that:

In addition to the matters dealt with by Articles 12–14, some Member States decided to provide for limitations on the liability of providers of hyperlinks and search engines. This was motivated by the wish to create incentives for investment and innovation and enhance the development of e-commerce by providing additional legal clarity for service providers. Whilst it was not considered necessary to cover hyperlinks and search engines in the Directive, the Commission has encouraged Member States to further develop legal security for internet intermediaries. It is encouraging that recent case-law in the Member States recognizes the importance of linking and search engines to the functioning of the internet.⁵³

Hungary, Poland, Portugal, and Spain have opted to extend the hosting immunity to the activities of search engines, while Austria, following an intense legislative debate, switched to the conduit model.⁵⁴ However, the practical impact of such exemptions is often unclear. In Austria, Article 14 of the Austrian E-Commerce Law does not allow any 'selection' or 'modification' of the information, and the provision was inapplicable to liability in image search due to modification of the indexed content, which could be equally problematic for text search results.⁵⁵

⁵¹ 17 USC § 512.

⁵² Permanent Representatives Committee, 'Extract of the Summary Record of the 1853rd Meeting of the Permanent Representatives Committee on 17 and 19 November 1999' (1999) Doc 12957/99 Ext 1 CRS/CRP 44 ECO 387 CONSOM 73 CODEC 714, 4 <https://resources.law.cam.ac.uk/cipil/travaux/ecommerce_directive/ecommerce_travaux_complete.pdf#page=325> accessed 5 August 2023 ('[Ireland] continued to propose an additional article on search engines'). However, Hoboken reports that proposals covering search engines were also tabled by the European Parliament, Joris van Hoboken, *Search Engine Freedom: On the Implications of the Right to Freedom of Expression for the Legal Governance of Web Search Engines* (Kluwer Law International 2012) 230 (however, with an unclear reference to sources).

⁵³ Commission, 'Report from the Commission to the European Parliament, the Council and the European Economic and Social Committee - First Report on the application of Directive 2000/31/EC of the European Parliament and of the Council of 8 June 2000 on certain legal aspects of information society services, in particular electronic commerce, in the Internal Market (Directive on electronic commerce)' COM(2003) 0702 final, para 67.

⁵⁴ *ibid.* See Austria: art 14 of E-Commerce-Gesetz (BGBl I Nr 152/2001) (ECG); Portugal: art 17 of Decreto-Lei n° 7/2004 de 7 de Janeiro (Electronic Commerce Law); Spain: art 17 of Ley N° 34/2002, de 11 de julio de 2002, de servicios de la sociedad de la información y de comercio electrónico (Act on Information Society Services and Electronic Commerce); Hungary: Act 153 of 2001 on Electronic Commercial Services and Certain Legal Aspects of Information Society Services, promulgated 24 December 2001; Poland: Ustawa o świadczeniu usług drogą elektroniczną (DZ U 2002 Nr 144, poz 1204) (Law Concerning the Provision of Electronic Services). See debate of national implementations in van Hoboken (n 52) 233ff.

⁵⁵ Austrian Supreme Court, OGH 20.09.2011, 4 Ob 105/11m ('the defendant's chosen presentation, which 'cut out' the photographs from the original page, altered the original information to the extent that the photographs were—in contrast to the original page were visible on the screen without a manufacturer's note').

Unsurprisingly, this situation led many to argue that search engines of various kinds are *not* covered by any of the three liability exemptions and remain subject to national experimentation foreseen by the review clause of Article 21 ECD.⁵⁶ In the only CJEU case dealing with the question, AG Maduro in *Google France* suggested, however, the opposite. He was of the view that Article 21 does not exclude application to search engines but only instructs the Commission to see if the potential (in) application of the existing framework needs to be adopted.⁵⁷ Based on that, he concluded that:

In my view, it would be consistent with the aim of Directive 2000/31 for Google's search engine to be covered by a liability exemption. Arguably Google's search engine does not fall under Article 14 of that directive, as it does not store information (the natural results) at the request of the sites that provide it. Nevertheless, I believe that those sites can be regarded as the recipients of a (free) service provided by Google, namely of making the information about them accessible to internet users, which means that Google's search engine may fall under the liability exemption provided in respect of 'caching' in Article 13 of that directive. If necessary, the underlying aim of Directive 2000/31 would also allow an application by analogy of the liability exemption provided in Articles 12 to 14 thereof.⁵⁸

Because the case concerned advertising in the search results and not organic search results, the above text was an obiter dictum, which the CJEU never had to address. However, the Court found that keyword advertising in web search results qualifies as hosting.⁵⁹

In the legislative process surrounding the DSA, the Commission's DSA proposal, they remained entirely silent in this regard, preferring to leave the questions to case law. The European Parliament proposed to add that search engines may qualify as caching services ('as to information included in the results') but also as hosting services (as to 'elements displayed alongside those results, such as online advertisements') on a case-by-case basis.⁶⁰ The Council proposed to introduce a new fourth category of liability exemptions for search engines with a regime similar to caching⁶¹

⁵⁶ van Hoboken (n 52), 229 ('Article 21 ECD on the re-examination by the European Commission suggests that search engines [information location tools] and hyperlinks are not covered by the intermediary liability regime of the Directive').

⁵⁷ Joined Cases C-236/08–C-238/08 *Google France SARL and Google Inc v Louis Vuitton Malletier SA* ECLI:EU:C:2009:569, Opinion of AG Maduro, paras 133–34.

⁵⁸ *ibid* fn 72.

⁵⁹ *Google France* (n 20) para 106.

⁶⁰ European Parliament, 'Amendments adopted by the European Parliament on 20 January 2022 on the proposal for a regulation of the European Parliament and of the Council on a Single Market For Digital Services (DSA) and amending Directive 2000/31/EC (COM(2020)0825 — C9-0418/2020 — 2020/0361(COD))' [2022] OJ C336/48, 65

⁶¹ General Secretariat of the Council, 'Proposal for a Regulation of the European Parliament and of the Council on a Single Market For Digital Services (DSA) and Amending Directive 2000/31/EC – General Approach' (2021) Document 13203/21, art 4 on "Caching" and online search engines' <<https://data.consilium.europa.eu/doc/document/ST-13203-2021-INIT/en/pdf>> accessed 1 August 2023.

and expand risk management to ‘Very Large Online Search Engines’ in the due diligence chapter.⁶² The Council’s liability exemption proposal was controversial because search engines would suddenly be free from notice and action procedures that are required from hosting but not from caching providers. Moreover, this would have granted them broader immunity than the one existing under the US copyright or current case law concerning the right to be delisted under the General Data Protection Regulation (GDPR).

According to Roche Laguna, the discussions around specific liability exemptions for search engines became a complicated battlefield during the negotiations with opposing and sometimes contradictory interests between creative industries, civil rights associations, and search engines of various sizes and types.⁶³ At a later point in the negotiations, the Council modified its negotiating position towards a fourth category of liability exemption to that of hosting services and subject to a similar knowledge standard. However, this was rejected by the European Parliament due to concerns about the risks to freedom of expression and information.

The final result is the introduction of the definition of search engines in the DSA, mimicking that of the Platform to Business Regulation, but the liability chapter remains silent on search engines (as did the Commission’s original proposal). Search engines are only mentioned as a generic type of intermediary provider that facilitates proper functioning of the internet, that can also benefit from the exemptions from liability, ‘to the extent that their services qualify as ‘mere conduit’, ‘caching’ or ‘hosting’ services’ (Recital 27). With this, ‘very large online search engines’ are put at the same level in terms of due diligence obligations as ‘very large online platforms’, although they do not have one universal exemption.

The situation of search engines is further complicated because today’s generalist search engines are composite services that package many different technical activities into one product. However, these technical activities ‘source content’ differently: a) natural search results consisting of hyperlinks and short excerpts collected from websites on an opt-out basis, b) advertising results designed by advertisers who also select keywords to trigger them, c) suggestions in the search bar resulting from an algorithm that processes the most frequent queries of users, and d) finally, the archival copies of webpages interlinked with some results. To complicate things further, a subset of indexed websites has a more managed relationship with the search engine through various webmaster tools.

Thus, when discussing search engines and their liability exemptions, the discussion must always first clarify which part of the search engine is discussed. There is no single regime for all the above technical functions. Usually, the talks about a ‘missing’ liability exemption for search engines refer to liability for text indexed in the natural search results. This must be distinguished from *advertising results* that are clearly

⁶² *ibid* 64, Rec 69.

⁶³ *Interview with Irene Roche Laguna* (n 36).

covered as hosting following *Google France* ruling or *search suggestions* delivered via autocomplete that are not because they are content produced by search engines themselves.⁶⁴

In my view, the historical argument for the positive exclusion of any part of search engines based on Article 21 ECD was never too strong. The legislative history, at best, shows that given the US model, it was not clear how the lack of an explicit category would be applied by European courts. Thus, one cannot infer that search engines were not meant to be covered by the framework *if* the conditions of one of the exemptions are met simply because the review clause of the ECD stressed the need to review the situation. Natural search results store and organise other people's information (excerpts and links). Recipients of search results are the indexed website owners. However, to qualify for the hosting service, Article 3(g)(ii) DSA, as the ECD before, requires 'the storage of information [to be] provided by, and at the request of, a recipient of the service'. The key problem is whether websites that do not opt out of indexing by search bots can be said to 'provide' the information to search engines at the website owners' 'request'. So far, no CJEU case has confirmed this. Nevertheless, in my view, we can say that at least for some natural results displayed in the generalist search engines, there is little reason not to qualify them as hosting (see option three below).

Thus, 22 years after the adoption of the ECD, the attempt to create an explicit liability exemption failed. This outcome creates a lot of uncertainty. Unless the CJEU explicitly addresses the status of natural search results, national case law among the Member States will likely diverge. In contrast to the days of the ECD, the proper classification of natural search results under the DSA carries some immense consequences.

Firstly, proper interpretation determines whether the Member States can create or maintain their specific liability exemptions for search engines or whether they are pre-empted by the full harmonisation effect of the DSA. Secondly, search engines, their users and victims might not know which baseline legal expectations apply. Should providers put in place a notice and action mechanism like hosting providers? Should they send statements of reasons? If so, to whom? Should they then forward those statements of reasons to feed the database to be put in place by the Commission?⁶⁵ If natural search results are hosting services, are they also platforms if they disseminate content to the public? Moreover, not all search engines function the same way. Will clarity as to what the classical, big search engines must do also apply to those who do not generate their own index of the internet and only syndicate the indexes of some other search engines? Will these standards also apply to specialist search engines?

⁶⁴ German Supreme Court, BGH v 14 May 2013—Case No VI ZR 269/12, paras 19ff; Austrian Supreme Court, OGH 30 March 2016, 6 Ob 26/16s, para 3.3 (rejects liability exemptions).

⁶⁵ As Google already does today to the Lumen database; see the Lumen Database <<https://www.lumendatabase.org>> accessed 1 August 2023.

In my view, the Court has four options.

The *first option* is to deny the applicability of any liability exemptions to natural search results with an argument that the legislature excluded such services through the original review clause of the ECD. Very large online search engines (VLOSEs) would be subject to uniform European due diligence obligations but diverging national liability regimes. However, this will cause difficulties for the DSA because such providers are asked to assure the same level of risk mitigation across the Union even though their liability question would be treated differently. For instance, if Austrian law imposing the conduit regime was respected, the due diligence obligations could hardly request notice-based content moderation to mitigate risks. Not only is this option sub-optimal from the perspective of the EU single market, but it also does not find much support in history.

The *second option* would be to accept that storing and ranking natural search results concerning all websites constitutes the activity of hosting despite search engines dispatch crawlers to collect such information without seeking opt-in. The CJEU would need to recognise that even implicit provision of information by recipients of the service, that is, by not opting out of the industry standard, is sufficient to ‘provide’ such information at the ‘request’ of those websites. To date, similar logic was accepted in copyright law, but never for a liability exemption itself.⁶⁶ However, even if the Court did this, the question of the provider’s neutrality would need to be addressed to provide a complete answer. The additional advantage would be that while the Court would have to see to what extent the content moderation due diligence obligations can be applied to search, they would form a common baseline for the special risk management system foreseen by the DSA. The Court could easily synchronise its reading with the GDPR.

The *third option* would be to limit hosting liability exemption to only websites with more managed relationships with search engines. Some websites proactively submit information about themselves to search engines, sometimes using the provided interfaces, such as webmaster tools. In these cases, there is explicit provision and request to store information in some form. While this would only solve the problem of search engines’ liability for some websites, arguably, it would apply to the key parts of the digital ecosystem. It would incentivise search engine providers to treat the content of websites with less-managed relationships differently.

The final *fourth option* would be to liken the search engines to caching. That said, I personally see little reason why storing and sorting content in a quasi-permanent index should be viewed as temporary storage that facilitates access to information. Many hosting services already facilitate access, too, and are not treated as caching. Moreover, if one accepts that caching services should be inherently less involved in

⁶⁶ German Federal Supreme Court, BGH v 29 April 2010—I ZR 69/08 (*Vorschaubilder*).

modifying the information compared to hosting, natural search results could easily lose such exemptions due to a lack of neutrality, exemplified by some national case law cited above.

In my view, the second option seems possible, and the third option seems safe. If the Court recognised natural search results as hosting, as some courts already do,⁶⁷ the DSA would gain a better grip on the services. Not only do many search engines already operate under hosting's notice and takedown choreography, but some other areas of EU law already impose liability on them, which seems to replicate (in effect) the hosting exemption model. In EU copyright law, it was found that placing unauthorised content in the natural results implicates the search engine only upon notification⁶⁸ and that search engines should not be subject to general monitoring.⁶⁹ Even in right-to-be-delisted cases under the GDPR, the CJEU accepted that requests trigger the obligations.⁷⁰ The decisions concerning search engines often emphasise their importance for the health of the digital ecosystem and the freedom to convey and receive ideas within it.⁷¹ According to *AG Maduro*, search engines are neutral⁷² and some national courts already argued that such results are not perceived as the search engine's own content.⁷³ Finally, this option would be in line with the US copyright regime and the way how many companies already operate even in other areas that are clearly outside of the liability exemptions.⁷⁴

If the Court were to decide in favour of the first option, the Court would find it hard to avoid harmonising law through due diligence obligations. For instance, the rules prescribing mitigation of risks, including preventing over-removal, can hardly achieve the same effects in two countries that expose the search engine to two different liability schemes: knowledge-based standards or stricter forms of liability. The Court will, therefore, have to consider how the accountability rules and the need for their effectiveness might indirectly shape the liability frameworks that are not explicitly harmonised. For instance, it can consider the pre-emptive effect of rules, such as Articles 34–35, on the national liability frameworks.

Even more so than in other areas, the CJEU's interpretation of this will be key. I will show in the due diligence chapters (Part III of this book) that applying

⁶⁷ The most recent example is when the Italian Supreme Court found that search engines are, in principle, eligible for the hosting liability exemption (Italian Supreme Court, Cass, 8 June 2022, n 18430) and hence should honour valid notices to be exempted from liability.

⁶⁸ German Federal Supreme Court, BGH v 15 September 2017—I ZR 11/16 (*Vorschaubilder III*) paras 63, 67.

⁶⁹ *ibid* para 62; this is part of the assessment in InfoSoc Directive, art 3.

⁷⁰ Case C-136/17 *GC and others v CNIL* ECLI:EU:C:2019:773, para 47 ('the prohibitions and restrictions in Article 8(1) and (5) of Directive 95/46 and Articles 9(1) and 10 of Regulation 2016/679 ... can apply to that operator only by reason of that referencing and thus via a verification, under the supervision of the competent national authorities, on the basis of a request by the data subject') (emphasis mine).

⁷¹ For instance, in Germany: German Federal Supreme Court, BGH v 27 February 2018—VI ZR 489/16 (defamation, for results in SE), paras 32–33 and 35–36; *Vorschaubilder III* (n 68) paras 54–56 and 60. In the Dutch case law, Hoboken reported a similar hosting-like regime in 2012, van Hoboken (n 52) 235.

⁷² *Google France (Opinion of AG Maduro)* (n 57) para 144.

⁷³ German Federal Supreme Court, BGH v 27 February 2018—VI ZR 489/16, paras 28–29.

⁷⁴ BGH v 14 May 2013—Case No VI ZR 269/12 (n 64) (notice-based liability for defamation even though suggestions are not covered by a liability exemption); similarly, in BGH v 27 February 2018—VI ZR 489/16 (n 73) para 36.

content moderation safeguards is crucial for many of the existing problems across a wide range of areas. While the DSA's content moderation chapter needs some adjustment to reflect the specifics of search engines, the problem is not dissimilar from the Court's task of adjusting the data controller responsibilities of search engines in data protection law.

7.6 Liability Exemptions Overlaps and Voids

Some providers of technical services were not included among the covered relevant technical activities by the EU legislature's choice. National laws can offer them additional liability exemptions or make them subject to different due diligence obligations; however, they must first rightly establish that the DSA does not regulate such services. This is more easily said than done, as seen in the example of search engines.

Moreover, one product might sometimes fall under more than one liability exemption, and such an *overlap* of exemptions can trigger a potential clash.

Firstly, some services might be concurrently described as 'storage' (hosting) and 'transmission' (conduit).⁷⁵ The typical case is messaging apps—cloud-based apps are hosting, while cloudless apps are conduits (Chapter 9). Secondly, sometimes 'access' could rival 'caching', such as in the case of CDNs. In both situations, if two exemptions cover the same activity, the CJEU will have to decide which of the two exemptions should be preferred. As discussed in the section about mere conduits, the temporal character of storage should be able to resolve many of these cases (ie more permanent storage leading to hosting). Similar considerations could be employed between the overlap of mere conduits and caching (see, respectively, Articles 4(2) and 5(1)(c) DSA).

In contrast to an overlap, a more frequent situation encountered is that of bundled and composite services.

Bundled services offer separable services in one consumer bundle. For instance, in the same product package, telecommunication companies can provide conduit services (eg the Internet connection, a public wi-fi hotspot), caching services (eg to ensure smooth streaming), hosting services (eg cloud space for private use), along with other retransmission of editorial content (eg TV 'on-demand'). The liability exemption under Articles 4–6 DSA only cover the particular services covered under such category, but not the others (eg TV on demand). In most cases, it is irrelevant that such services are offered together. This differs from what I call *composite* services, such as search engines—where several technical functions are integrated into a single service. The DSA tries to surgically separate the technical functions of such services for the purposes of liability exemptions. Thus, two different regimes can be applied if one can easily separate advertising from autocomplete results.

⁷⁵ The CJEU very indirectly touched on the issue in *Google France* without providing much guidance. *Google France* (n 20) para 111.

However, accountability under the DSA operates with a broader notion of the ‘service’ that includes the entire separable user experience. Thus, an online platform might be accountable for respecting due diligence obligations for product features that do not qualify as hosting if they are built as inseparable components of the same business product (Chapter 9.2.2). This means that for due diligence obligations, even own editorial content integrated with non-editorial content can become regulated to some extent (eg the sale of own goods and those of others; the publication of one’s own articles along those of the users).